



**PERSISTENT
STABILITY**

**INTEGRATED
ANNUAL
REPORT**

2021

ARPICO
Insurance

10TH YEAR ANNIVERSARY



PERSISTENT STABILITY

From then to now, across a decade, Arpico Insurance has remained resilient. Right from the start our commitment was in providing inclusive life insurance solutions, benchmarking world-class best practices, innovations and through its team of dedicated professionals, the company is now recognised as one of the most successful and trusted life insurers in Sri Lanka.

With continuous feats that demonstrate its ability to grow, Arpico Insurance continues in the same momentum of resilience, breaking ground, achieving many firsts in its corporate legacy.

CONTENT

1 Organisational Framework

04	About the Company
08	History and Milestones
11	Year at a Glance
12	Performance Highlights
13	Financial Snapshot
14	Chairman's Message
18	CEO's Review

2 Creating Integrated Value

23	Value Created and Shared in 2021
24	Stakeholder Engagement
27	Matters of Materiality
30	Value Creation Model
32	Strategy and Resource Allocation

3 Management Discussion and Analysis

34	External Operating Environment
44	Financial Capital
53	Natural Capital
58	Human Capital
66	Social and Relationship Capital
77	Intellectual Capital
82	Manufactured Capital

4 Leadership and Governance

94	Board of Directors
98	Corporate Management
100	Corporate Governance
114	Risk Management
125	Audit Committee Report
128	Remuneration Committee Report
129	Related Party Transaction Review Committee Report

5 Financial Reports

132	Annual Report of the Board of Directors on the Affairs of the Company
135	Directors' Responsibility for Financial Reporting
136	Actuary's Report
137	Independent Auditors' Report
140	Income Statement
141	Statement of Comprehensive Income
142	Statement of Financial Position
143	Statement of Cash Flows
144	Statement of Changes in Equity
145	Notes to the Financial Statements

6 Supplementary Information

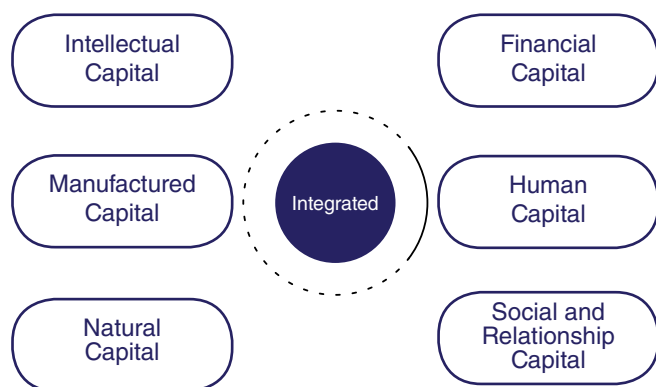
184	Decade at a Glance
186	Statement of Income (Quarterly Analysis)
187	Insurance Revenue Account
188	Statement of Financial Position
190	Shareholder Information
192	Glossary of Insurance Terms
194	GRI Index
196	Notice of Meeting
199	Form of Proxy
	Corporate Information (Inner Back Cover)

ABOUT THE REPORT

PRESENTING OUR INAUGURAL INTEGRATED REPORT

Arpico Insurance PLC takes great pleasure in presenting its Inaugural Integrated Annual Report. The report is based on the Integrated Reporting Framework by the International Integrated Reporting Council (IIRC) and presents the strategic, operational and financial progress of Arpico Insurance for the financial year 2021. In addition, the report is compiled to provide all stakeholders a holistic and inclusive presentation of how the company manages aspects that materially impacts value generation for stakeholders.

AN INTEGRATED APPROACH



The company has taken the transformational journey towards Integrated Reporting in exercising a more holistic and interconnected portrayal of business activities and value creation. The decision to adopt the IR framework also aligns with the company's 10th anniversary - a timely move towards strengthening best practices in both reporting and value creation.

SCOPE OF THE REPORT

The report presents financial and non-financial information and a capital management report, providing the overall annual progress of the company. The information presented within the Annual Report covers the company's annual reporting cycle, which lasted from 1st January to 31st December 2021.

Unless specifically stated, information presented in this report in relation to the previous year has not been restated.

OPERATIONAL INFORMATION (NON-FINANCIAL)



By adopting the IR framework, the Annual Report now enables stakeholders to obtain an integrated and holistic view of operations and management of both financial capital and non-financial capitals, which include human, intellectual, social and relationship, natural and manufactured capitals.

It also aims to provide a concise and balanced account of our business model, strategic objectives, outlooks, risk management, opportunities and corporate governance, all of which are fundamental elements in eliciting sustainable value for our stakeholders.

Financial Disclosures

In demonstrating the company's ability to create financial value for its shareholders and investors, the Annual Report provides detailed and structured financial statements, as well as disclosures. All financial reporting complies with relevant regulatory frameworks and accounting standards.

Materiality

Across the report, we have included aspects that are material to our ability to create value for our stakeholders, especially providers of financial capital. We have identified such matters by determining stakeholder interests through means of various stakeholder engagements in addition to board and management discussions. Furthermore, risk assessments, internal controls and governance procedures also enable recognising material matters.

How we apply the concept of materiality is detailed in pages 27 to 29 of this Annual Report.

Integrity and Inclusivity

The Annual Report depicts accurate and precise information based on extensive gathering of both qualitative and quantitative information. Information and statistics are presented in a structured and concise manner, while using analytical tools to present factual information in a graphical manner.

All non-financial and financial information have been vetted by the company's top management and relevant department heads.

Reliability and External Assurance

Financial information and audited financial statements have been verified by the independent auditing firm Ernst & Young, while an independent actuary valued life fund and liability adequacy.

Comparability

As the first of our Integrated Annual Reports, the 2021 Report titled "PERSISTENT STABILITY" is not preceded by a report which can be used comparatively. The consistencies, structure and graphical manner in which the information is presented has undergone a drastic transformation.

Guiding Frameworks

The following frameworks are adopted by the Company, adopting best practices in financial reporting, governance and sustainability.

FINANCIAL REPORTING

- Companies Act No. 07 of 2007
- Sri Lanka Accounting Standards (LKAS and SLFRS)
- Rules, regulations, directives, and circulars of the Insurance Regulatory Commission of Sri Lanka (IRCSL)
- Insurance Industry Act No. 43 of 2000 subsequent amendments

GOVERNANCE

- Code of Best Practice on Corporate Governance issued by CA Sri Lanka (Voluntary)
- Corporate Governance Framework by Insurance Regulatory Commission of Sri Lanka (IRCSL)
- Companies Act No. 07 of 2007
- Listing Rules of Colombo Stock Exchange

Frameworks

SUSTAINABILITY

- Sustainability Development Goals - United Nations (Voluntary)
- GRI Standards Published by Global Reporting Initiative

INTEGRATED REPORTING (VOLUNTARY)

- International Integrated Reporting Council (IIRC)
- Handbook on Integrated Corporate Reporting by CA Sri Lanka

ABOUT THE REPORT

GRI: 102-53

Availability

The Report is accessible as a printed copy, however, with limited circulation. It is also available digitally on <https://www.arpicoinsurance.com/financial-information/>.

The most recent report of the company for the year ended 31st December 2020 is available on our website at <https://www.arpicoinsurance.com/financial-information/>.

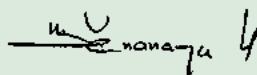


Statement of the Board of Directors on the Integrated Annual Report

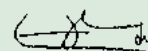
The board hereby assures the integrity of information presented in the company's first Integrated Annual Report. The board also affirms the report's reliability and completeness in depicting material matters that are necessary for a complete understanding of the company's performance – especially in relation to its ability to create value for stakeholders over time.



Chairman
Viville Perera



Chief Executive Officer
Kelum Senanayake



Manager Finance
Chathumadu Abeykoon

Feedback

Please provide your feedback on our first Integrated Annual Report, as it will enable us to improve our future reports.

Manager-Finance
Arpico Insurance PLC
No: 55/20, Vauxhall Lane,
Colombo 02.
Tel-0112200900
Email: info@arpicoinsurance.com

ABOUT THE COMPANY

What We Represent - "Insurance for the Living"

Celebrating 10 years in the service of insuring lives, our journey once again heralds a new decade of sustainable growth. Founded in 2011 and thereafter listed on the Colombo Stock Exchange (CSE) in 2015, our position within the life insurance industry has gathered a perpetual momentum of growth.

As part of the value we create for our customers, we provide a holistic portfolio of insurance policies and solutions, which consist of term assurance, endowment, education plans, health insurance, investment plans, group assurance and loan protection plans.

A subsidiary of one of Sri Lanka's most diversified conglomerates – Richard Pieris & Company PLC, we are backed by the trust and extensive strengths of our parent company. This recognition enables us to boldly pursue innovations and market expansions, while tapping into the needs of our customers extensively; delivering solutions with compassion, integrity and professionalism.

VISION

To be the most trusted and innovative solutions provider for life insurance needs.

MISSION

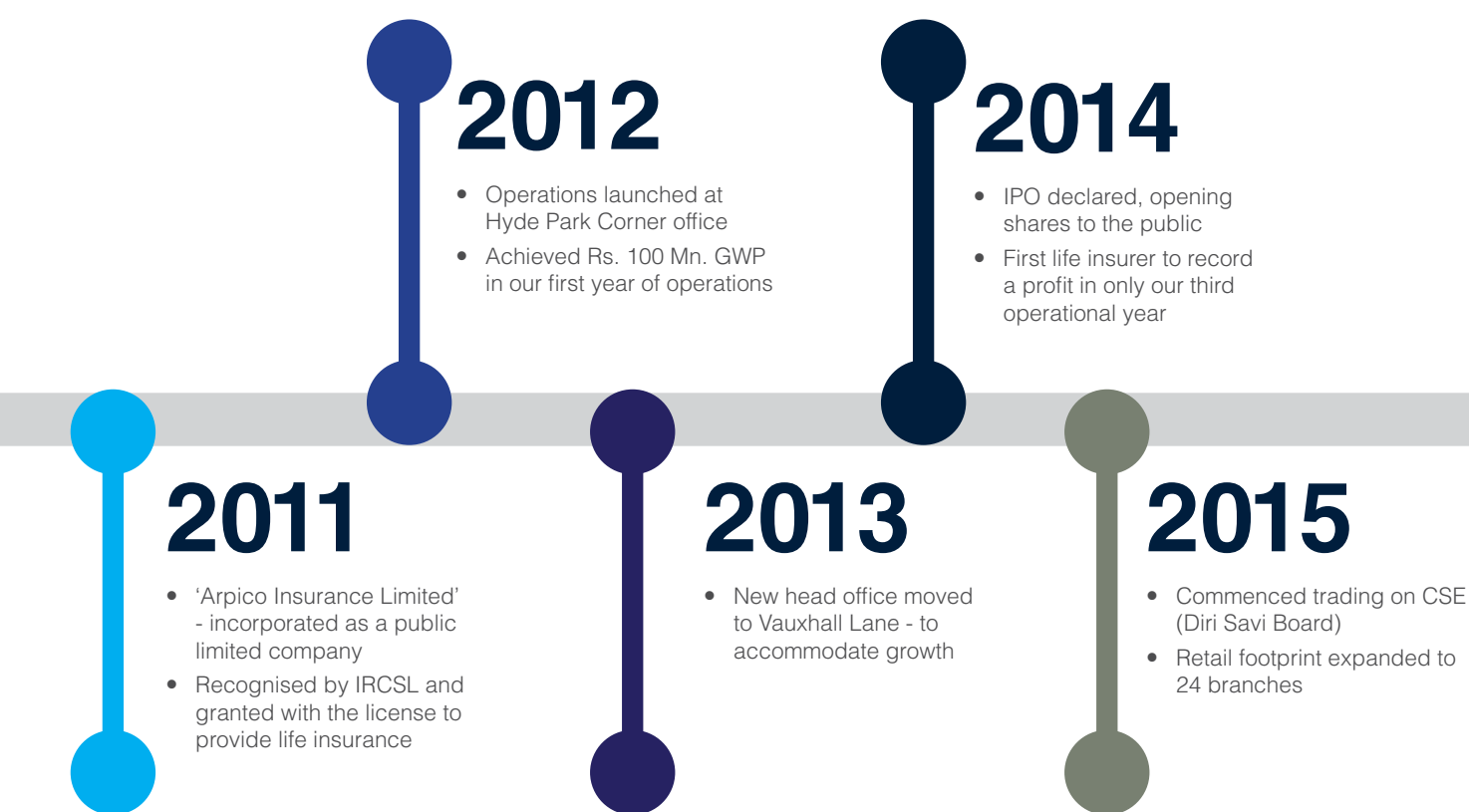
Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions and unique service capability.

VALUES

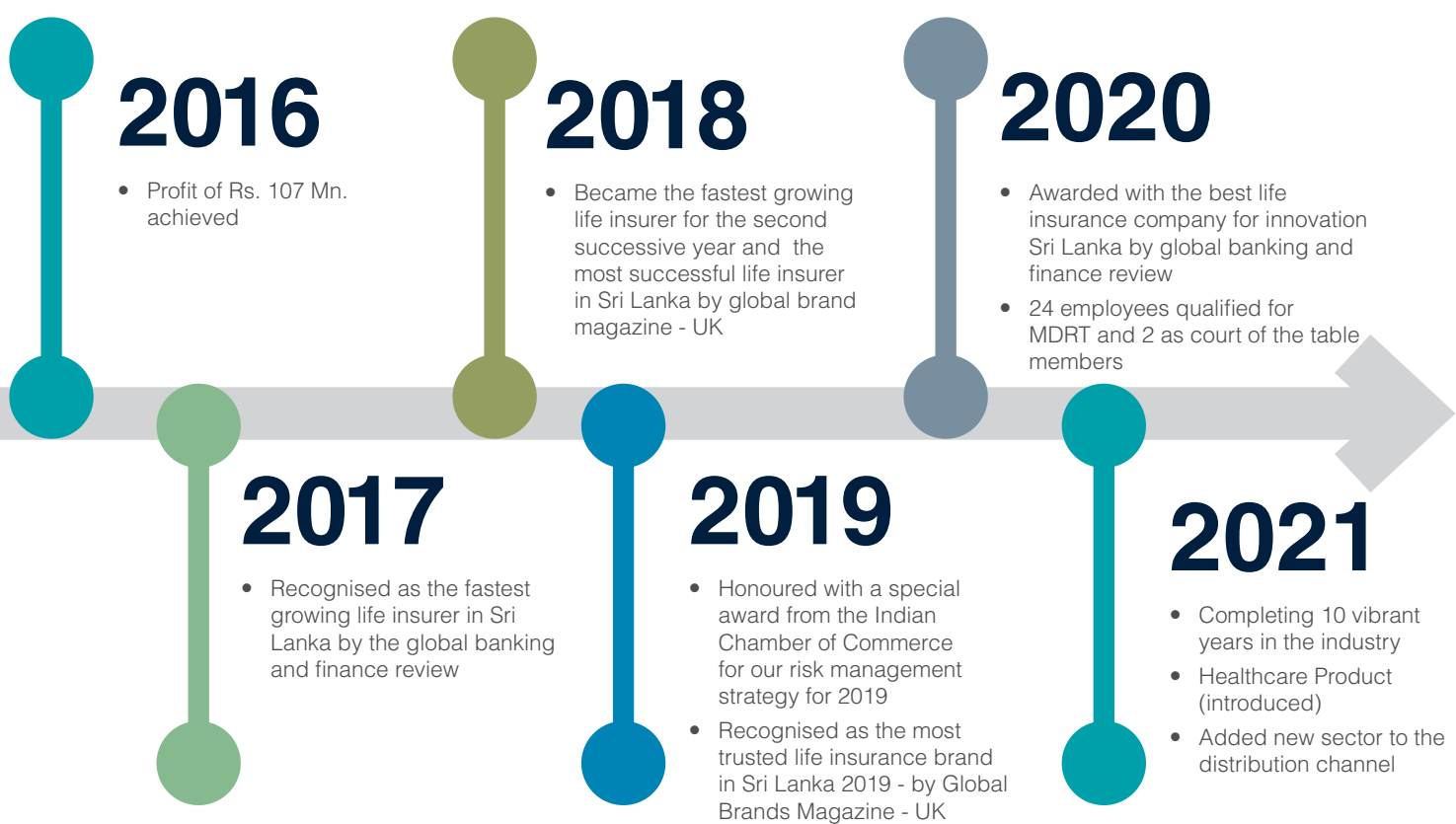
- To serve customers with care, compassion and respect.
- To do the right thing for the right reason.
- Always think to lead in new ways and introduce result oriented solutions to customers.
- Always nurture and value team spirit along with satisfaction.
- Ensure maintenance of high standards standard in all professional aspects and practices of the company.



JOURNEY AND MILESTONES



2021 marked a decade of commendable achievements and sustainable growth - the culmination of 10 years of pursuing our vision of becoming one of the most trusted and innovative solutions providers in the life insurance industry.



AWARDS AND RECOGNITIONS

The success of our 10-year journey is represented by the following accolades.



Fastest Growing Life Insurance Company Sri Lanka 2017

Most Successful Life Insurance Company Sri Lanka 2018

Risk Management Strategy of the year 2019

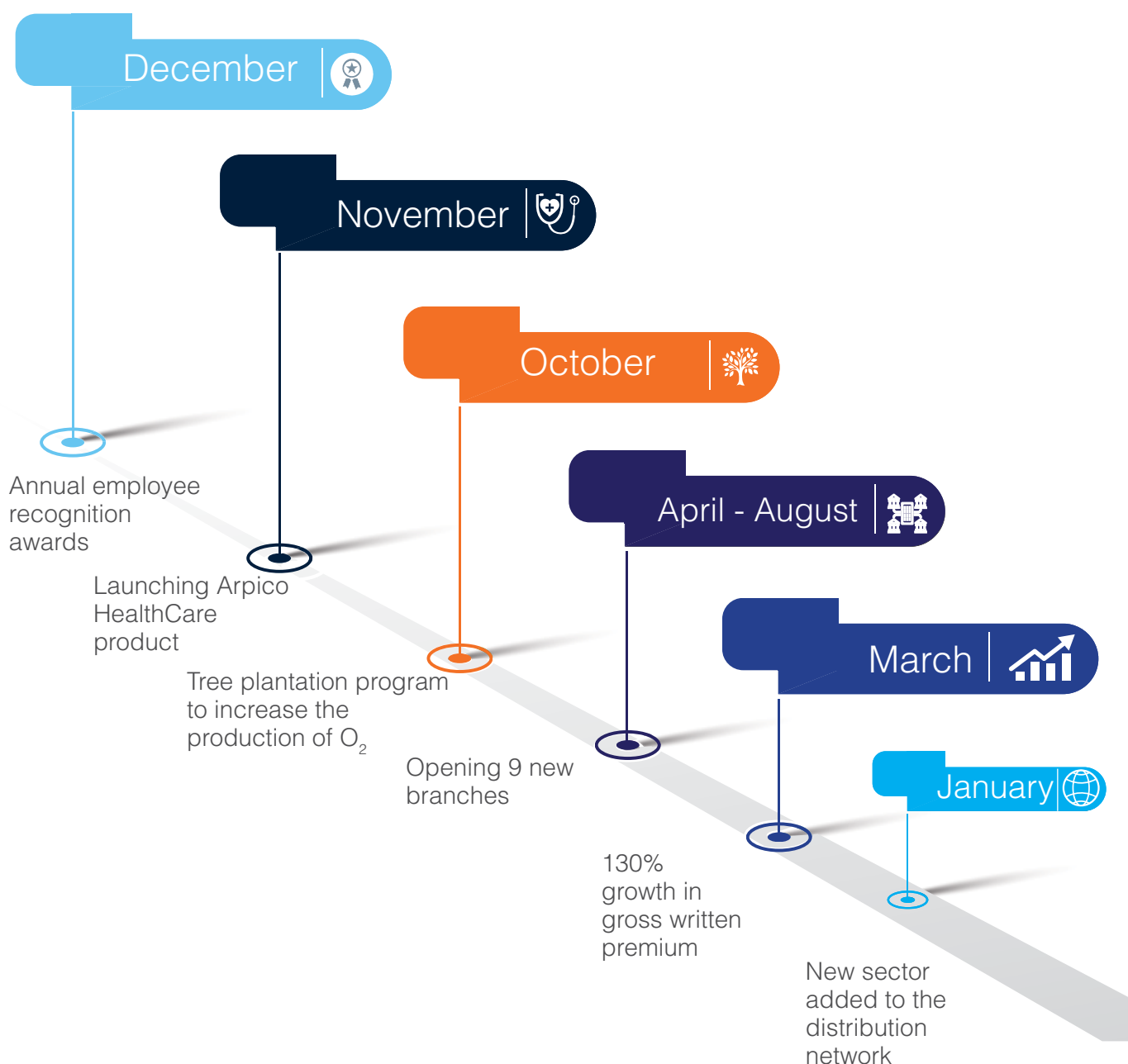
Fastest Growing Life Insurance Company Sri Lanka 2018

Most Trusted Life Insurance Brand Sri Lanka 2019

The Best Life Insurance Company for Innovation Sri Lanka 2020

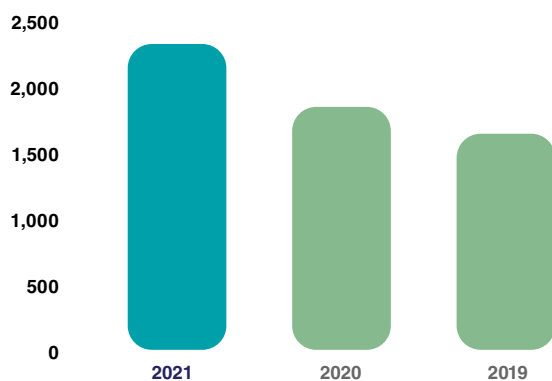
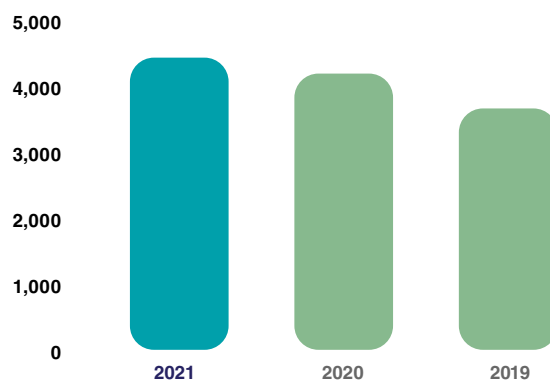
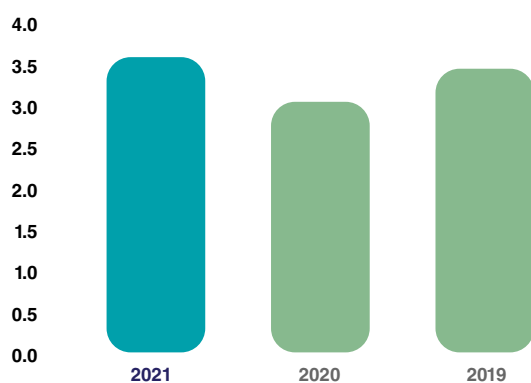
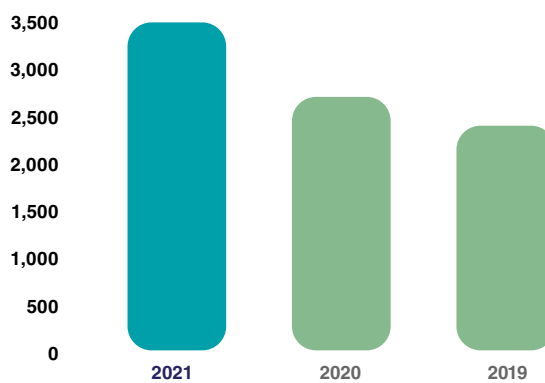
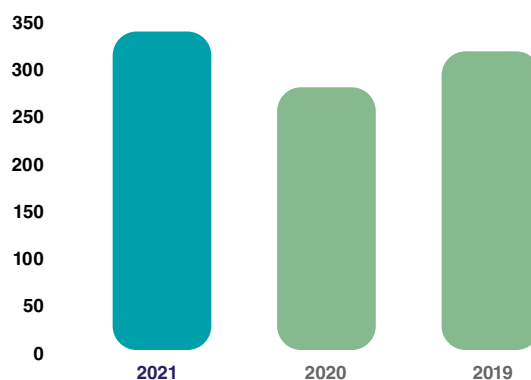


YEAR AT A GLANCE



PERFORMANCE HIGHLIGHTS

	Aspect	Unit	Value Created (Outcomes)	
			2021	2020
Financial	Net written premium	Rs. Mn.	2,208	1,745
	Revenue (Other)	Rs. Mn.	309	296
	Profit after tax (PAT)	Rs. Mn.	236	200.6
	Market capitalisation		1,576.3	1,271.6
	Earnings per share	Rs.	3.57	3.03
	Capital adequacy ratio	%	435	415
Human	Workforce	No.	2,805	2,675
	New recruitments	No.	422	232
	Training hours	Hrs.	1,700	1,800
	Employees rewarded	No.	56	-
	Revenue per employee	Rs. Mn.	0.82	0.69
	Financial benefits awarded	Rs. Mn.	492	356
Social and Relationship	Total new policies	No.	22,186	19,232
	Claims and benefits	Rs. Mn.	573	395
	Customer complaints resolved	%	88	100
	Agents	No.	2,154	2,174
	Agent commissions	Rs. Mn.	753	418
Intellectual	New products	No.	1	2
	Brand building	Rs. Mn.	13.9	6.5
Manufactured	New branches	No.	9	2
	Total assets	Rs. Mn.	4,416	4,175
	PPE acquisitions	Rs. Mn.	26	24
	Intangible assets	Rs. Mn.	0.59	0.41
Natural	Electricity saved	%	28	-
	Water saved	%	34	-
	Fuel saved	%	27	-
	Impact from tree planting	L.	56,900 O₂	-

Gross Written Premium (Rs. Mn)**Total Assets** (Rs. Mn)**Earnings Per Share** (Rs.)**Investment Portfolio** (Rs. Mn)**Profit Before Tax** (Rs. Mn)

CHAIRMAN'S MESSAGE



As the insurance arm of Richard Peiris and Company PLC, I cannot overlook the strong guidance provided by the group in matters of governance and objectives. The group has been responsible for providing thought leadership and investments for strategic transformations, which opened avenues to making many of our undertakings successful in the short to long-term tenure.

DEAR SHAREHOLDERS AND INVESTORS,

Wisely navigating the shifts of the pandemic, Arpico Insurance PLC continued to post a profitable year, marking strength and stability. Within this backdrop, it gives me pleasure to present to you, the company's Inaugural Integrated Annual Report for the financial year 2021.

This year's report coincides with a significant milestone of our journey – the completion of 10 years in the insurance industry, signifying a decade of steady growth and resilient operational capabilities. As a young insurer, under the wings of the Richard Peiris conglomerate, we are setting the clock once again to mark yet another decade of robust growth, with promising potential for innovation and sustained value creation.

WELL-ADJUSTED GROWTH

Adjusting to the effects of the global pandemic and resulting national economic downturn, we continued to execute strategic decisions –crafting solutions to work around tough conditions. As an insurer, our culture of working to assess and mitigate risk exposures proved to be invaluable, as the economy continued to be highly unpredictable in the financial year.

The effectiveness of our strategies enabled us to cross over the Rs. 2 Bn. mark in gross written premiums, while marking a 26% rise for the 2021 financial year in comparison to the previous year. In other metrics of financial performance, we saw a 29% growth in our investment portfolio through prudent investment management, with the investment committee making well-timed decisions, resulting in an increase in returns.

MACRO ENVIRONMENT

In the first half of 2021, the economy grew by 6%, due to gradually increasing trade and social activities. By mid August, merchandise exports and export revenue increased, indicating a rebound in trade; however, import expenditure increased at the same time, while increasing the gap in the trade deficit. One of the biggest challenges faced by the government was declining official reserves, limited inflows of foreign exchange and payment of external debt. Market interest rates dropped significantly from the first part of 2020 until mid 2021. However, as CBSL tightened monetary policy, market interest rates increased¹ gradually by the end of 2021.

Meanwhile, within the insurance industry, there was an increase in industry assets and Gross Written Premium (GWP) in the first half of the year, while profit before taxations reduced to Rs. 14.5 Bn in the same timeframe² total assets and GWP increased in the life insurance sector, while there was an asset and GWP decline in the general insurance sector.

SOUND GOVERNANCE

Amidst the macroeconomic and external shifts in 2021, we focused on increasing the soundness of our corporate governance structure. The group appointed a new Chief Executive Officer who is an undisputed veteran in the industry. In addition, a new board member was welcomed to the team, strengthening our leadership in spearheading a new phase of growth.

¹Money, Credit and Interest Rate Developments December 2021 Economic Research Department Central Bank of Sri Lanka

²Financial Sector Performance And System Stability: Recent Economic Developments - Highlights of 2021 and Prospects for 2022

CHAIRMAN'S MESSAGE

During the year, the board set in motion the steps necessary to establish a risk-driven culture – which not only monitors risk exposures but takes calculated efforts to mitigate risks and seek opportunities.

The board also approved measures to strengthen investment management, taking into account changes in market rates and volatilities in the domestic and international financial markets; moreover, the company also implemented a separate unit for actuarial activities. As a result of these measures, our operational framework was duly enhanced.

As the insurance arm of Richard Peiris and Company PLC, I cannot overlook the strong guidance provided by the group in matters of governance and objectives. The group has been responsible for providing thought leadership and investments for strategic transformations, which opened avenues to making many of our undertakings successful in the short to long-term tenure.

The Strategic Focus

Over the past year, focus on our growth strategy accelerated as we initiated plans for phased branch expansions and in expanding our sales forces. Similarly, operational leadership underwent a strategic transformation, as mentioned under sound governance – enabling a more harmonious balance between strategic and operational leaderships, while laying the groundwork for expansions within the next few years. Underpinned by the strengths of the parent conglomerate, we envision an expansion of over 30 branches within the next two to three years.

Moreover, bringing fresh reinforcements, we also expanded our in-house sales team, while providing a clear career path in ensuring their long-term tenure with the company. Human capital plays a bigger role in aligning objectives with operational activities; hence, each division has a clear role in driving growth, while it is the responsibility of the leadership to provide rounded training that brings out the best of employee capabilities. This is in addition to nurturing their expectations of professional growth and career rewards.

As a result, employee growth is embedded with strategic plans for growth, making it necessary to ensure a culture of self-transformation, one that is supported by innovation and performance recognition.

Solutions for the Living

Following the precept of 'insurance for the living', we unveiled a new healthcare solution aptly named 'Arpico Healthcare' – providing a dependable medical policy with increased value additions for customers.

Inclusive of unmatched benefits, this best-in-class health insurance cover offers several unique beneficiaries – making it one of our most notable initiatives in the year under review. In retrospect, we introduced a speciality policy in 2020, which covers COVID-related expenses including telemedicine, an area that was rapidly adopted by the insurance industry.

The Long-term Outlook

Furthermore, digital services will remain a core strategy, as we continue to invest in several solutions for the benefit of our customers. In addition, we are pursuing digitalised processes looking into creating a leaner and highly efficient work environment, where employee productivity and speed of service is enhanced by streamlined digital work systems.

We continue to study the insur-tech landscape, with plans to gradually introduce innovative technologies in our efforts to complement our growing portfolio and dynamic business goals.

Our primary focus will remain on scaling business. We expect to expand our branch and channel presence, while scaling our digital presence. Both stratagems are intended to grow new business in the next three to five years.

Scaling sustainability efforts will be another key focus in the pipeline, while we integrate sustainable business development and social governance to our sustainability agenda; with a focus on strengthening inclusive and equitable opportunities for customers, employees and key stakeholders.

Acknowledgement

My sincerest appreciation goes to group chairman Dr. Sena Yadehige for his visionary leadership and continuous guidance. I am immensely thankful to the board of directors for their responsible leadership and prudent thinking in taking decisions at appropriate times.

I also convey my appreciation to our Chief Executive Officer, the corporate management and to the sales force for applying their competencies and dedication to achieve a satisfactory outcome. I'm also thankful for the constant support and determination showed by our employees, and for their display of professional integrity.

To our shareholders, I extend a heartfelt gratitude; your relationship with us continues to sustain our progress and empowers us to confidently pursue strategies in creating long-term value.

Last but not least, I extend my sincere gratitude to all our valued customers for their unwavering support and trust placed in us throughout our decade-long journey.



Viville Perera
Chairman

CHIEF EXECUTIVE OFFICER'S REVIEW

TO OUR DEAR STAKEHOLDERS,

It gives me great pleasure to present the company's first Integrated Annual Report, and I am greatly honoured to address you as the company's newly appointed Chief Executive Officer.

Since I commenced duties, I have seen the company's true potentials and capacity for exceptional growth. And at the centre of it lies the company's team of insurance professionals who has pledged their commitment and expertise to providing 'Insurance for the Living'.

In March 2021, when I first assumed duties as the CEO of the company build-up of negative impacts in the external environment was a cause for concern. However, there are several factors that enabled us to push through the uncertainties to reap better than anticipated results in the financial year under review.





CHIEF EXECUTIVE OFFICER'S REVIEW

WELL-MANAGED EXPECTATIONS

Equipped with the successes of the previous year, we saw our team working towards the Rs. 2 Bn. mark in Gross Written Premiums (GWP). As a result of several strategic changes and commitment to expediting initiatives, Arpico Insurance PLC achieved a 26% increase in GWP, reporting Rs. 2.3 Bn. GWP for the year.

As anticipated, in relation to business growth, claims and benefits rose during the year, and while managing customer expectations, we expedited disbursements of Rs. 573 Mn. in claims and benefits, compared to Rs. 395 Mn. in 2020.

SURPASSING PANDEMIC IMPACTS

Achieving the year's milestones amidst lockdowns and increasing economic uncertainties was a challenging journey not only for us but for businesses across many industries. Not only did the pandemic create health implications but its economic distresses are many and varied. Mainly, volatilities within the financial markets have a direct bearing on us as a life insurer, due to long-term assets and liabilities.

Reduction in rates has a clear impact on our revenue-making abilities. However, prudent investment assessments and timely decisions enabled us to increase our investment portfolio from Rs. 2.6 Bn. in 2020, to Rs. 3.4 Bn. in the year under review. Investment income also increased from Rs. 253 Mn. in 2020 to Rs. 256 Mn. in 2021.

Amidst macroeconomic impacts, our solvency ratio remained well-above the industry average; a result of prudent financial management and cautious asset investment decisions. Furthermore, indicating our ability to absorb potential financial losses, the capital adequacy level remained at 435% against the statutory average of 120%.

The company also achieved a profit before taxation of Rs. 337 Mn., a 21% increase over 2020, which culminated in an after tax profit of Rs. 237 Mn. an increase of 18% in relation to the final profit outcome of 2020.

ROBUST RESPONSES

As seen from the well-managed financial performance, the company has responded well to the business impacts from the pandemic and is well on the way to implementing plans for the future. In 2021, while supporting our strategic plans for growth and expansion, we continued to extend our physical presence with the addition of 9 new branches, concentrated mainly in the Northern Province - continuing to further expand our service

network.

In 2021, the company addressed several gaps that existed within the organisational framework and processes. The void in digital transformations was addressed in order to assist customers during restricted mobility and social distancing. As a result, the company invested in several digital solutions, including digital and web-based payment channels.

Moreover, the cyber defences of the company was further fortified during the year, as we continued to promote online payments amongst both individual and corporate customers – providing convenient and safe web payments.

Strengthening Internal Defences

From the perspective of improving internal mechanisms, our risk management framework was bolstered, in managing both risks and opportunities in the current environment. During the year, we revised and commenced implementation of a new Risk Management Policy (RMP) with its roll-out extending towards 2022. The new RMP aligns with ISO 31000:2018 risk management standards and complies with regulatory requirements. Moreover, a new compliance department was established during the year assuring the company's adherence to internal control processes and external regulatory frameworks.

Strengthening the risk mechanism further, the company increased risk-related training across departments, improving employee understanding of relevant risk exposures and mitigation measures; furthermore, the Risk Management Division engaged in the preparation of risk registers for Head Office departments facilitating identification and correction of risks across operational units.

From a macroeconomic standpoint, the company continued to assess the external risk landscape – assessing risks such as investment risks, health and safety risks as well as insurance market-based risk exposures, with main considerations remaining on risks surrounding the foreign exchange crisis and changes within the financial markets. As a result, we revised our risk appetite and tolerance levels to weather new exposures.

Responses to Healthcare Solutions

In developing a comprehensive portfolio, our focus is not only on covering all segments of products; it is also based on a commitment to providing our customers with comprehensive benefits that suit their expectations. During 2021, we introduced 'Arpico Healthcare' a dedicated and full-inclusive healthcare policy that offers a myriad of benefits. Customers can now be

insured with several covers in one solution including cancer cover, critical illness cover and a life cover, not forgetting the all-important per day hospitalisation benefit with cashless reimbursement. Adding a layer of extra care, the assured can obtain a parental cover offering financial relief when care is needed the most.

In 2020, we also introduced Arpico COVID Care plan providing assurance on reimbursements for COVID related hospitalisation, testing and vaccination, alongside a life insurance cover. In 2021, we incorporated the convenience of telemedicine, with the ability to obtain medical consults via video conferencing facility through one of Sri Lanka's prominent online channelling and consultation platforms - extending the scale of benefits offered to the insured.

The health implications and tragic loss of lives surrounding the pandemic is devastating, however, according to the WHO there is a notable drop in new global cases at the time of penning this report. As an insurer who is dedicated to shouldering pandemic related medical costs on behalf of our customers, we continued to offer support by extending the pandemic exclusion removal till March end 2022. In addition, we settled 100% of COVID-19 related insurance claims on behalf of customers affected by the pandemic.

Environmental Governance

Through the commitment of our team, focus on environmental governance is now being strengthened. In 2021, we initiated the 'Green Club' a sustainability based venture to plant trees in and around Colombo. This will be one of our preliminary efforts in raising our contributions to the environment. In addition, implementation of 5R and e-waste recycling are being planned, with initial actions to be carried out in 2022. We look forward to gradually increasing our responsibility to environmental sustainability in the long-term.

Outlook

Anticipating the pandemic to gradually die down in the coming year, we expect a reduction in COVID-related morbidity and mortality in Sri Lanka. However, any worsening of the pandemic will burden both patients and Sri Lanka's healthcare system, while prompting healthcare providers to increasingly offer related services such as telemedicine coverage as seen over the past few years. Moreover, health concerns are expected to increase people's consideration of health policies, which require insurers to devise innovative, inclusive and affordable solutions.

Furthermore, anticipating market fluctuations, we will continue to make timely investments and reassess our investment portfolio safeguarding our potential for increased investment earnings

and capital.

In the near term, we will continue to respond to changing customer behaviour patterns. Although the pandemic impacted customer spending due to partial or full loss of income and unemployment, mainly in the informal work sector, we will continue to personalise solutions to match client spending capacities. Moreover, given the high competitive environment we will continue to stretch our product portfolio and service conveniences, in order to attract new customers, while understanding customer expectations to increase retention.

Digital insurance and online-based services will also be a key focus, while the company will make investments in gradual digitisation and digitalisation of internal processes. This will enable us to transform processes to be more efficient while pushing for reduced turnaround times – ultimately becoming a benefit for our customers.

All in all, our focus will be on converging customer expectations, human capital potentials and technologies for growth and innovation.

Note of Appreciation

As a relatively smaller, but younger insurer, the success of the past decade is a result of our team's hard work, commitment and passion for serving the society through inclusive insurance. In this regard, my sincerest appreciation is reserved for the entire Arpico Insurance team, our employees and the senior management for demonstrating the same qualities throughout 2021. But most importantly, my appreciation goes to our group Chairman Dr. Sena Yaddheghe who is a beacon of strategic thought leadership, given his experiences in having dealt with strategic challenges.

Similarly, I convey my appreciation to Chairman of Arpico Insurance, Mr. Viville Perera and the board of directors for approving several strategic initiatives, which has added immense value to the organisational capital.

I also extend my gratitude to all our stakeholder groups, including customers, agents and service providers – for continuing to trust in our ability to create increasing value. With the confidence of our stakeholders in us, we will continue to mark another decade of exceptional growth.



Kelum Senaniyake
Chief Executive Officer



Creating Integrated Value

VALUE CREATED AND SHARED IN 2021

GRI: 201-1

ECONOMIC VALUE ADDED

GENERATING VALUE

Arpico Insurance PLC is committed to creating value for stakeholders in the short, medium and long terms, delivering value that grows exponentially; value that is both economically and non-financially rewarding.

VALUE DISTRIBUTED

The financial rewards (Economic Value Generated) of our business decisions and activities enable us to distribute value amongst all stakeholders – including shareholders, customers, partners, employees and the state.

VALUE RETAINED

This is equivalent to what we retain, subsequent to distribution of value we generated within the financial period.

Value Generated

EVG Created	Value (Rs.)
Gross written premium	2,311,632,930
Net written premium	2,208,340,615
Revenue - fees and commission	45,547,057
Other revenue	264,225,400

Value Distributed

Stakeholders	Value Distributed (Rs.)	Indicator
Shareholders	N/A	Dividend
Employees	492,637,228	Salaries and all other investments
Agents	753,929,519	Commission
Customers	573,138,341	Claims and benefits
Community	56,900	O ₂ litres

Value Retained

What we retain	Value (Rs.)
Profit after tax	236,700,736
Amortisation	291,587
Depreciation	27,945,272

SUPPLEMENTARY
INFORMATIONS

FINANCIAL
REPORTS

LEADERSHIP AND
GOVERNANCE

MANAGEMENT
DISCUSSION AND
ANALYSIS

CREATING INTEGRATED
VALUE

ORGANISATIONAL
FRAMEWORK

VALUE CREATION APPROACH

STAKEHOLDER ENGAGEMENT

GRI: 102-40, 102-42

Through continuous engagement with stakeholders, we are able to ascertain their interests, while interlinking their expectations to the company's management of capitals in creating short, medium and long term value.

It is necessary for us to prioritise stakeholders based on their ability to influence our strategic objectives, since stakeholder expectations are tied to how we prioritise material matters and in how we manage our processes to elicit value creation.

ENGAGING WITH STAKEHOLDERS

By engaging with Stakeholders through clear engagement and communication methods, we obtain perspectives and concerns on company's strategic direction and management of capitals when creating sustainable value. It also enables us to identify recommendations on how we should craft our strategies and actions. As a result, these interactions support informed decision.

Segment	Stakeholders	Level of Engagement	Engagement Mode
Shareholders and Investors	- Parent company - Shareholding companies	●	- Annual report - Interim financial reports - Press releases - AGM - Corporate website
Customers	- Existing policyholders - Prospective policyholders	●	- Corporate website - Social media networks - Mass media communications and marketing collateral - Interactions with employees and sales staff - Call centre and e-mails
Employees	- Employees in head office and branches - Sales force of Arpico Insurance PLC	●	- Corporate communication tools - Staff meetings - Skip level meetings - Management meetings - Award programs - Training programs - Recreational activities
Business Partners and Suppliers	- Agents - Bancassurance - Reinsurers - Suppliers - Bankers, auditing firm and other service partners	●	- Formal meetings - Management discussions - Digital communication channels - On-site visits
Regulators	- Government - Insurance Regulatory Commission of Sri Lanka (IRC SL) - Central Bank of Sri Lanka (CBSL) - Colombo Stock Exchange (CSE)	●	- On-site surveillance - Filing returns - Directives and circulars - Media releases - Workshops and seminars
Community	Financially vulnerable communities and individuals	●	- Charitable projects - Collaborations with institutes - Social events

● High ● Moderate ● Low

STAKEHOLDER EXPECTATIONS

The process of value creation begins with the understanding our stakeholder expectations. Identifying expectations tied to both economical and non-financial interests enables us to devise prudent strategic measures as well as tactical plans in creating value that grows over time.

Stakeholder	Expectations and Concerns	Strategic Measures
Shareholders	• Sustainably growing returns (dividends)	• Committed to increasing revenue
	• Increased financial performance	• Managing outflows mindfully
	• Comprehensive and transparent reporting	• Switch to integrated annual reporting and adopting GRI
	• Strong governance and risk management	• Regular improvements to risk and governance practices
	• Strong financial management	• Highly qualified and experienced team
	• Relevant and innovative	• Investments in industry trends and innovative solutions
	• Clear strategic direction and achievable actions	• Road-map with short, medium and long-term strategic objectives
Customers	• Protection during calamities	• Fast and dependable claim settlement
	• Intuitive need identification	• Diversified policies and benefits
	• Accessibility and increasing touch-points	• Solutions matching timely needs
	• Increasing service quality	• Growing branch network and touch-points
	• Innovative and inclusive products	• Improvement in the service standards training to improve technical knowledge and professionalism
	• Operational efficiency	• New product launches in select categories
	• Digital transformations	• Investing in ICT
	• Increasing brand value	• Developing digital services and digitised processes
Employees (Sales and Non-sales)	• Remuneration and benefits	• Investing in annual branding activities
	• Training and development	• Annual increments
	• Work-life balance	• Prioritised programs for technical and non-technical staff
	• Non-discrimination	• Recreational facilities, annual outings and get-togethers
	• Gender parity	• Non-discrimination policy
	• Rewards, recognition and empowerment	• Equal opportunities for all
	• Job security	• Annual awards program
	• Job advancement	• Stable position ensures business continuity
	• Open communication	• Succession planning internal recruitment
	• Employee health and safety	• Internal recruitment
		• Open-door policy
		• Regular management meetings
		• Medical insurance
		• Health awareness programs
		• High quality sanitization facilities

VALUE CREATION APPROACH

STAKEHOLDER ENGAGEMENT

GRI: 102-43

Stakeholder	Expectations and Concerns	Strategic Measures
Business Partners and Suppliers	- Partnerships based on trust, respect and professionalism - Honouring contractual obligations - Attractive and competitive payment structures	- Amicable and professional communication - Timely commission payments - Prudent pricing policies
Regulators	- Accountable, transparent and ethical practices - Regulatory compliance - Statutory taxes	- Best practices on governance - Compliance to statutory and financial regulations - Policy implementation - Timely payment of taxes
Community	Contributing to community well-being	Increasing oxygen contribution by planting trees

ENVIRONMENTAL SUSTAINABILITY

As an employer conscious of environmental sustainability, we also take into consideration our impact on the environment – including positive contributions and on minimising any adverse effects. However, this is not directly expected from us by any group of stakeholders; nevertheless environmental sustainability enables us to inadvertently create value for the planet and the wider community.



Energy Conservation



Water Conservation



Fuel Savings



Improving Natural Environment



Waste Management, Re-use and Re-cycling



Energy Efficient Lighting and Equipment

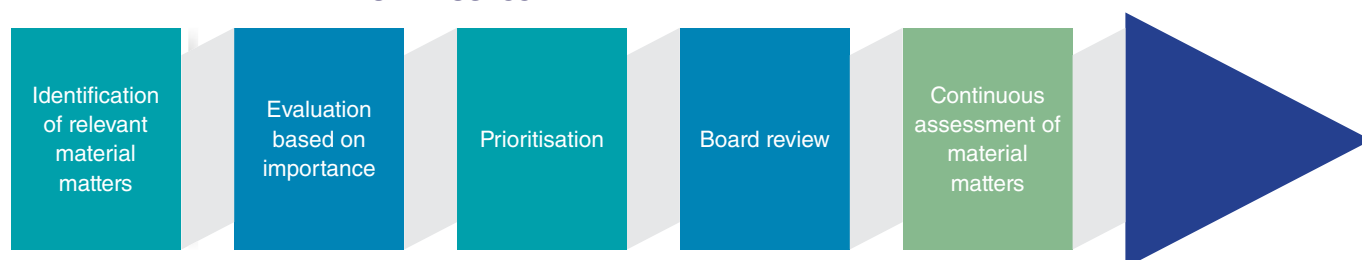


Moving to a Paperless Workplace

MATERIALITY

By ascertaining matters that carry an impact on our processes and business functions, we are able to improve and increase value creation for our stakeholders. In this regard, our materiality determination process enables us to identify and evaluate material aspects that impact the company and stakeholders. In addition, this process also enables us to determine the information that should be disclosed in relation to value creation and stakeholder expectations.

MATERIALITY DETERMINATION PROCESS



IDENTIFICATION OF RELEVANT MATERIAL MATTERS

Involves identifying material matters that carries an effect on our ability to create value. They are recognised for their impact on our strategy, management of capitals, risks, opportunities and on our governance of operations. Such aspects are also identified in relation to stakeholder perspectives.

The following means are used when identifying material matters.

- Engagement with key stakeholders
- Risk management process
- Board and committee meetings
- Meetings with the management
- Analysis of macroeconomic developments
- Observation of regulatory changes

EVALUATION OF MATTERS

Identified matters are evaluated for their relative ability to impact the company and stakeholders. Matters that have no influence on our value creation are isolated. In addition, matters that are not viable to be pursued are also separated from aspects that has definite impact on operations. Both qualitative and quantitative measurements are used when evaluating which aspects are of any considerable level of importance.

PRIORITISATION

Subsequent to evaluation and selection of matters which have a recognised impact on value creation prioritised with the use of the materiality matrix.

Such matters are prioritised and arranged on their level of importance to the company (on strategic direction, governance, performance, and prospects) and on importance to stakeholders.



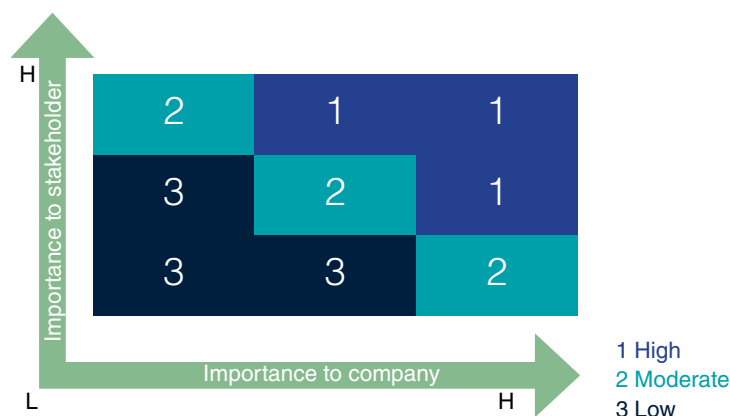
VALUE CREATION APPROACH

MATERIALITY

GRI: 102-47

MATERIALITY MATRIX

The materiality matrix enables us to prioritise material matters based on their importance to the company and stakeholders.



BOARD REVIEW

Board reviews further evaluate material matters – ensuring that such matters are addressed and stakeholder interests are met through strategic planning and goal-setting.

CONTINUOUS ASSESSMENT OF MATERIAL MATTERS

Issues that matter to operations and stakeholder value creation are continuously identified and assessed through stakeholder engagement and analytical information and data, as well as trends in the macroeconomic, regulatory and social environments.

MATERIAL MATTERS

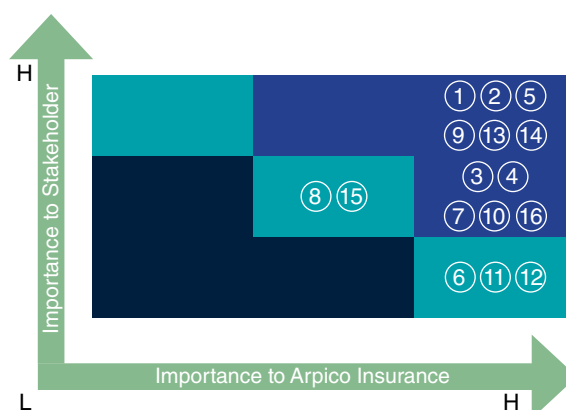
Following are material matters that have an impact on the company's strategic direction, capitals, risks, opportunities and its ability to create value overtime; some aspects also reflect stakeholder interests (refer pages 25-26). These material matters help determine actions required to enhance value creation, while shaping of our strategic focus (refer page 32 for strategic focus)

Material Topics	Bring our focus over here	Reference on related matters
1. Strong and inclusive financial growth	Improved underwriting profits	Increase in profit before tax 21% and profit after tax by 18%
2. Increasing shareholder returns	Continuously improving investment and financial management	Increase in investment
3. Implementation of financial standards	Cost optimisations	Reducing water, electricity and fuel
4. Claims and benefits to customers	Committing to contractual obligations	Customer claims and benefits 573 Mn.
5. Employee health and safety	Investments in employee growth	New recruitments
6. Excellence in customer service	Rewards and merits based on performance	High graded customer service
7. Employee growth		
8. Revised operational procedures due to the pandemic	Ongoing assessment of regulatory requisites and revising procedures accordingly	Rs. 3 Mn. work from home provisions
9. Strong governance	Continuous enhancements	Appoint a new director
10. Sound risk management		Appoint a risk management committee
11. Improve employee knowledge on risk management	Enhance risk management knowledge of employees	Providing risk management training programme for all employees
12. Increase digital transformations	New approaches and investments	Continuous improvement in company website
13. Strengthen data security		

Material Topics	Bring our focus over here	Reference on related matters
14. Increase market share through healthy competition	Economically beneficial products and customer service enhancements	New Healthcare Product
15. Environmental sustainability	Growing approaches to environmental sustainability	100 trees planted
16. Marketing and labelling	Increase customer awareness	13.9 Mn. investment in brand development

MAPPING OF MATERIAL MATTERS (1-16)

The following matrix depicts the relative importance of the above shown material matters, in relation to the company and stakeholders.



MATERIAL IMPACT OF COVID-19

Since the initial breakout of COVID-19, we have continuously factored the impacts of the pandemic on business operations and our stakeholders. We have taken numerous precautions in safeguarding customer and employee health and safety, in addition to ensuring minimum disruptions to operations and customer services during times of lockdowns and travel restrictions.

The pandemic's health implications, operational ramifications from lockdowns and emerging socio-economic trends due to the global pandemic are also continuously factored when designing operational procedures, new services and products; as well as how we engage with our stakeholders.

VALUE CREATION MODEL

INPUT

FINANCIAL CAPITAL

- Shareholder Capital
- Revenue
- Investment

HUMAN CAPITAL

- Skilled and experienced workforce

SOCIAL AND RELATIONSHIP CAPITAL

- Stakeholder engagement
- Relations with stakeholders
- Regulations that secure stakeholder interests

INTELLECTUAL CAPITAL

- Governance and culture
- Tacit and explicit knowledge
- Processes and innovations
- Brand capital

MANUFACTURED CAPITAL

- Fixed assets (PPE)
- ICT infrastructure

NATURAL CAPITAL

- Conservation
- Contributions

BUSINESS ACTIVITIES

VISION

To be the most trusted and innovative solutions provider for life insurance needs.

MISSION

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions and unique service capability.



VALUES

- To serve customers with care, compassion and respect.
- To do the right thing for the right reason.
- Always think to lead in new ways and introduce result oriented solutions to customers.
- Always nurture and value team spirit along with satisfaction.
- Ensure maintenance of high ethical standard in all professional aspects and practices of the company.

OUTPUTS

Diverse products and solutions that meets insurance needs.
(Refer page no. 69)

OUTCOMES

FINANCIAL CAPITAL

- Stable and steadily growing financial position
- GWP growth
- Prudent investment management
- Capital adequacy and liquidity

HUMAN CAPITAL

- Increased retention
- New recruits
- Increased training programs
- Growing increments
- Improved performance

SOCIAL AND RELATIONSHIP CAPITAL

- Claims and benefits
- Digital transformations
- Cordial and professional relationships with partners
- Growth in GWP
- Timely reinsurance consultation, reinsurance risk
- Ceded premiums Rs. 70 Mn.
- Honouring contractual obligations

INTELLECTUAL CAPITAL

- Strengthened governance framework
- Nurturing employee knowledge
- Implementation of risk management policy framework
- New product solution
- Brand building

MANUFACTURED CAPITAL

- New branches
- Branch maintenance
- ICT infrastructure

NATURAL CAPITAL

- Minimising paper usage
- Re-cycling
- Re-using
- Planting projects
- Reducing consumption of resources

Performance

- Equity base Rs. 2.07 Bn.
- GWP Rs. 2.3 Bn. (26% growth)
- Increase in short-term and long-term investments
- CAR of 435% (2020 - CAR 415%)

- Growth in retention
- Increase in new recruitments
- 165 training programs
- Rs. 492 Mn. in salaries and increments
- Recognised 56 employees for their commitment at annual awards

- Rs. 573 Mn in claims and benefits
- Online and digital payment solutions
- Rs. 2.3 Bn. in GWP - Rs. 753 Mn. in commissions paid
- Rs 54.56 Mn. ceded claims, Rs.70 Mn. ceded premiums

- (Refer governance report on page 100 to 113)
- (Refer human capital on page 58 to 65)
- (Refer risk management report on page 114 to 123)
- New innovative products (Arpico Healthcare)
- Rs. 13.9 Mn. In investments

- 9 new branches and 2 branch relocations
- 36 Mn. new branch investments

- Collaboration with recycling firm
- Launch of green club
- Power saving by 28%
- Water saving by 34%
- Fuel savings by 27%

SUPPLEMENTARY
INFORMATIONS

FINANCIAL
REPORTS

LEADERSHIP AND
GOVERNANCE

MANAGEMENT
DISCUSSION AND
ANALYSIS

CREATING INTEGRATED
VALUE

ORGANISATIONAL
FRAMEWORK

STRATEGY AND RESOURCE ALLOCATION

GRI: 102-14

STRATEGIC FOCUS

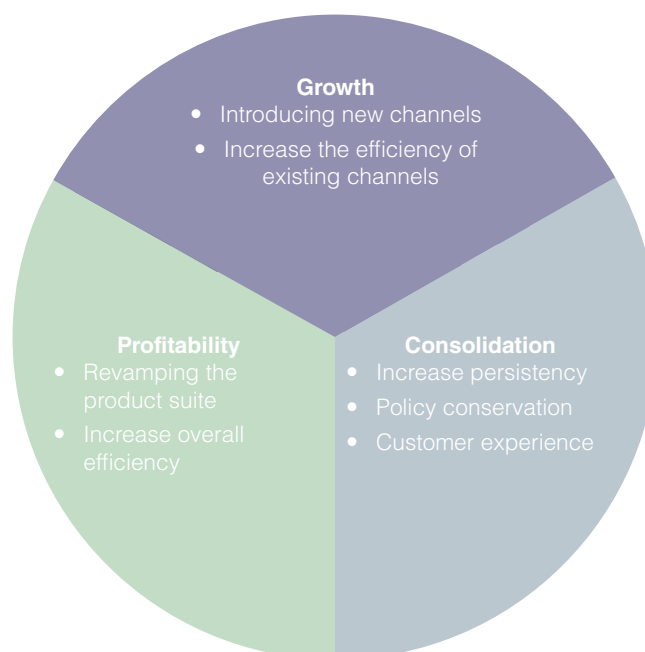
As we have evolved and grown into a seasoned insurer, our strategic aspirations too have evolved over the years to focus on a growth-based roadmap of strategic objectives and operational goals. While our vision of being the most trusted and innovative life insurance provider continues to be a guidepost for all our actions, we have adopted a bigger strategic outlook that incorporates operational expansions, innovations and business growth to be achieved by 2025.

At the onset of the pandemic, we shifted our strategic agenda to accommodate the immediate structural changes, necessitated by lockdowns and financial relief offered to customers. However, with the gradual return of normalcy into operations, we are once again shifting our focus to realign with our strategic outlook for the future.

Our ultimate focus is in expanding our market share, serving a wider cross-section of Sri Lanka through innovation and expansion-based strategies.

STRATEGIC OBJECTIVE

The following sheds light on the company's future strategic focus through three key objectives – growth, consolidation and profitability.



RESOURCE ALLOCATION - REACHING OBJECTIVES

While strategic objectives address the direction company wants to head in the future, resource allocation addresses how we intend to achieve it.

- Invest in infrastructure
- Invest in people
- Employee recognition and reward
- Environmental analyses
- High quality service
- Ensure compliance
- Introduce new products



MANAGEMENT DISCUSSION AND ANALYSIS

EXTERNAL OPERATING ENVIRONMENT

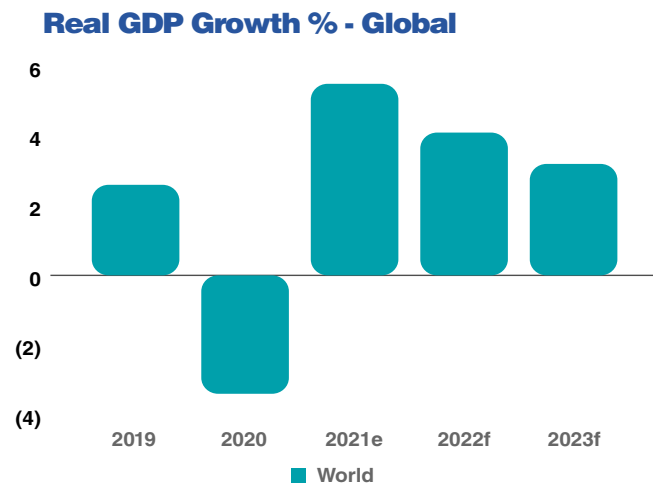
GRI: 102-36

GLOBAL ECONOMIC CONTEXT

KEY FIGURES

In 2021, the global economic growth recovered to 5.5%¹ – identified by the world bank as the strongest pace after any recession in eight decades, while loosening of pandemic-based lockdowns that reinforced demand, is attributed as the contributing factor in this regard. ²The estimated GDP growth of emerging market and developing economies was better in relation to advanced economies, with China having an estimated 8% growth in 2021, compared to 2.2% in 2020. All categories of global economies have fared better than 2020, with global trade volumes rising from - 8.2% in 2020 to 9.5% in 2021.

Real GDP Growth % - Global



Source: Global Economic Prospects: January 2022 (World Bank Group)

From a global perspective, the pandemic has reversed years of work in developing nations; low-income countries face this brunt severely while tackling limited vaccine access. In developing nations, public debt remains a key challenge, in addition to weakening policy support, while costs of climate change are also a significant challenge.

³According to the Asian Development Bank (ADB), growth forecasts for Asia were downgraded to 7% in 2021 due to the emergence of a new variant. Nevertheless, regional infections dropped in the last months of 2021, alongside rising global cases. Due to declining infections and increasing vaccination, many developing Asian economies recommenced activities, with regional trade gaining some momentum. While merchandise exports demonstrated good momentum, tourism remains to unwind from pandemic-based considerations.

⁴Real GDP Growth % - Advanced Economies vs. EMDEs

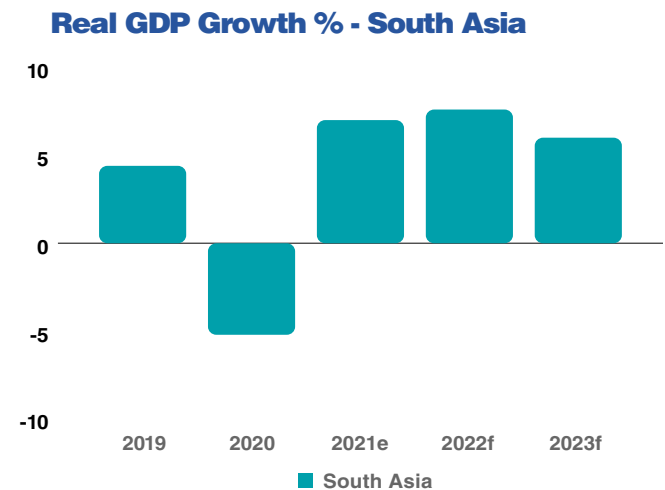


e- Estimate

f- Forecast

Source: Global Economic Prospects: January 2022 (World Bank Group)

Real GDP Growth % - South Asia



e- Estimate

f- Forecast

Source: Global Economic Prospects: January 2022 (World Bank Group)

¹p.3 Global Economic Prospects: January 2022 (World Bank Group)

²p.4 Global Economic Prospects: January 2022 (World Bank Group)

³ADB, Asian Development Outlook: Supplement, December 2021

⁴p.4 Global Economic Prospects: January 2022 (World Bank Group)

GLOBAL VACCINATIONS AGAINST COVID-19

Pushing back the spread of the virus to some extent, vaccine programs became the main focus of 2021; giving a hopeful and optimistic outlook for the future. World bank financing for vaccine programs were provided for over 60 countries with a substantial share allotted to Africa; according to world bank group, ⁵USD 180.5 Mn. was allotted for Sri Lanka.

GLOBAL OUTLOOK

⁶Globally, growth is expected to plunge to 4.1% in 2022, with inflation expected to be higher in the near-term, alongside rising food costs and energy prices, supply chain challenges, ⁷labour deficits, high energy prices and less conducive monetary policies. However, for advanced economies the outlook in 2022 includes a rebound in output and investment on par with trends prior to the pandemic; however, EMDEs will face a dissimilar situation.

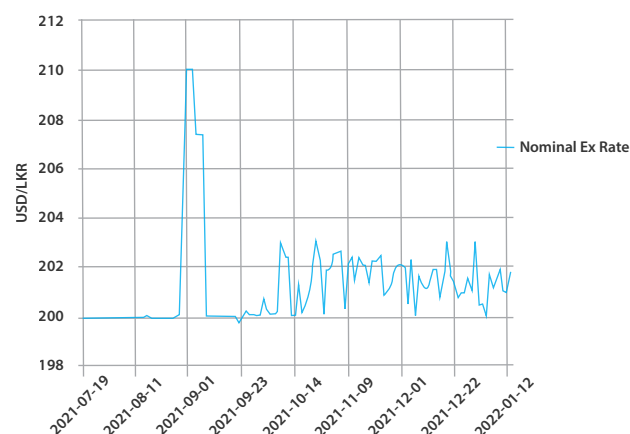
Downside risks continue to impact global outlook due to COVID-19 variants. New strains such as Omicron, could be more contagious, even across vaccinated demographics, however, with less severity as a disease. This could exhaust healthcare systems, leading to government restrictions, which in turn has an impact on near-term economic growth.

Moreover, growth was marginally revised down to 5.3%, which reflects less than expected recovery in East Asia. A factor to consider would be China's zero-COVID strategy that has tremendous impact on its economic activity, thereby impacting the region. On a positive note, ⁸inflation in Asia is said to have a manageable outlook, with 2.7 % forecast for 2022.

⁹The Asian Development Bank indicates a national GDP growth by 12.3% in the second quarter of 2021 and 8% growth across the first half of 2021. Despite this expansion, it was followed by a negative 1.5% growth by the third quarter of 2021¹⁰. Unemployment rate stood at 5.1% in Q2 of 2021 (Population - 21.9 Mn.), while at the time of penning the analysis, per capita income stood at USD 3,682 (Rs. 683,106). Moreover, having undergone tremendous fluctuations, the exchange rate stood at 201.057(USD/LKR Spot).

Prospects for 2022 are impacted by several aspects, mainly the decline in reserves and the substantial external debt repayments for the year. Nevertheless, according to ADB, a 3.4 % economic growth rate is forecasted for 2022¹¹.

LOCAL ECONOMIC CONTEXT



¹²Exchange Rate Movement - USD (August-December 2021).

Source: CBSL

MONETARY POLICY AND RATES

¹³Adopting an accommodative stance to meet the adverse repercussions on the pandemic, policy interest rates were reduced in 2020. However, as the economy protracted, CBSL adopted a different policy stance in mid-2021.

¹⁴In August of 2021, the statutory reserve ratio (SRR) was raised by 2% points to 4%, while SDFR and SLFR, which underwent reductions since January 30th, 2020 was also increased by 50 bps to 5.00% and SLFR to 6.00%, respectively.

¹⁵Moreover, credit to private sector grew by 15.1% (y-o-y) by end of August (2021), in relation to credit towards key economic sectors, such as the MSME sector. The majority of credit is in the industry sector (40.4%) with agricultural sector having the lowest proportion. Credit to the public sector also increased during January to September 2021.

¹⁶In December 2021, headline inflation increased to 12.1% according to the Colombo Consumer Price Index (CCPI). The annual average of CCPI increased to 6% in December 2021, from 5.3 % in November. Supply side determinants remain a key influencer of inflation, while price increases of food and non-food items had a discernible impact. Annual average inflation based on NCPI rose to 6.2 %, with 11.1% increase of Y-o-Y inflation in November 2021.

⁵<https://www.worldbank.org - Year-2021-in-review-the-inequality-pandemic>

⁶Global Economic Prospects – January 2022, World Bank

⁷Swiss Re Institute sigma No 5/2021

⁸Asian Development Outlook Supplement

⁹Asian Development Outlook Supplement

¹⁰[cbsl.gov.lk](https://www.cbsl.gov.lk) – Sri Lanka Economy Snapshot

¹¹<https://www.adb.org/countries/sri-lanka/economy>

¹²www.cbsl.gov.lk/en/rates-and-indicators/exchange-rates/USD-LKR-Indicative-rate-chart

¹³Chapter 7: Recent Economic Developments - Monetary Policy, Interest Rates, Money And Credit, Highlights of 2021 and Prospects for 2022

¹⁴Chapter 1: Economic Performance and Outlook - Monetary Policy, Interest Rates, Money And Credit, Highlights of 2021 and Prospects for 2022

¹⁵p. 67. Chapter 7: Recent Economic Developments - Monetary Policy, Interest Rates, Money And Credit, Highlights of 2021 and Prospects for 2022

¹⁶[cbsl.gov.lk](https://www.cbsl.gov.lk) – Press release on December 2021 inflation

EXTERNAL OPERATING ENVIRONMENT

Pandemic's Direct Impact on Economy

The pandemic adversely impacted all economic sectors, with tourism and trade related activities being the worst-hit. As a result, foreign exchange flows have declined, negatively impacting the stability of the exchange rate. Furthermore, government revenue declined from the economic slowdown, against rising government spending. This combination of events created the need for additional borrowings.

¹⁷Social Impact from COVID-19

Due to restrictions in travel and lockdowns, people living with non-communicable diseases faced restricted access to medication, and disruption to regular health care. Although questionable in their effectiveness, telemedicine and home delivery of medicines through postal services were introduced and initiated to provide continued medical attention.

Hospital visitations for surgeries and minor medical procedures became somewhat inconsequential, given the risks posed by COVID-19 and variants.

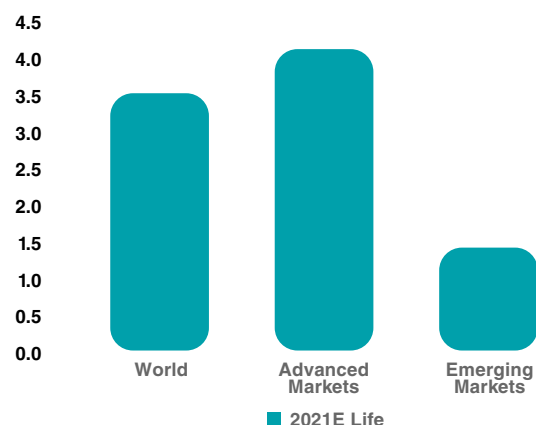
Furthermore, mental health issues could persist due to sustained lockdowns, infection-based isolations and loss of loved ones, and also due to partial or complete loss of incomes. Front-line workers are also vulnerable due to exposures to traumatic events and work-related stresses.

GLOBAL INDUSTRY DEVELOPMENTS

OVERALL PERFORMANCE

¹⁸Across the global industry, a growth of 3.4% in real insurance premium was forecasted, with non-life and life insurance sectors expected to grow at 3.3% and 3.5%, respectively. Growth in emerging markets except for China was expected to witness a decline in total insurance premium by 1.5% in 2021, with Life insurance estimated to have a -2.8% decline. However, emerging markets, (excl. China) is rebounding steadily, with life premium growth of 6.9% in 2021.

Insurance Contract Liabilities (Life Fund) (\$ Bn.)



Source: Swiss Re Institute

Global industry changes are undeniably interlinked with the pandemic, as insurance became a buffer in absorbing risks during the stresses from the global outbreak. Digital insurance has now become the preferred norm, whilst industry leaders and managers are driven to transform companies with digital leadership¹⁹ as technology blueprints and business strategies are becoming increasingly indivisible.

KEY TAKES

- Increase in risk awareness by individuals and businesses
- Opportunities across the value chain through digitalisation
- Sentiment of being under-insured in emerging Asia
- Quick switches to digital channels by consumers in Asia-Pacific

As Swiss Re outlines, rising risk awareness remains a generator for increasing insurance demand, in addition to in addition, protection sought by businesses against supply chain disruptions.

OUTLOOK

²⁰A positive global outlook is predicted for global insurance premiums, with real growth of 3.3 % in 2022. A contributing factor is awareness of risks amongst individual consumers and businesses, which creates demand for insurance as a buffer against the uncertainties of the pandemic. According to Swiss Re, over USD 7 trillion is expected in insurance premiums, globally, by mid 2022. Life insurance premiums are expected to grow at a rate of 2.9 % in 2022, and 2.7 % in 2023.

¹⁷cbsl.gov.uk: Indirect Scarring of Health and Educational Outcomes by COVID-19

¹⁸Turbulence after lift-off: global economic and insurance market outlook 2022/23 – Swissre.com

¹⁹<https://www.accenture.com/us-en/insights/insurance/technology-vision-insurance-2021>

²⁰Swiss Re Institute sigma No 5/2021 – Insurance market outlook 2022/21

Life profitability is expected to improve gradually in 2022, with vaccination drives expected to bolster profitability for life insurers through reduced mortality claims. However, as lessons from 2020 show²¹, social inflation is a factor of concern as the pandemic caused divergences in income.

Weakening vaccine immunity remains a concern over time, with booster doses being offered in countries for already vaccinated populations.

²²Regionally, emerging Asian countries (excl. China) expects above-average 7.9 % real growth in its 2022 premiums. Risk awareness, economic rebound, digital channels and liberalisation in life insurance is expected to foster this growth.

INSURANCE INDUSTRY – SRI LANKA

OVERALL PERFORMANCE

By Q3 of 2021, the industry recorded comparatively better growth in life insurance, whereas general insurance indicators demonstrate a relative decline in profit before tax (PBT). Overall, industry profit before tax (PBT) stood at Rs. 22.2 Bn. by Q3 of 2021, a decline in comparison to Rs. 26.2 Bn. in 2020. PBT of the long-term insurance business increased to Rs. 11.65 Bn., from Rs. 9.9 Bn. in the corresponding period of 2020. Gross premiums by the end of Q3 2021 increased compared to the corresponding period in 2020.

At the end of 2021, life insurance industry had 13 insurers, including 2 composite insurance companies, which are state-owned and four companies with foreign partnerships.

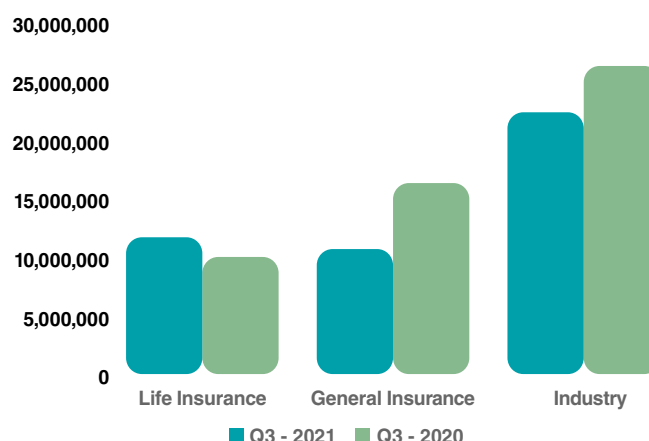
KEY TAKES²³

- Growing interest in life insurance
- Increased penetration
- Relative drop in health insurance premiums, compared to the growth in 2020

TOTAL ASSETS

Total assets of the sector increased to Rs. 832 Bn. from Rs. 773 Bn., of which life insurance business held the largest proportion of asset ownership, with Rs. 615 Bn.

Profit Before Taxes

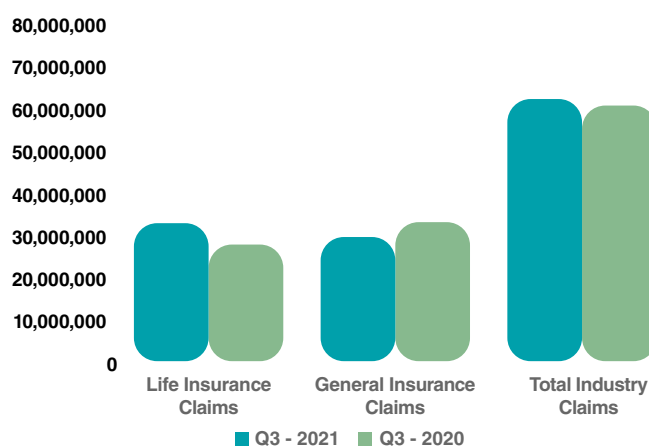


Source: IRC SL

CLAIMS

At the end of Q3 (2021), claims in the long-term insurance business recorded an increase of 15.4%, which amounted to Rs. 32.5 Bn. compared to the Rs. 27.5 Bn. of claims recorded in the corresponding period of 2020. Industry-wide claims increased to a total of around Rs. 62 Bn., in the amount dispersed as compensation to insured.

Insurance Industry Claims



Capital Adequacy and Liquidity

By the end of Q3 of 2021, capital adequacy levels remained above regulatory minimums, while showing a relative increase over the corresponding period in 2020, across the industry. Life insurance sector maintained an increased CAR of 335% by the end of Q3, followed by general insurance which maintained a 223% capital adequacy ratio. However, liquidity ratio showed a decline in both sub-sectors by the third quarter of 2021.

²¹Turbulence after lift-off: global economic and insurance market outlook 2022/23 – Swissre.com

²²KPMG - Sri Lanka Insurance Report – September 2021

OUTLOOK

Industry Regulatory Landscape

Circular 1 of 2021 - A circular was issued by the regulator informing all insurers of clearance procedures prior to launching insurance products. Done in an effort to safeguard interests of policy holders, all life and general insurance companies can issue new solutions subsequent IRCSL's confirmation on whether products are fair and equitable.

The following directions were issued by IRCSL in the year under review:

2021 and amendment - and amendment – Terms and conditions were issued to insurers pertaining to the declaration and distribution of dividends to shareholders. The new directive takes into account audited financial statements, solvency positions and stress testing analysis including risk exposures with regard to COVID-19, prior to considering dividend declarations. A subsequent amendment was issued replacing item 1(b) of Direction 1 of 2021.

Direction No. 2 of 2021 - Restrictions on providing codes and restrictions on changing codes, issued to insurance companies and insurance brokering companies.

Direction No. 3 of 2021 - Repealing Direction No. 14, a directive was issued instructing companies and persons registered under RII Act to refrain employing individuals, whose employments and services are terminated due to fraud and misappropriation of finances.

Direction No. 4 of 2021 - The termination of the use of platforms of telecommunication service providers, when selling products to prospective clients; the directive provides clear conditions on what methods and persons shall be deployed when selling insurance products to prospective clients.

Direction No. 5 of 2021 - Revised guidelines to Direction No. 19 (2016), on principal officers of insurers and insurance brokers; which states that the CEO or the MD is responsible for control, direction and supervision of company's business engagements. The direction comes into effect from November 1st of 2022.

Focus on ESG

An increasing level of focus on sustainable business practices and environmental sustainability is exerted by industry businesses. Rapidly progressing effects of climate change and increasing stakeholder demand for responsible profit making is calling for shifts in environmental, social and governance.

Impact of the Pandemic on Industry

The domino effects from the pandemic reached the industry in several spheres. Adjustments in policy terms, payment terms and payment times, cancellation of late fees for non-payments, digital disruptions, work from home arrangements, and online services remain amongst changes.

The economic ramifications was felt by motor insurance business, as suspension of automobiles impacted new premium business; moreover, travel restrictions limited vehicle usage, thus eliciting a favourable claim-reduced situation. The most obvious change is in the demand for health insurance, as the pandemic necessitated protection.

²³The need for connected operations is important in the pandemic-impacted world, to facilitate streamlined functions and personalised service offerings. New products, such as a UBI (user-based) model for motor insurance – charging customer based on usage is part of crisis-driven innovation. In their industry report, KPMG mentions initial insurance advice via online communication methods, enabling customer-centric advice and less distribution costs for insurers.

On the downside, economic risks of the pandemic such as supply chain disruptions impacted premium payments and risk exposures, while rising inflation limits buying potential of previously potential policyholders.

Digital Transformations

Digital tools and related infrastructure have bridged the space between customers and insurers, providing a plethora of opportunities especially in need identification and providing absolute convenience. This was seen more clearly with the onset and continuance of the pandemic and related mobility constraints, which compelled companies and customers to switch to digital communication tools and payment options.

However, internet penetration remains a concern in accessing prospective clients through digital and online channels – especially as only 35% of the population use internet²⁸. However, there is potential in mobile channels as Sri Lanka has 138 cellular subscriptions per 100 people²⁹.

²⁷KPMG - Sri Lanka Insurance Report – September 2021

²⁸<https://data.worldbank.org/indicator/IT.NET.USER.ZS>

²⁹<https://data.worldbank.org/indicator/IT.CEL.SETS.P2?end=2020&locations=LK&start=2015>

Macroeconomic and social challenges will impact customer behaviours, while resurgences of outbreaks could impact growth prospects – for the economy and the industry. Nevertheless, technology will play a crucial role in the near and long-term periods.

As the economy continues to recover and expectedly grow, the demand for life insurance is anticipated to grow. However, increased reach to rural areas – considering those with financial vulnerabilities remain to be met by insurers. This adds to the social development of the nation, whereby a portion of financial burdens can be handled by insurers, reducing the level of dependence on the Government.

Insurers can take into account shifts in consumer behaviours and needs now more than ever before, as the pandemic has caused massive changes in spending, lifestyles and concerns for the future. Risk awareness on health implications has potential to increase further demand for health and life insurance policies, while rising non-communicable disease related morbidity and mortality may give way to an increase in health policies, as well.

While digital insurance may benefit the industry with penetration, physical reach is imperative in reaching rural areas with relevant and affordable solutions.

ANALYSIS OF MACROENVIRONMENT

Our risk department continuously assesses the risk environment in identifying risks from the external environment, given the fluctuating nature of macroeconomic, social and other external changes.

The following is a summation of the operating environment and how they impact the company – presented using the PESTEL framework for analysing the macro environment.

POLITICAL AND LEGAL ENVIRONMENT

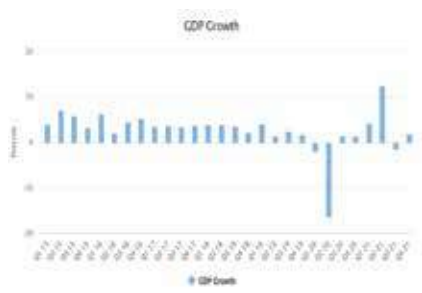
Change	Consequences	Our Response
Amendments to Tax Applicable: A person or entity who exceed their turnover above 120 million is liable to pay 2.5% effect from April 2022 namely Social Security Contribution	(-) Creates a negative impact on future profit	Complied with requirement
Amendments to IRCSL Regulations: Prohibiting sale of insurance policies through telephone	(-) Adverse impact to potential new business	Use alternative marketing channels
IFRS 17 and SLFRS 17 Insurance Contracts Effective on or after 1st January 2023	(+) Enhanced understanding of corporate profitability	Deal with experts about implementation

(+) Opportunities (-) Risks and Threats

ECONOMIC ENVIRONMENT

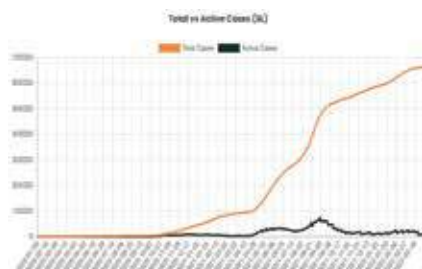
Change	Consequences	Our Response	Recent Trend
Rising Y-O-Y inflation shows continued rising	(-) Impacts consumer purchasing power, and impacts non-essential buying decisions (-) (+) May result in increased premium rates	Accommodate individual purchasing power through flexible policy premiums	

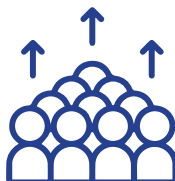
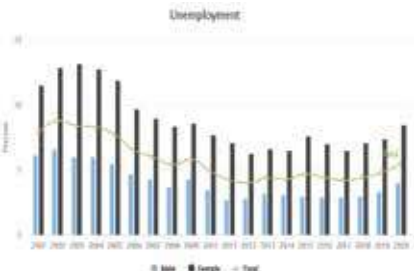
OUTLOOK

Change	Consequences	Our Response	Recent Trend
GDP growth showing positive signs of recovery	(+) Indication of improving financial sector and better prospects	Engage in better product marketing and diversifications	
Shortage in foreign currency	(-) Impacts foreign currency payments to reinsurers	Paid on time with efficient negotiations with banks	-
Interest rates	(+) Increasing rates provides better investment yields	Constantly monitor market rates and invest prudently, maintaining a diversified portfolio	 Interest Rates - T-bill < 364 days 8.29% - T-bond < 3 year 9.44% - T-bond < 5 year 11.51% Policy Rates - SDFR 5.50 - SLFR 6.50 <i>(Information taken at the time of compiling this report)</i>

(+) Opportunities (-) Risks and Threats

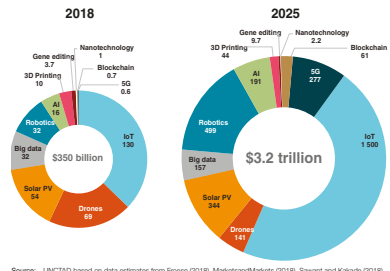
SOCIAL ENVIRONMENT

Change	Consequences	Our Response	Recent Trend
COVID-19: Continued infections	(-) Potential increase in claims related to morbidity	COVID-Care for related medical expenses and testing	
COVID-19: Immunisation increase	(+) Declining COVID-related deaths and morbidity	COVID-Care which financially covers vaccination	 2nd dose (full vaccination) - over 14 million Booster dose – Over 7.1 million

Change	Consequences	Our Response	Recent Trend
Population: 76.9 life expectancy (2019)	(+) Reduces risks of morbidity and mortalities (+) Potential need for retirement plans and healthcare policies	Provide diverse insurance solutions to those who are above age 60 and the employed age bracket of 20-59	76.9 Life expectancy at birth <i>Source: https://data.worldbank.org/</i>
Population: Higher rural demographic	(+) Requires reach in rural locales	Expanding branch network	 81% Rural population from total population (2020) <i>Source: https://data.worldbank.org/</i>
Non communicable diseases: Leading cause of mortalities in Sri Lanka	(-) Increase in morbidity and mortalities (-) Limited access to medicine during lockdowns	Create healthcare policies that promote early prevention through diagnosis and also financial coverage in addition to telemedicine.	83% Total deaths <i>(Source: KPMG Sri Lanka Insurance Report – September 2021)</i>
Unemployment: Increase over the past three years	Limited financial capacity amidst the unemployment	Develop insurance solutions for financially vulnerable people	

(+) Opportunities (-) Risks and Threats

TECHNOLOGICAL

Change	Consequences	Our Response	Related Trend
AI technology	(+) With the emergence of global technology, Artificial Intelligence and Robotic Process Automation (RPA) plays a vital role in the insurance industry	Following appraisal on applicability of RPA to routine works do efficiently and effectively.	 Source: UNCTAD based on data estimates from Forrester (2018), MarketsandMarkets (2018), Sawant and Kulkarni (2018), Business Wire (2018), Chauchery et al. (2018), GlobalNewswire (2018), MarketsandMarkets (2018), MarketWatch (2018), MarketWatch (2018), Raza (2018), Tower and Taul (2018), Wagner (2018), Monitor Intelligence (2020)

OUTLOOK

Change	Consequences	Our Response	Related Trend
Digital payment systems	(+) To provide convenience to customers with advance technology to pay their transactions	Facilitated customers with various modes of digital payments including online transfers	Source: <i>Technology and Innovation Report 2021 - UNCTAD</i>
Digital claim settlement	(+) RPA claim settlement process is digitalizing customer service	Identifying possibility of adapting RPA for claims settlement	87% Considers claims experience when deciding to remain Source: <i>EY Global consumer insurance survey on Claims in a digital era (2017)</i>
Chatbot platform	(+) Instant resolving of customer inquiries (+) Increased customer engagement regarding claims status	Exploring possibility of adopting a viable solution	
Cyber security risk	(-) Unauthorized access to confidential data	Manage passwords on systems with OTP facility. Ensure application security controls especially on payment gateway portal. Monitor use of computer equipment and systems according to group recommendations. Follow group IT policies in place to guide the staff. Use of recommended virus guards and "Sophos" firewall protection for networks. Sophos team conducted a special assessment on the firewall setup at the Company and certified the protection enforce.	 Cyber security in SL 83rd Rank - Global Cyber Security Index (Source: <i>Global Cyber security Index 2020</i>) 78th Rank – Networked Readiness Index (Source: <i>Networkreadinessindex.org/country/Sri Lanka/</i>)

Change	Consequences	Our Response	Related Trend
Internet and digital media: Increase in internet penetration and social media usage	(+) Wider potential to reach more customers	• Increase web presence • Provide digital solutions for convenience	 • 35% Internet users of total population • 138.8 mobile cellular subscriptions per 100 people (2020 data) Source: https://data.worldbank.org/

(+) Opportunities (-) Risks and Threats

ENVIRONMENTAL

Change	Consequences	Our Response
Waste management	(-) Growing challenge of proper disposal methods and effective collection of waste	Waste management / disposal mechanisms for office premises being discussed
Energy crisis	(-) Limited renewable sources for electricity generation	Energy conservation through energy-efficient solutions and careful consumption.

(+) Opportunities (-) Risks and Threats

Strategic Outlook

The strengths and opportunities of the company can determine the level of success in realising our strategic objectives and key strategic focus. Therefore, the following SWOT analysis provides a framed perspective on how existing capabilities can enable future growth and what opportunities can help expand potentials.

(+) Strengths

- Having an extended sales force with high capacities
- Well experienced senior management
- Backing of the Richard Pieris conglomerate and the brand name of Arpico
- Sound financial position
- Solid reinsurers
- Growing island wide branch network
- Diversified product mix

(-) Threats

- Increase in claims based on surges in COVID outbreaks
- Cyber security risks
- Increasing inflation reduces purchasing power of customers
- Changes in interest rates affects investment income

(-) Weaknesses

- High attenuation among sales force
- Manual operations
- The need for a buffer layer for some departments

(+) Opportunities

- Increasing population
- High age expectancy provides incentive for market expansion
- Enhancement in digital payment gateways
- Potential health and life insurance demand due to COVID-19

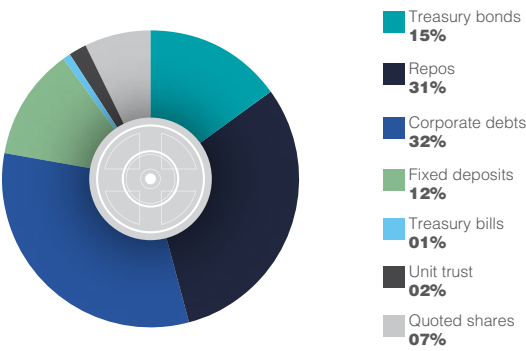


FINANCIAL CAPITAL

At Arpico Insurance PLC, our financial capital is represented by funds and financial sources, which power business activities to create value for all our stakeholders. In managing financial capital, our primary responsibility is towards our shareholders and investors, in safeguarding their investments and in carrying out strategies that exponentially adds to their investments.

WE ARE
UNCOMPROMISINGLY
RESPONSIBLE FOR
SHAREHOLDER
FUNDS AND CLIENT
INVESTMENTS AND IN
MAINTAINING ETHICAL
AND TRANSPARENT
FINANCIAL CONDUCT.

Financial Assets



SNAPSHOT OF VALUE CREATION AND INITIATIVES

Revenue Performance

- Gross written premium growth of 26%
- Rs.2.2 Bn. in Net written premium
- 27% increase in Net written premium



Profitability Performance

- Rs.337 Mn.in Profit before tax
- Rs.236 Mn. in Profit after tax



Financial Position

- Investment portfolio Rs.3.4 Bn.
- Asset base Rs.4.4 Bn.
- Return on capital employed



Rs. 1.38 Bn.
New
premium
business

43%
Growth
in new
premiums

Rs. 869 Mn.
Renewal
premiums

Rs. 573 Mn.
Net claims &
benefits
paid

435%
Capital
adequacy
ratio

VALUE CREATION - FINANCIAL METRICS

Management of financial outcomes is of paramount importance in achieving strategic objectives. Expanding profitability alongside growth in premium income remains foremost focus points both equally vital in injecting new investments to keep our growth strategy in constant motion.

DRIVERS OF FINANCIAL VALUE

The following became imperative in strengthening core areas of financial management.

Profitability

Our profit before tax recorded a 21% increase, reaching a value of Rs. 337 Mn., with a subsequent after tax profit of Rs. 236 Mn. which is an increase of 18% over the profit after tax posted in 2020.

The growth in profit before tax and profit after tax correlates with the increase in our gross written premium as well as better managed expenditures.

21%

Profit Before
Tax Growth

18%

Profit After Tax
Growth

Profitability (Rs.Mn.)



Revenue and other income

Metrics of revenue indicates increases across GWP, investment income and comprehensive income.

MANAGEMENT OF CAPITALS

FINANCIAL CAPITAL

Gross Written Premium

GWP	2021 (Rs. Mn.)	2020 (Rs. Mn.)
FYP	1,376	964
Renewal	869	810
Group premium	67	62

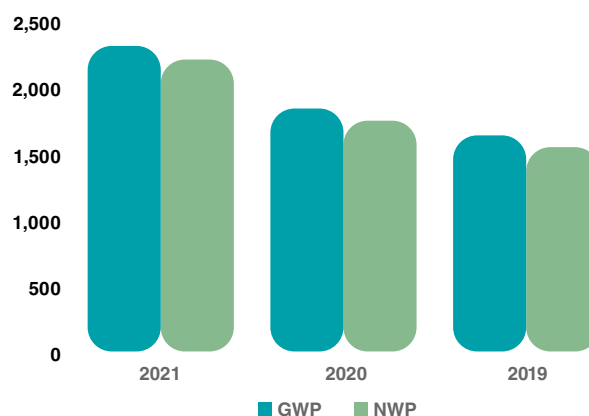
GWP during the year under review increased by 26% over the previous financial year, and reached Rs. 2.3 Bn. in 2021 against Rs. 1.8 Bn. earned in 2020.

First year of policy premium increased to Rs. 1.3 Bn. against Rs. 964 Mn. reported in the previous year. Meanwhile, renewal premiums also increased by 7%. Group premium increased in a similar manner, reported as a rise of 8% from a yearly growth perspective.

Net Written Premium

As a result of increased GWP, the NWP marked a 27% growth, rising to Rs. 2.2 Bn. in 2021 from Rs. 1.7 Bn. posted in 2020.

Net Written Premium (Rs.Mn.)

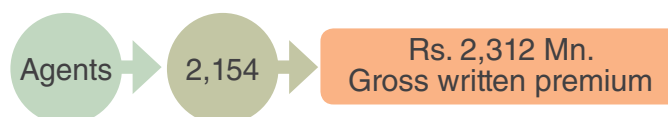


Channel-Based Revenue

The increase in premium earnings is partially a result of improved agent performance. During the year, increase in earnings was recorded through our agent force of 2,154 members.

Due to improved performance from our sales networks and partners, the increase in new premiums for 2021 was 43% enabling us to mark Rs. 1.38 Bn. in new premiums against Rs. 964 Mn. reported in the previous year. This is a clear increase of 43% from 2020.

43%
Increase in
New Premiums



Revenue – Provincial Breakdown

Province	No. of branches	GWP (Rs. Mn.)	GWP per branch (Rs.Mn.)
Western	16	962	60
Northern	5	322	64
Southern	8	189	24
Eastern	8	273	34
Central	9	171	19
Sabaragamuwa	3	188	63
Uva	5	70	14
North Central	6	82	14
North Western	6	55	9

Revenue branch-wise	2021	2020
Number of branches	66	57
Net underwriting result per branch (Average) (Rs. Mn.)	11	07
Net Business premium per branch (Average) (Rs. Mn.)	35	31

Investment Portfolio

The total investment portfolio for the year 2021 was recorded as Rs. 3.4 Bn. in relation to Rs. 2.6 Bn. reported in 2020 – growing by 29% over the previous year.

29%
Growth in
Investment
Portfolio

Investment Income

The increase brought the total earnings from investments in financial instruments up to Rs. 256 Mn. from Rs. 253 Mn. in 2020.

Commission Income and Other Operating Revenue

Income from fees and commissions was reported as Rs. 45 Mn. an increase from Rs. 34 Mn. posted in 2020.

Net Income

Net income for the financial year was reported as Rs. 2.5 Bn. The accumulative of various income streams increased by 23% over the net income of the previous financial year.

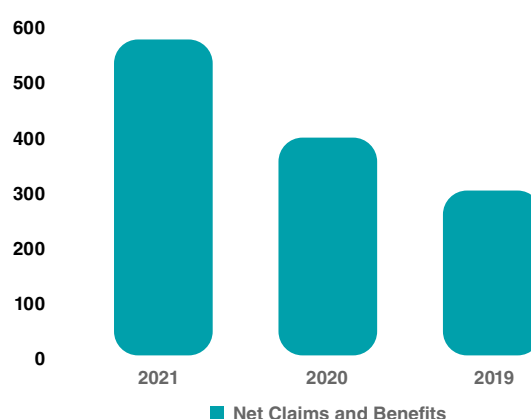
Total Comprehensive Income

In 2021, total comprehensive income grew by 5% over the previous year's recorded sum of Rs. 200 Mn. At the end of the financial year 2021, total comprehensive income stood at Rs. 210 Mn.

Net Claims and Benefits

During the financial year under review, a total of Rs. 573 Mn. in total claims and benefits was paid to our policyholders. This increase falls in line with full payment of COVID claims and an increase in claim submissions by policyholders.

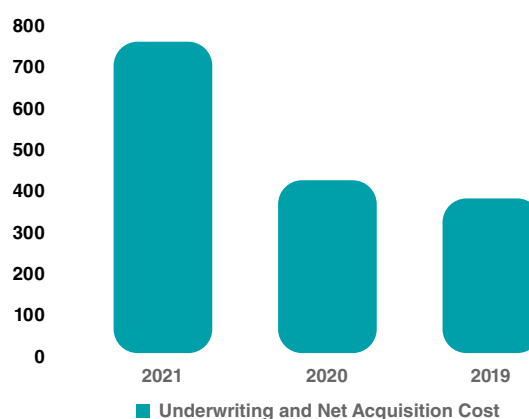
Net Claims and Benefits (Rs. Mn.)



Underwriting and Net Acquisition Cost

In relation to the increase in new business achieved in 2021, underwriting and acquisition cost also increased to Rs. 753 Mn. In 2020, this figure was around Rs. 418 Mn.

Underwriting and Net Acquisition Cost (Rs. Mn.)



MANAGEMENT OF CAPITALS

FINANCIAL CAPITAL

	2021	2020
Underwriting results per branch (Average) (Rs. Mn.)	11	7

Other Operating and Administrative Expenses

Operating and administrative expenses increased over the year from Rs. 644 Mn. to Rs. 763 Mn. in 2021. The increase is due to expansion of operations and new recruitments.

COVID Provisions

During the year, the company dedicated COVID provisions in the sum of Rs. 3 Mn. for ensuring employee health and safety as well as in facilitating work from home arrangements.

Premium Ceded To Reinsurers

During the year, the premium ceded to reinsurers increased to Rs. 70 Mn. from Rs. 85 Mn. reported in the corresponding year.

Capital Adequacy

At the end of the financial year, capital adequacy was well-above the statutory minimum indicating our ability to compensate any financial losses in the future.

	2021	2020
Capital Adequacy Ratio %	435	415
Statutory requirement %	120	120

Cash Flows

In managing cash flows effectively, we focused on timely and calculated planning to manage expenditure, mainly payments to stakeholders. Cost projections and budgeted receipts of inflows enabled us to maintain a balanced cash flows position.

Cash Flows	2021 (Rs. Mn.)	2020 (Rs. Mn.)
• Cash flows from operating activities	148	520
• Net cash generated from operating activities	146	524
• Net cash flows used in investing activities	597	88
• Net cash used in financing activities	68	63

Cash Flows (Rs. Mn.)



During the year, cash flows from operating activities reduced due to the unexpected increase in pandemic-based COVID related claims and the increase in branch operating activities resulting in Rs. 148 Mn. against Rs. 520 Mn. reported in 2020. Consequently, net cash generated from operating activities reduced to Rs. 146 Mn. against Rs. 524 Mn. recorded in 2020; this is a 72% reduction between the corresponding periods.

Net cash flows used in investing activities rose substantially in the 2021 to Rs. 596 Mn. from Rs. 88 Mn. in 2020; marking a 577% increase. Net cash used in financing activities also increased by 6% over the corresponding financial period. Acquisition of financial investments in 2021 increased up to Rs. 90 Bn by 78% in comparison to Rs. 50.9 Bn recorded in 2020. Moreover, proceeds from maturity of financial investments increased by 44% to Rs. 89 Bn. from Rs. 50.7 Bn. reported at the end of 2020.

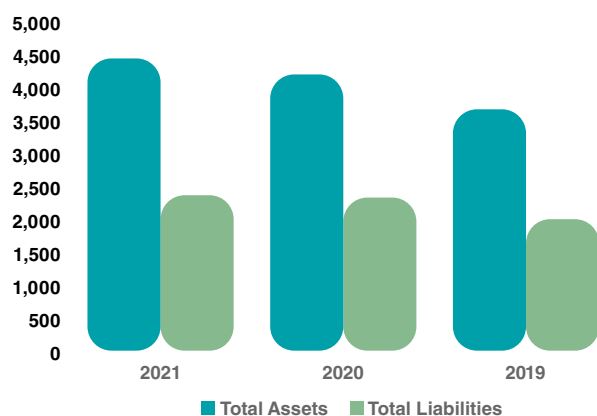
Subsequently, the net increase / (decrease) in cash and cash equivalents declined from Rs. 373 Mn. reported in 2020, to Rs. (518 Mn.) in 2021. Moreover, cash and cash equivalents at the end of the year declined by 77% to Rs. 150 Mn. This reduction occurred due to increase in investment for the year 2021.

Asset Base

Total asset base of the company increased to Rs. 4.4 Bn. in the financial year ended 31st December 2021, from Rs. 4.1 Bn. reported in the previous financial year.

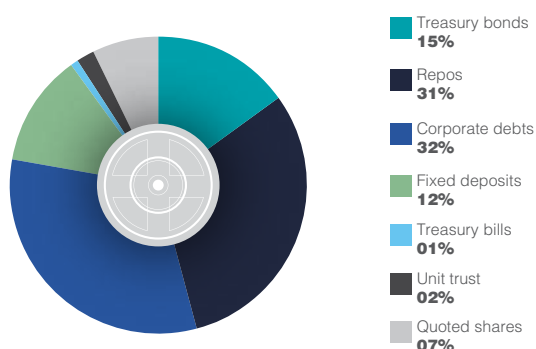
The biggest proportion of our asset base is weighed on financial assets, which amounted to Rs. 3.4 Bn.; this increased to 29% from previous year's total financial assets. Financial assets represent a 78% portion of total assets. Maturity profiles of financial assets are spread across a period beginning from 1 year to 10 years based on contractual obligations.

Asset Base (Rs. Mn.)



Financial assets	2021 (Rs. Mn.)	2020 (Rs. Mn.)
Treasury bonds	535	378
Repos	1,062	1,087
Corporate debts	1,101	879
Fixed deposits	412	338
Treasury bills	49	-
Unit trust	76	-
Quoted shares	234	-

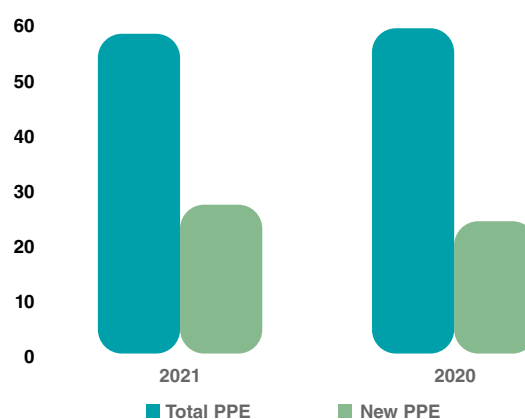
Financial Assets



Property, Plant and Equipment

In the year under review, PPE declined to Rs. 57.7 Mn. from Rs. 59 Mn. recorded in 2020. Nevertheless, at the end of the financial year under review, new PPE investments rose to Rs. 26 Mn. from Rs. 24 Mn. incurred in the year before.

Property, Plant and Equipment (Rs. Mn.)



Loans and Receivables

A major portion of our financial assets is represented by loans and receivables, which amounted to Rs. 2.6 Bn. compared to Rs. 2.3 Bn. reported in the previous financial year.

Both reinsurance and premium receivables increased to Rs. 8.3 Mn. and Rs. 62 Mn., respectively. Meanwhile other assets increased to Rs. 62 Mn. in 2021 from Rs. 55 Mn. in 2020.

Intangible Assets

Our intangible assets amount to Rs. 0.58 Mn. This amount is expected to increase in coming years from investments in digital transformations such as internal digitalisations and digital customer channels.

MANAGEMENT OF CAPITALS

FINANCIAL CAPITAL

Financial Position Statement

CAPITAL EMPLOYED AND ROCE

LIQUIDITY

During the year, our liquidity position increased compared to previous year since our investments increased with clear diversification to mitigate prevailing risks in the market structure.

TOTAL LIABILITIES

Total liabilities of the company increased only marginally during the 12 months period of the financial year under review. Sum of total liabilities stood at Rs. 2.34 Bn. at the end of the financial year, changing almost unnoticeably from Rs.2.31 Bn. which was the total liabilities of 2020.

Reinsurance Liabilities

The company's dues to reinsurance companies amounted to Rs. 70 Mn. at the end of 2021 financial year. This was recorded as a 18% reduction over the previous year's dues of Rs. 85 Mn.

Lease and other Financial Liabilities

The company's obligations in lease increased to Rs. 157 Mn. in 2021 from Rs. 155 Mn. recorded in 2020. Similarly, other financial liabilities also increased, standing at Rs. 107 Mn. at the end of the financial year, from Rs. 79 Mn. recorded in 2020.

Accounting Standards and SLFRS 17

Several initiatives have been successfully completed in transitioning to SLFRS 17. Relevant gap analysis was conducted by the finance department together with the assistance of third party consultancy services and in ascertaining the best direction going forward. Internal accounting system software has been adapted to suit the necessary changes, through compatibility testing.

Going Concern

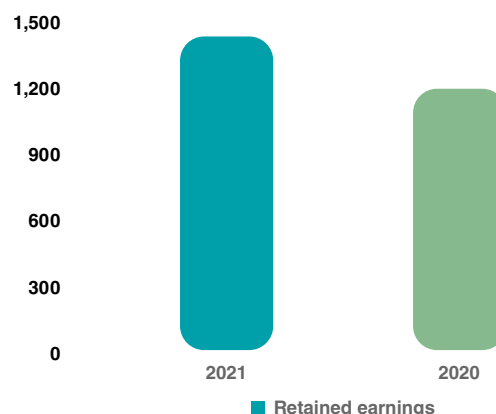
In preparing financial statements the board of directors used 'Going Concern'. This was done subsequent to a thorough analysis of the company's financial position and cash flow position. It has been ascertained that the company is not in the midst of any risk to its liquidity and can operate without any cause for concern in the foreseeable future.

EQUITY POSITION

SHAREHOLDERS' FUNDS

Total ordinary shareholders' equity for the financial year ended 31st December 2021 stood at Rs. 2.07 Bn. in comparison to Rs. 1.8 Bn. recorded in 2020. The change between the two financial periods is accounted as 11% marking a clear increase due to the increase in retained earnings.

Going Concern (Rs. Mn.)



RETAINED EARNINGS AND STATED CAPITAL

Retained earnings for the year 2021 was reported as Rs. 1.42 Bn. in comparison with the previous year's sum of Rs. 1.18 Bn. The deviation is an increase of 20% as a result of the commendable increase in net earnings and profitability for the year ended 31st December 2021.

Company's stated capital of Rs. 676 Mn. remained unchanged with no further capital injections in the financial year under review.

Equity Statement

Year	Stated Capital (Rs. Mn.)	Revenue Reserve (Rs. Bn.)	Shareholders' Equity (Rs. Bn.)
2021	676	1.42	2.07
2020	676	1.18	1.86

Value Creation Outcomes

The outcomes of our drivers of financial value are depicted below; presenting our financial health and stability.

Indicators	2021	2020
Return on equity (%)	16	15
Return on assets (%)	8	7
Capital adequacy ratio (%)	435	415
Earnings per share (Rs.)	3.57	3.03
Share price (Rs.)	23.8	19.2

MANAGEMENT OF CAPITALS

FINANCIAL CAPITAL

GRI: 103

Interdependencies

The following presents the interdependencies between the values created through financial capital on other capital resources. The diagram also provides a snapshot of financial value that is incurred (eroded) through business activities.

Financial Capital Utilisation	Interdependencies					Financial Value Created
	Human Capital	Social and Relationship Capital	Intellectual Capital	Manufactured Capital	Natural Capital	
Investment in employee related expense	Rs. 492 Mn in total benefits					
Investment to support operations			Rs. 0.5 Mn invested in intangible assets	- Rs. 26 Mn. in total PPE acquisitions - Investments in 9 new branches and 2 relocations		
Serving and Rewarding Customers		- Rs. 573 Mn. in net claims and benefits to policy holders - Rs. 1.9 Bn. in insurance contract liabilities				26% growth in GWP and Rs. 2.3 Bn in value - Rs. 1.3 Bn. in new premiums
Honouring business partnerships		- Rs. 753 Mn. in fees and commissions paid to agents - Payment to actuarial partner - Rs. 70 Mn. in re-insurance premium payable				Rs. 236 in profit after tax
Environmental sustenance					Investment in 100 trees planted	

The Path to Follow

Focused on sustained value creation, we have set financial goals to be achieved in the short, medium and long term periods. These are tied with our Key Strategic Focus and Objectives (Refer page 32)

Short-term

- Maintain Healthy CAR ratio (above 120%)
- Improve growth in gross written premium
- Increase in ROE
- Manage operational expenses

Medium-term

- Maintain Healthy CAR ratio (above 120%)
- Growth in gross written premium

Long-term

- Maintain Healthy CAR ratio (above 120%)
- Growth in gross written premium
- 10% market share



NATURAL CAPITAL

GRI:103, 302-1, 305-1

Our approach to managing natural capital includes conserving and safeguarding renewable and non-renewable resources that are necessary for value creation and operational purposes.

We pursue several areas that are of absolute relevance to our operations including energy management, water management, waste management, fuel management and green initiatives.

AT ARPICO INSURANCE PLC
WE INCREASINGLY FOCUS ON
GIVING BACK TO THE
ENVIRONMENT AND ON
CONSERVING NATURAL
RESOURCES, BEING MINDFUL
AND RESPONSIBLE ABOUT
OUR CONSUMPTION NEEDS
AS A BUSINESS
ORGANISATION.

34% 

Saving from cost

27% 

Saving from cost

MANAGEMENT OF CAPITALS

NATURAL CAPITAL

GRI: 103, 302-1, 305-1

SNAPSHOT OF VALUE CREATION AND INITIATIVES

The following achievements enhanced the overall value we created during 2021.

Trees

- 100 new trees planted
- 56,900 litres of O₂ produced



Paper

- Dedicated WhatsApp number to submit customer claim forms helped reduce paper consumption
- Electronic payment gateway to reduce paper usage and waste
- On-going technical and operations support on minimising paper usage
- Ultimate goal of a paperless environment



Conservation

- Reduced water consumption in 23 branches, a 34% saving from total expense
- Reduced power consumption in 24 branches, a 28% saving of total expenses
- Reduction of fuel consumption cost by 27%



CREATING VALUE - INITIATIVES

During the year, we initiated several internal actions in managing and enhancing the value we inject to the natural environment. Apart from our contributions, we also maintained compliance to environmental regulations, with zero non-compliances recorded during the year.

ENERGY MANAGEMENT

The Company focused on several measures to reduce energy consumption practically, and enhance energy efficiency. Active initiatives for effective energy management:

Energy Efficiency

- Monitoring air conditioner usage during work hours, with the cut-off limit at office closing hour.
- Initiated the use of inverter air conditioners
- Initiated the replacement of all incandescent and compact fluorescent lights at office premises to LED light bulbs

Energy Conservation

- Use of natural lighting and natural ventilation in less energy intensive office areas, e.g. lobbies, corridors and restrooms.
- Office spaces at the head office and across branches are maximized through efficient interior planning for optimum use of natural light.

Staying Informed

- Awareness building programs are carried out regularly, while constant reminders and encouragements are relayed to employees on reduced and efficient consumption of electricity.

 28%
Saving from bill

GRI: 103, 302-1, 303-1

WATER MANAGEMENT

At Arpico Insurance, we ensure proper maintenance of water systems and promote mindful water consumption – prompting reductions in usage. This is ensured through two fundamental means.

- The company has in place dedicated maintenance staff to oversee preventive work and repairs – prompting immediate action to minimise any wastage.
- Moreover, employees are encouraged to mindfully consume water at head office and branches. Management creates awareness on the importance of careful consumption through signs bearing 'use water carefully' - placed in lunchrooms and lavatory as constant reminders.

34%
from cost



FUEL MANAGEMENT

The company's need for fuel comes through use of transportation. In curbing unnecessary consumption of fuel and to optimise usage, we deploy several actions.

- Thresholds followed in limiting undue consumption
- A cost reimbursement method in allotting fuel to employees

27%
from cost



WASTE MANAGEMENT

- Waste management at Arpico Insurance mainly entails recycling and proper disposal of paper.



MANAGEMENT OF CAPITALS

NATURAL CAPITAL

PAPER WASTE

Paper is by far the most used and disposed waste material across company offices. Therefore, in managing paper waste and proper utilisation of paper materials we adopt several initiatives.

- Company's IT division engages in routine system support and continuous system developments towards minimising paperwork.
- Re-usable envelopes utilised for transferring documents, internally.



- Use of e-mails and other digital methods for most branch communications, to minimise paper consumption –ultimately moving towards a paperless work environment.
- Implementation of an electronic payment gateway, which minimised paper usage.
- A centralised administrative officer handles material allocation to branches, provides approval, and monitors consumption.

Digital tools to reduce paper consumption:

- WhatsApp for accepting claim forms
- Online and electronic payment options

5R IMPLEMENTATION

As a conscious and responsible business, our ultimate target is the full adoption of 5R in the long-term, across all office operations.

EXTERNAL GREEN INITIATIVES

During the operational year, we launched several campaigns to gradually increase our contributions in environmental sustenance.

THE GREEN CLUB

- As a medium for the company's sustainability efforts, we initiated a project titled, 'The Green Club' – for the purpose of planting trees in strategically selected locations. Moreover, it encourages employee participation as we aim to enhance their awareness on environmental protection.
- As its inaugural project, 100 saplings were planted along Mathugama - Yatadola to increase the production of O₂.

SAFEGUARDING ENVIRONMENT

We ensure that our branch structures do not negatively harm the natural environment, while ensuring that our operations do not impose any adverse effects on the environment.



INTERDEPENDENCIES

A qualitative presentation of the various trade-offs from initiatives related to natural capital.

Initiative	Interdependencies				
	Financial Capital	Human Capital	Social and Relationship Capital	Manufactured Capital	Natural Capital
Planting 100 trees	Fund allocation required	Employee engagement increases	Builds brand reputation		Increases the level of oxygen and absorbs CO₂
Reducing consumption of water electricity and fuel	Cost saving		Using scare resources efficiently		Conservation for future users
Initiating Green Club		Creative thinking and accountability increase		Branch network connectivity increases	Reduction in wastages and consumption
Impact from Digital Payment Gateway	Initial investments required	Increases employee productivity and customer convenience	- Increases customer satisfaction - Reduced mistakes and increased stakeholder engagement	Minimises need for manual operations	Reduces paper usage / wastage

THE PATH TO FOLLOW

Short-term

- E-waste recycling program
- Initiate 5R concept
- Plant 500 trees

Medium-term

- Gradually implement 5R in head office
- Building community awareness on protecting the nature.

Long-term

- Phase-out 5R concept across branches
- Minimise carbon footprint
- Drastically reduce energy consumption by switching to alternatives and mindful consumption.



HUMAN CAPITAL

Our human capital is represented by a competent and dynamic workforce, while the combined effects of workforce composition and diversity, employee capabilities and initiatives for growth amplify our ability to meet stakeholder expectations and strategic objectives.

BY NURTURING
KNOWLEDGE AND
DIVERSE CAPABILITIES
OF OUR EMPLOYEES
WE CREATE A POSITIVE
EFFECT ON OUR ABILI-
TY TO CREATE STAKE-
HOLDER VALUE.



TOTAL STAFF

2,805



1,700
Training Hours

MANAGEMENT OF CAPITALS

HUMAN CAPITAL

GRI: 102-8, 103

SNAPSHOT OF VALUE CREATION AND INITIATIVES

Workforce

- Increase in recruitments compared to 2020
- Higher retention in relation to 2020
- Year's first MDRT winner produced in January



Key Initiatives

- Increase in training programs
- More online training programs due to restrictions in mobility and social gatherings
- Increased performance evaluations



Key Outcomes

- More employees recognised than 2020
- Increase in employees who received awards



POSITION OF HUMAN CAPITAL

Employees are the core stock of our human capital and the drivers of organisational growth. Their commitment, professionalism and capabilities enable the management to steer the company forward, with confidence.

WORKFORCE COMPOSITION AND ANALYSIS

2021



Employees

Permanent

914

Non Permanent

1,891

2020



Employees

Permanent

746

Non Permanent

1,929

2021



Gender

Male

1,553

Female

1,252

2020



Gender

Male

1,419

Female

1,256

SUPPLEMENTARY
INFORMATION

FINANCIAL
REPORTS

LEADERSHIP AND
GOVERNANCE

MANAGEMENT
DISCUSSION AND
ANALYSIS

CREATING INTEGRATED
VALUE

ORGANISATIONAL
FRAMEWORK

MANAGEMENT OF CAPITALS

HUMAN CAPITAL

GRI: 103, 401-1, 401-3

CREATIVE VALUE – INITIATIVES

The force behind company growth, our employees drive value creation, while adding tremendous worth to organisational capital.

HRM GOVERNANCE AND OVERSIGHT

Group HRM plays a central role as it oversees matters of human capital on behalf of the company. Placing both employee interests and corporate needs at the centre of its HR governance policies, Group HRM provides clarity and guidance on recruitment, performance management, employee engagement, and training and development.

The department of corporate affairs at Arpico Insurance works as the point of contact between employees and group HRM department.

EMPLOYEE DIVERSITY

Our workforce is represented by 45% of female and 55% of male co-workers. The team includes employees from various ethnicities and social backdrops – originating from various locales of the country.

RECRUITMENT DRIVE

In 2021, new recruits / replacements increased by 25%, through both internal and external recruitments.

2021 Increase
422 **25%**
New recruits /
replacements

ORGANISATIONAL CAMARADERIE - A CULTURE OF RESPECTFUL RELATIONSHIPS

Our culture is one where equal treatment and respect for peers are encouraged at every level. Employees are constantly encouraged to have a friendly work culture, while the management cultivates the importance of growing together as one team.

COFFEE WITH CEO

'Coffee with CEO' was initiated by CEO Mr. Kelum Senanayake as a means of having direct and open engagement with employees, while exchanging ideas and concerns for corporate and individual growth.

OPEN DOOR POLICY

An open-door policy, focused on two-way communication is endorsed throughout, with employees encouraged to present ideas to the senior management.

TRAINING AND DEVELOPMENT

The company's HR and strategic unit takes initiatives to proactively build employee professional skills and technical expertise.

Despite constraints from the pandemic, training and development programs continued with increased momentum by switching to online platforms.

1,700 training hours
165 training programmes

PROGRAMS

During the year, our focus leaned towards internal training endeavours with the addition of four external training programs.



PROGRAM DEVELOPMENT PROCESS

Training programs are developed gradually, accommodating employee and organisational needs.



Training Hours

Training hours are allocated to accommodate staff from all job categories and regions.

Category		Hours in 2021	Hours in 2020
By Age	Under 30 years	750	800
	30 - 50 Years	650	720
	Over 50 Years	300	280
By Region	Western	130	120
	Northern	380	450
	Southern	300	170
	Eastern	60	80
	Sabaragamuwa	210	150
	Uva	100	110
	Central	350	500
	North Central	90	100
	North Western	80	120
By Staff	Heads and above	5	28
	Managers and Assistant Managers	10	32
	Executives	15	60
	Non-Executives	10	80
	Field Staff	1,660	1,600

MANAGEMENT OF CAPITALS

HUMAN CAPITAL

GRI: 103, 401-2, 404-3

PERFORMANCE MANAGEMENT

We have set in place relevant indicators (KPIs) in providing benchmarks for employee performance. KPIs are assessed for employee recognition and awards, making them measurements of success for staff (sales and technical) across the company. KPIs are created and revised regularly under the direction of company's HRM and our senior management.



Appraisals are conducted periodically using KPIs; results of appraisals are used for annual awards and employee recognition – particularly in rewarding sales team achievements.

EMPLOYEE RECOGNITION

ANNUAL AWARDS PROGRAM

Our annual Awards Program is a mainstay in uplifting employees and in rewarding performance excellence. During the year, we held our 9th program, recognising the best of our sales professionals. The program was conducted adhering to health regulations.



GRI: 103, 201-3, 401-2, 405-1



REMUNERATION AND BENEFITS

The duties employees undertake are recognised with fair remuneration and benefits – without discrimination between those of the same pay grades. Our salaries are on par with industry standards and complemented by medical benefits and allowances. Moreover, annual increments are offered to employees with demonstrated performance.

Rs. **493** Mn.
in employee remuneration
and benefits

EMPLOYEE OF THE MONTH

Each month, an employee with outstanding service is selected and recognised for his or her service performance – upon evaluating nominations from all divisions. Subsequently, the selected employee of the month is announced through e-mails, social media and is recognised across the organisation.

SERVICE WITH PASSION

Employees above 05 years of service are recognised for their long-term commitments. They were recognised and rewarded at the 10th year anniversary celebrations.

MDRT ACHIEVERS

During the year, 16 of our sales force qualified as MDRT winners and 01 Court of The Table (COT) winner amongst our sales teams.

Free Healthcare cover for employees

We also ensure timely contributions to ETF and EPF payments on behalf of all our permanent staff; they are also entitled for gratuity as per regulations.

EMPLOYEE COMMUNICATION

At Arpico Insurance, employees use several methods of communication, with varying frequencies of use for specific purposes.



MANAGEMENT OF CAPITALS

HUMAN CAPITAL

GRI: 416-1, 416-2

The following aspects also fall under the purview of Group HRM.

- **Compliance with Labour Laws** – Group HR ensures that we comply with all labour regulations, in addition to ensuring no underage recruitments, as well as compliance to timely statutory payments for employees (ETF, EPF and salaries).
- **Non-Discrimination** – A zero-tolerance stance is taken against any gender-based discriminations or violations of rights of employees. Policies are in place to manage such circumstances and in taking remedial action in resolving matters.
- **Employee Health and Safety** – Employees are provided with medical reimbursements, in addition to COVID-19 related check-ups such as rapid antigen tests (RAT) and PCR tests.

INITIATIVES RELATED TO THE PANDEMIC

Since the onset of the pandemic, we initiated necessary arrangements, ensuring that employees remain safe and compliant with regulations, while also ensuring work continuity with minimal disruptions.

Measured adopted:

- Periodic office sanitations and high-quality sanitization facilities at every entrance of head office and branches
- Free transport for all back-office employees
- Work-from-home facilities on an effective roster basis
- Ensuring well-being of staff and remote work arrangements for those in isolated areas
- Meetings and conferences arranged through online platforms
- Maintaining distance between work stations
- PCR tests (48) and 34 RAT tests for first contacts in office.
- Rs. 3 Mn. in work from home provisions

VALUE CREATION OUTCOMES

The outcomes of human capital initiatives are demonstrated below.

Initiatives	2021
Workforce increase (%)	25
Training hours total (Hrs.)	1,700
Training hours per employee (Hrs.)	1.43
Awards and recognition (No. of Staff)	56

Interdependencies

The following demonstrates both positive and negative impacts of actions and initiatives pertaining to human capital.

Initiatives	Interdependencies				
	Financial Capital	Social and Relationship Capital	Intellectual Capital	Manufactured Capital	Natural Capital
Increased recruitment	Recurring cost of remuneration and benefits	Ability to build increased relationships with stakeholders	Increase in organisational knowledge	Additional facilities required	Increase in resource consumption/emissions
Coffee with CEO	Cost per event	Strengthen employee relations			
Increased online training and decreased physical training	Relatively low expenditures		- Positive impact - Increases explicit knowledge - Flexible learning - Social seclusion - Limited exchange of ideas	- Need for ICT/digital infrastructure - Reduced physical facility usage	Lower resource usage
Remote work	Reduced operational costs	- Proactively reach customers - Less personalised service	Increase in ICT knowledge	Reduced use of physical infrastructure	- Resource conservation - Reduced emissions
COVID provisions	Separate allocations			Arrangements for safety and distancing	
Increased rewards	Increased allocations	Better employee relations	Retain knowledge and skilled employees		

Path to Follow

Short-term

- New recruitments to support branch expansion and business growth
- Ensure employee safety and welfare
- Improve digital trainings
- Follow strong HR governance

Medium-term

- Attract and develop second level management to capture future of the industry
- Improve employee retention ratio
- Improve gender parity ratio

Long-term

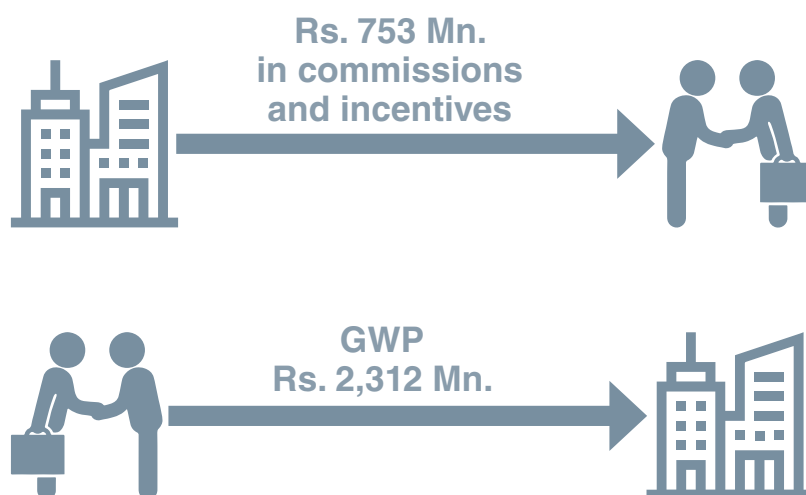
- Great place to work
- Increased workforce support for business growth



SOCIAL AND RELATIONSHIP CAPITAL

Our social and relationship capital is exemplified by the relationships we have created with customers and our business partners.

THE RELATIONSHIPS WE FOSTER WITH CUSTOMERS AND PARTNERS ARE VITAL STRANDS OF OUR GROWTH, WHILE THE VALUE WE CREATE FOR THEM ENABLES US TO RETAIN THEIR LOYALTY, TRUST AND SUPPORT FOR YEARS TO COME.



MANAGEMENT OF CAPITALS

SOCIAL AND RELATIONSHIP CAPITAL

SNAPSHOT OF VALUE CREATION AND INITIATIVES

Customers

- Rs. 573 Mn. in claims and benefits
- 1 New innovative product
- 9 New branches
- New digital payment methods
- Operational support during the pandemic



Agents

- 26% growth in GWP from Agents
- Growth in commissions and incentives received
- Training programs
- MDRT achievers



Outcomes

- Maintaining relationships with international reinsurers
- Trusted bancassurance partners



CREATING VALUE

CUSTOMERS

The value we create for our customers continue to increase, as we place them at the centre of our vision for the future. During the year, we continued to strengthen the services and conveniences provided to our clientele – striving to make enhanced customer service a key metric with which customers retain their trust and confidence in us.

DIGITAL CLAIMS SUBMISSION AND ONLINE SETTLEMENT (CONTACTLESS MANAGEMENT)

- We facilitated customers with digital claims submissions, via e-mail and WhatsApp.
- Online methods gradually deployed for claim settlement.
- Moreover, all COVID-related claims were settled for 2021.

ADDRESSING NEEDS DURING THE PANDEMIC

NEW COVER - ARPICO 'COVID CARE' PLAN

A health policy covering pandemic related claims was introduced in 2020, providing ease of mind to customers as they recover from the pandemic.

REMOTE WORK ARRANGEMENTS

The management took immediate actions in establishing home network connections, and work from home arrangements, ensuring operational continuity with minimal disruptions.

CONVENIENT DIGITAL PAYMENT MODES

Additional payments modes were implemented for customer convenience.

- InstantPay
- Online pay via web portal
- Online fund transfers
- Commercial Bank's Q+ app
- Dialog EzCash

DIGITAL COMMUNICATIONS

With the onset of the pandemic and lockdowns that ensued, mobile communication apps (WhatsApp, Viber, etc...) and social media was used continuously for communications and creating awareness. In addition, the call centre hotline operated 8.00 am - 5.30 pm, can be reach for any inquiries.

EXPANDING REACH

Expanding our reach and accessibility through physical and digital means remains a vital strategy in providing solutions and services to customers. Our touch points remain key mechanisms through which we engage with a diverse clientele.

MANAGEMENT OF CAPITALS

SOCIAL AND RELATIONSHIP CAPITAL

BRANCH NETWORK – RETAIL FOOTPRINT

Our branches are vital means that not only give life to direct customer services but it is an essential aspect in how we build purposeful and personalised relationships with our customers across the scope.

Getting insurance solutions to thousands of customers across the island, we operate through a branch network of 66 offices spread across all provinces. Out of the 66 branches we included 9 new branches in 2021, with 2 branches relocated to new areas.

BRANCHES PROVINCE-WISE

Province	No. of Branches
Western	16
Northern	5
Southern	8
Eastern	8
Central	9
Sabaragamuwa	3
Uva	5
North Central	6
North Western	6

TOUCH POINTS



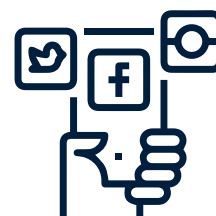
Branches



Agents



Webportal



Social Media

DIGITAL INTERACTIONS

Our digital media presence is powered through our Facebook page - and corporate website, making them digital pathways to connecting with customers across Sri Lanka.



www.facebook.com/pg/ArpicoIn



arpicoinsurance.com

WEBSITE

The corporate website is continuously upgraded to provide an improved user experience. During the year, we added 'Online Pay' – extending our corporate web portal, enabling the flexibility of online payments.

GRI: 102-2

SOCIAL MEDIA

In 2021, Facebook likes increased alongside a growing number of customer interactions through multilingual, informative posts and engaging adverts.

CREATING AWARENESS

Utilising Facebook, we continued to raise awareness on COVID-19 and its divergent strains and symptoms. The platform is a means for creating awareness on various health topics, such as psychological wellbeing and non-communicable diseases.

WIDENING PRODUCT PORTFOLIO

Our product portfolio is a result of customer-centric thinking, with products that offer protection across life's most significant requirements. Each year we expand and enhance our portfolio with new products and innovative inclusions to better benefit customers.

NEW PRODUCT DEVELOPMENT



Each year, we strive to introduce a minimum of one novel solution, addressing gaps within our portfolio, while striving for unmatched benefits.

In 2021, a best-in-class healthcare cover 'Arpico HealthCare' was introduced with a wide range of benefits for policyholders and loved ones.

PRODUCT PORTFOLIO

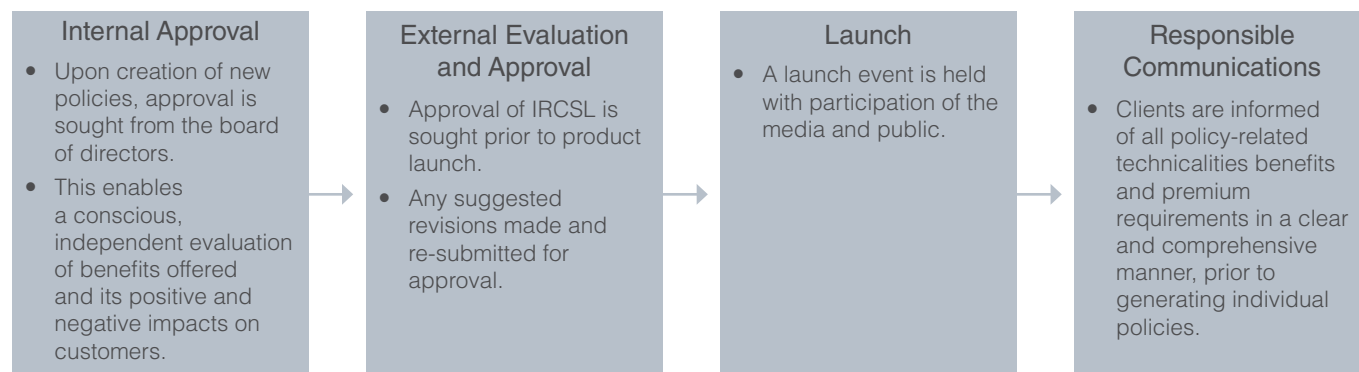
Based on the ideal of 'Insurance for the Living' our portfolio of insurance solutions extends well beyond life insurance. It encompasses insurance that supports critical moments of life, from health emergencies to educational requirements, as well as financial security through investment and retirement policies.

Arpico Endowment Plan	Arpico Relief Plan	Arpico Loan Protection Plan	Arpico Group Assurance Plan
Arpico Term Assurance Plan	Arpico School Fees Plan	Arpico COVID Care Plan	Arpico Healthcare Plan
Arpico Investment Bond	Arpico Retirement Plan	Arpico Diabcare Plan	Arpico Trust Plan

SOCIAL AND RELATIONSHIP CAPITAL

SAFEGUARDING CUSTOMER INTERESTS

At Arpico Insurance PLC, we claim responsibility for product designs and policy creations, while remaining compliant with regulations. The following steps are taken to ensure accountability in introducing solutions to the market.



REGULATORY MANDATE

In 2021, a circular was issued by IRCSL on procedures which should be adhered to when launching insurance products. Consequently, any insurance policy can only be issued subsequent to IRCSL's approval on fairness. (More on page – operating environment 34 to 43)

STRENGTHENING DATA AND NETWORK SECURITY

Due to our transitions to digital payment solutions and work from home arrangements, resilience of ICT infrastructure to potential threats were assessed and remedied during the year. (More on page – intellectual capital 77 to 81)

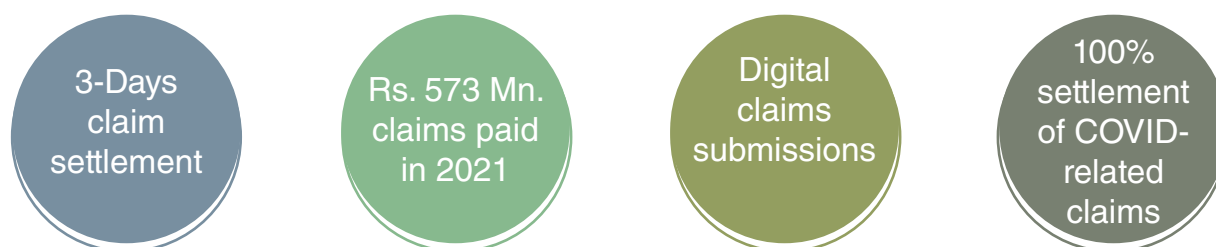
ACCESS TO INFORMATION

Customers requiring access to product information can pursue several alternatives.

- Website – provides detailed overviews of product information. It also provides branch information in addition to relevant applications and financial documentation for shareholders.
- Product material – Our branches are replete with access to product information and communication material, readily available.
- Inquiries – Our call centre can be reached on 011-2 -200-900 for any inquiries, while customers can also reach us through our Facebook page and e-mail to convey queries and concerns.

CLAIMS MANAGEMENT AND SETTLEMENT

We adopt a prudent approach to managing and settling claims and continuously improving turnaround times. With room for further enhancements, our investments in digital transformations are expected to increase efficiency.



CLAIMS SETTLEMENT

Settlement of claims is done in an average 3-days period. The following illustrates the proportions of claims settled in 2021.

Claims Settled	2021
Maturity claims (%)	85
Hospitalization (per day) benefit (%)	64
Hospitalization reimbursement benefit (%)	89

SERVICE STANDARDS

TURNAROUND TIMES

For our most critical functions we follow a set of service standards that require us to continuously improve our efficiencies in providing the best possible service.

Service Turnaround Times	
Time taken for underwriting decisions - Non Medical (Minutes)	8
Time taken for underwriting decisions - Medical (Minutes)	25
Time to formulate policies and reach customers (Days)	6
Average time to resolve queries (Minutes)	30
Claims settlement average time (Days)	3

Claims

- Claim will be paid within 3 working days if all documents are in order.
- Rejection letters will be sent within 2 days.
- Pending requirements will be notified within 48 hrs.
- 1st reminder after 7 days from the pending letter.
- Final reminder after 7 days from the 1st reminder.
- Closed letter after 7 days from the final reminder.

POLICY CONSERVATION UNIT

In 2021, a policy conservation unit was established in ensuring that policies are continued despite changes in agents and advisors. The unit is responsible for ensuring that policyholders are informed of necessary changes while providing an undisrupted customer service.

MANAGEMENT OF CAPITALS

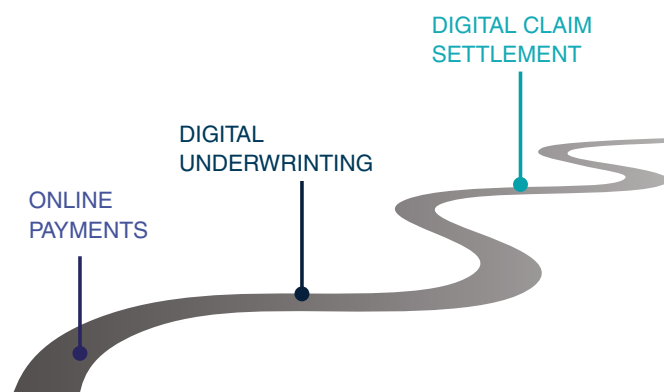
SOCIAL AND RELATIONSHIP CAPITAL

BRANDING AND PROMOTIONS

During the year, we conducted several brand building exercises, focused on building product and brand awareness amongst the public and media. A total of Rs. 13.9 Mn. was spent on these activities.

DIGITAL TRANSFORMATIONS

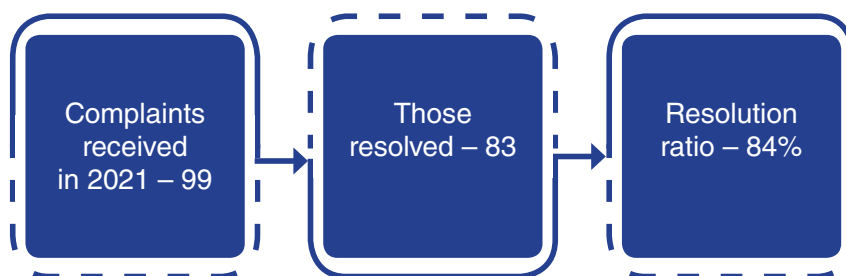
Moving from manual operations, we began adopting digital solutions to enable more efficient processes and turnaround times. We have commenced transforming towards digital solutions mainly in the areas of payments, underwriting and claim settlement.



COMPLAINT MANAGEMENT

Complaint management enables us to gauge the level of satisfaction amongst our clientele. Therefore, we strive to resolve complaints promptly, while benefitting from the effective use of a Complaint Management System.

The complaint management system is central to resolving complaints of both individual and corporate policy holders.



GRI:102-9,102-10, 102-13

BUSINESS PARTNERS

Our business partners are substantially vital for our process of value creation. They are not only partners in business but are also representatives of our overall business outlook and enablers of strategic objectives.

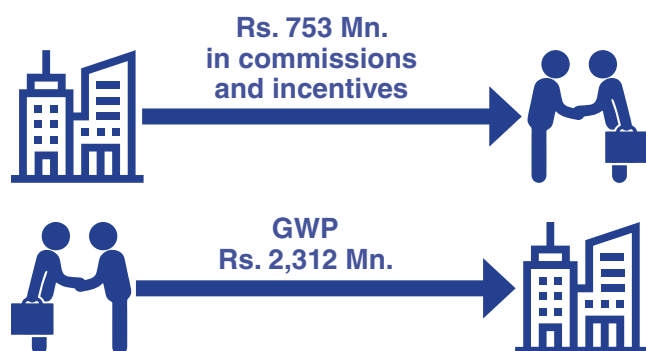
VALUE CREATION – INITIATIVES - AGENTS AND ADVISORS

Our focus is on creating a winning partnership for our multitude of agents, as they bring customers from across Sri Lanka closer to our products and solutions.

- In 2021, agent from Jaffna city branch emerged as the year's first MDRT achiever in industry – setting a 25-day new record.
- Three of our dedicated advisors received one silver award and two bronze awards as best advisors for 2020, awarded at the IASL life insurance industry sales awards.
- For the year 2021, 16 of our team members qualified for MDRT membership and one of them for COT demonstrating excellence through integrity, professionalism and expertise.

Agents	MDRT	COT	TOT
Qualified	16	1	-

FINANCIAL VALUE SHARED



TRAINING AND DEVELOPMENT

Our agents and advisors are a significant part of what defines our growth. Fuelling their knowledge and professional drive, we carried out several programs for training and development.

SALES AGENTS

Our sales team has 2,154 agents growing as a force in numbers, in competence and in experience.

Agents	2021	2020
Total Agents	2,154	2,174

RECOGNITIONS AND REWARDS

Each year, we commend and honour our top achievers at our Annual Awards program. In 2021, the awards program was conducted under health regulations. In total, 56 winners received awards titles, across 07 categories.

INDUSTRY ACHIEVEMENTS

During the year, our sales force received commendations – demonstrating their dedication and passion for excellence in business achievements.

BUSINESS PARTNERS – REINSURERS

Our reinsurance partners are selected for their recognition on the international insurance arena, which is reflected through their ratings and exceptional financial health. Our reinsurance partners include two leading international reinsurers.

SELECTION CRITERION

We work with reinsurers with a rating of 'A' or above. Reinsurer ratings are monitored persistently.

REINSURERS

We have partnered with Munich Re as our reinsurance partner for both individual and group policies.

Services of Hannover Re are also obtained under selective and unique instances.

COMPANY INFORMATION - REINSURERS

Munich Re – Is one of the world's leaders in reinsurance. Its primary insurance firm is ERGO. They possess a track record of over 141 years in taking care of risks on behalf of insurers.

Hannover Re – A German based reinsurance firm, with a GWP of over EUR 24 Bn. and over five decades of experience in handling risks.



RATINGS

Munich Re - During the year, Fitch affirmed the reinsurer's rating at AA proving its capabilities in scale and financial strength. The agency was also rated as A+ (Superior) with a Stable outlook by A.M. Best.

Hannover Re – According to A.M. Best, the company is rated as A+ with a stable outlook.

MANAGEMENT OF CAPITALS

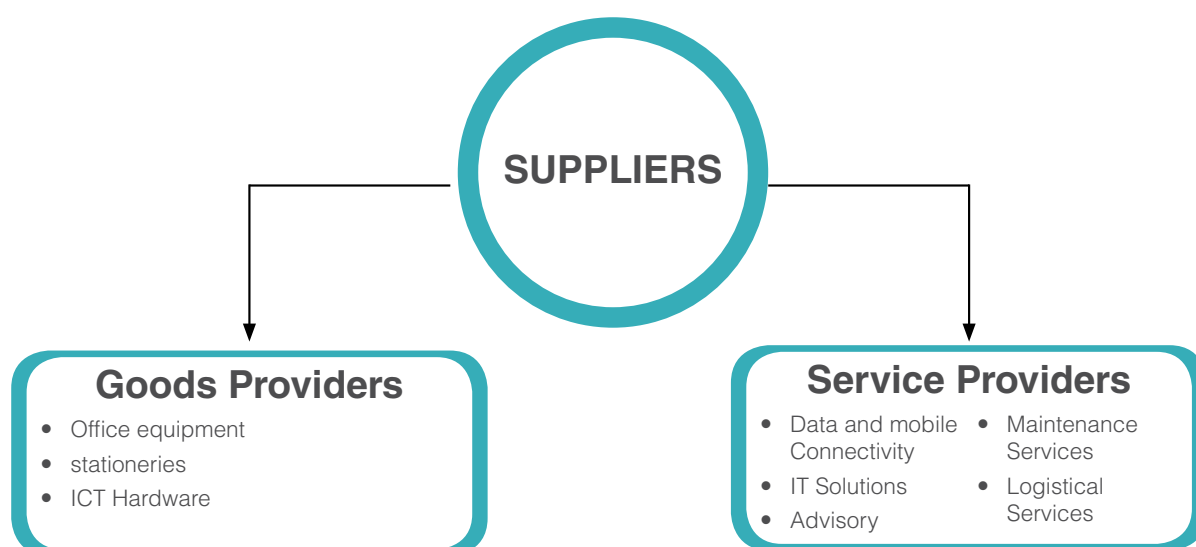
SOCIAL AND RELATIONSHIP CAPITAL

CLAIMS CEDED TO REINSURERS

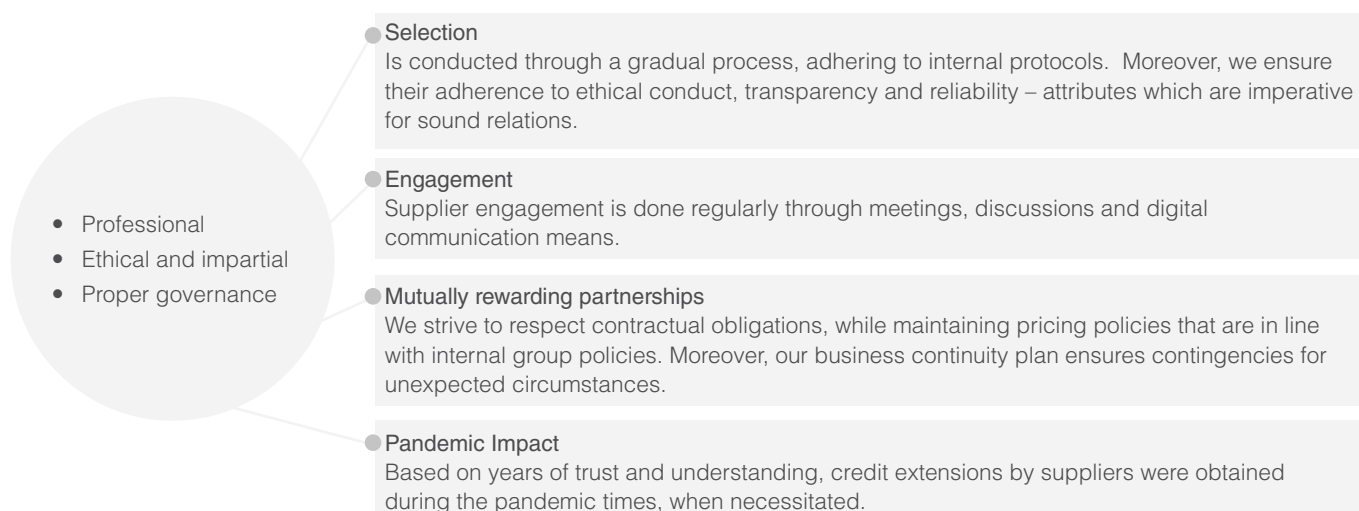
During the year, claims ceded to reinsurers increased/decreased.

Claims Ceded	2021	2020
Hospitalisation (Mn.)	51.79	23.7
Death (Mn.)	2.77	6.3

WHAT OUR SUPPLIERS OFFER



RELATIONSHIP WITH SUPPLIERS



OUTCOMES OF VALUE CREATED

Initiatives	2021	2020
Customers		
Market share (%)	1.9	1.8
Total new policies	22,186	19,232
Products launched	1	2
New branches	9	2
Total branches	66	57
Investments on new branches (Rs.Mn.)	36	7
Agents		
Total sales force agents	2,154	2,174
Commissions and incentives (Rs. Mn.)	753	418
Training programs (No.)	165	225
Gross written premium (Rs. Mn.)	2,312	1,836
MDRT qualified (No.)	16	26
Reinsurers		
Munich re (A.M. Best rating)	A+	A+
Hannover re (A.M. Best rating)	A+	A+
Expense paid (Rs. Mn.)	70	85
Claim recoveries (Rs. Mn.)	55	30

SOCIAL AND RELATIONSHIP CAPITAL

INTERDEPENDENCIES

Social and Relationship Capital	Interdependencies				
	Financial capital	Human capital	Intellectual capital	Manufactured capital	Natural capital
New products	- Related costs (Product training) - Future revenue	Requires employees with innovative mindset	Adds to our intellectual capital		
Increasing physical and digital touch points	- Capital investments - Costs for maintenance and upgrades - Increased business through growing reach	- New recruitments supporting branch expansions - Increased training alongside increased recruitment	Adding value to organisational tacit knowledge	- Expansion in PPE - Value addition to capital	Impacts from physical activities
Enhancing service standards and improving staff efficiency	- Investments in employees and their growth - Investments in advanced technologies	Need for training resources to enhance efficiency	Management systems and IT platforms that enhance efficiency	Increasing ICT infrastructure	
Mutually beneficial partnerships with agents and other partners	- Shared financial benefits - Channel expansion without capital investments	Increases agent retention	Growth in shared knowledge		
Rewarding agents	Trade-off with investments	- Good impact on retention - Increased loyalty			

PATH TO FOLLOW

Short-term

- Providing innovative insurance solutions
- Provide solid financial base to ensure customer protection
- Increase the lives covered
- Ensure supply payments timely
- Optimising reinsurance contracts
- Comply with relevant regulatory mandates
- Promote ethical competition among the industry
- Enhance web experience with smart features

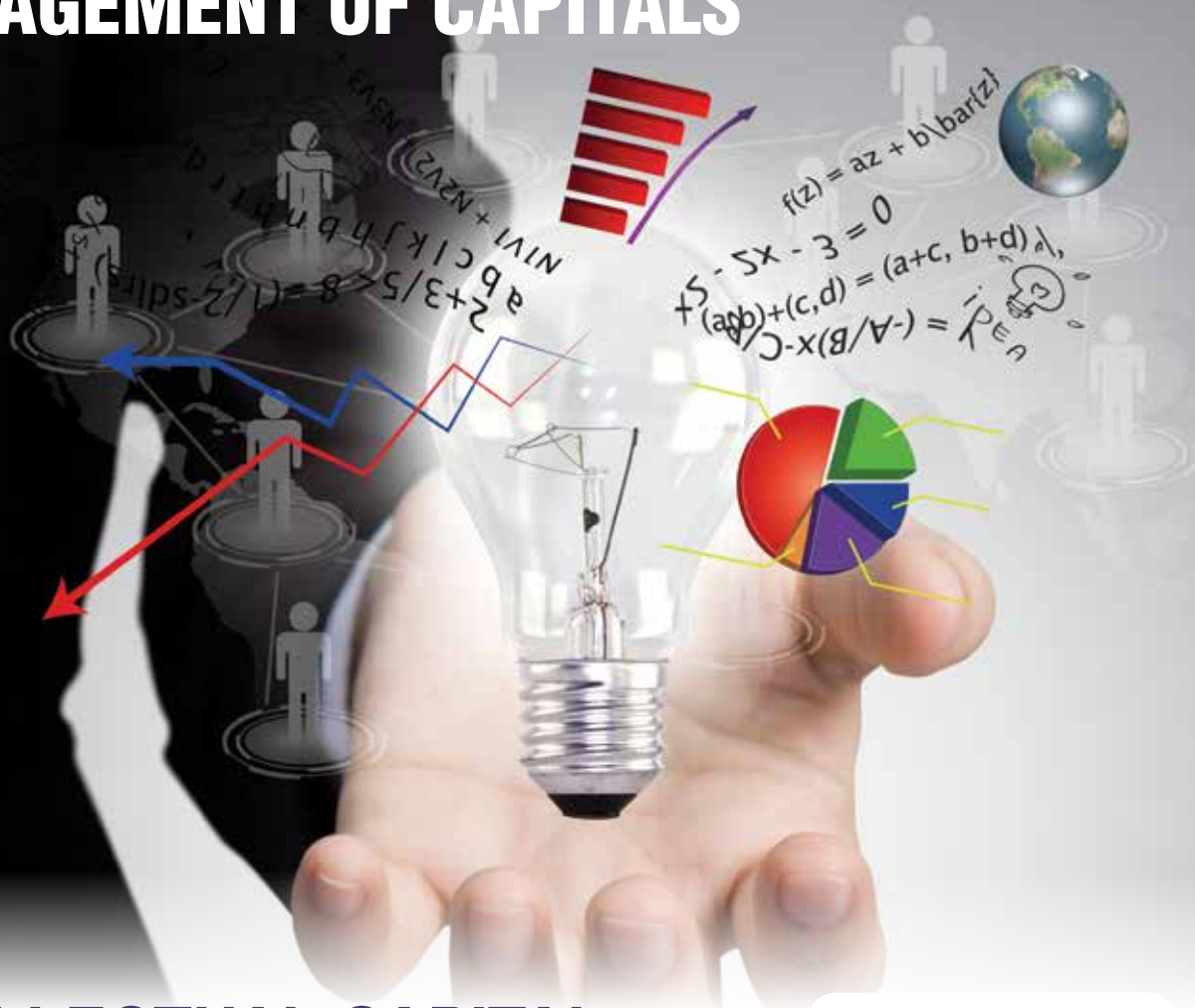
Medium-term

- Evaluating and implementing additional technologies and digital solutions to provide enhanced conveniences and efficiency in services.
- Drive all the business partners to achieve organisational goals while providing incentives and training for their growth.

Long-term

- Uplifting the lives of Sri Lankans by providing timely insurance products
- Provide the potential of improvement of business relations associate with technological innovations in global context while ensuring advantages resulting both company and partners.

MANAGEMENT OF CAPITALS



INTELLECTUAL CAPITAL

GRI:103,102 - 12

Our Intellectual Capital is the amalgamation of intangible intellectual assets, represented by governance and organisational culture, systems and innovations, tacit and explicit knowledge of employees and brand capital.

BY CONTINUOUSLY ENHANCING THESE ASPECTS, WE ARE ABLE TO ELEVATE OUR OPERATIONS, AND GAIN A STRONG POSITION WITHIN A HIGHLY COMPETITIVE MARKET ENVIRONMENT.



Brand Building

13.9 Mn.

MANAGEMENT OF CAPITALS

INTELLECTUAL CAPITAL

SNAPSHOT OF VALUE CREATION AND INITIATIVES



INITIATIVES

During the year, we focused on improving elements of our intellectual capital – enhancing them to persistently create value over time.

GOVERNANCE AND ORGANISATIONAL CULTURE

In strengthening governance and enhancing the corporate culture, the board took several strategic measures during the year under review.

STRENGTHENING CORPORATE GOVERNANCE

The board under the guidance of the group took measures to remediate gaps within the existing governance framework.

- Appointing of Mr. Kelum Senanayake as the new Chief Executive Officer. An industry veteran, he is the first CEO in the local industry who is MDRT achiever. (See profile details on page 98 to 99)
- A new board member, Mrs. W D Fernando was appointed during the year. She holds substantial experience and expertise in insurance (board profiles on page 94 to 95 for further details)

BOLSTERING RISK MANAGEMENT

During the year, several initiatives took place to bolster risk management .

- Revising the risk management process
- Obtaining board approval for implementation
- Adaptation of risk culture within the company (Please refer Risk Management Report on pages 114 to 123)

THE ARPICO INSURANCE CULTURE

Responsible and strong governance

Highly experienced and skilled leadership

Competent and united workforce

Proactive solutions

Adaptive to innovations

SYSTEMS AND INNOVATIONS

Our IT infrastructure, service innovations and novel product solutions contribute tremendously to creating value for our customers and other stakeholders. Therefore, we continue to amplify our efforts in digitalisations and competitive insurance solutions.

DIGITAL AND ICT DEVELOPMENTS

We initiated several measures to improve the internal strengths of our ICT infrastructure including network and cyber security.

Digital Payment Gateway

Increasing efficiency and enabling seamless payment convenience for customers, a digital payment gateway was developed during the year. It is a significant move in our digital transformations and part of our effort to transform the company to a paperless operation.

Strengthening Cyber Security

- Branch and home connections were secured through virtual private networks
- Application security controls ensured on the payment gateway portal
- The company entered into an agreement with 'Sophos', a UK based IT security firm, for a special assessment on the firewall setup at head office, certifying the protection environment.

NEW INNOVATIONS

Each year, we introduce timely, inventive solutions, while enhancing riders of existing policies keeping in line with innovative offerings and solutions.

New Healthcare cover

A new policy 'Arpico HealthCare' was launched in 2021, unmatched in its provisions. It offers a host of top-of-the-line Healthcare benefits, including:

- Cashless reimbursement for hospitalisations for the assured, and beneficiaries
- Critical illness cover for assured and spouse
- Women Healthcare cover
- Cancer Healthcare cover
- Life protection benefit for the assured and spouse

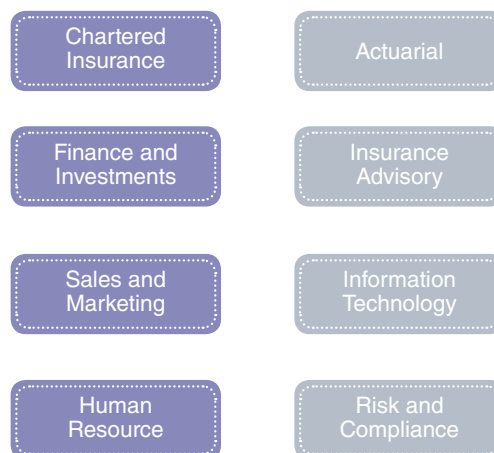
Moreover, 'COVID Care', launched in 2020 as a response to the pandemic, was enhanced during the year, with enhanced benefits for existing policyholders.

TACIT AND EXPLICIT KNOWLEDGE OF HUMAN CAPITAL

The company has a gathering of highly competent employees with diverse skills and inferred knowledge that is unique to its brand and insurance operations.

IMPORTANCE OF TACIT AND EXPLICIT KNOWLEDGE

Our workforce of 2,805 professionals holds years of industry experience across various disciplines making their collective organisational and individual knowledge ranges a competitive advantage for company growth.



MAINTAINING TACIT KNOWLEDGE

In nurturing tacit knowledge, the management conducted several programs in 2021, amounting to 1700 hours of training.

- Technical underwriting training
- Non-technical sales related training
- Coffee with CEO' forums for employee mentoring and discussions.
- Leadership training for middle level managers

Training programs were conducted virtually during periods of lockdown, abiding by health regulations. This shift in learning ensured that our employees can confidently undertake responsibilities within the new normal.

BRAND CAPITAL

The benefits of proper brand building efforts facilitate current business growth and foster future brand recognition.

BRAND BUILDING

During the year, the company injected Rs. 13.9 Mn towards brand building efforts.

As part of our initiatives in brand building, we engaged in several activities adding value to our brand worth.

- Branch-level activations
- Selective advertising and PR communications
- Events

MANAGEMENT OF CAPITALS

INTELLECTUAL CAPITAL

Group Brand Name and Recognition

Being a subsidiary of the Richard Peiris group of companies provides us significant leverage in gaining customer acceptance and confidence. As a conglomerate with a rich heritage of over nine decades, the group has grown from a simple merchant operation to what is now a network of diverse companies in manufacturing of industrial and household goods, insurance, retail, plantations, construction, stock broking logistics, electronics.

The brand 'Arpico' holds tremendous value as a household name - synonymous with years of trust and corporate strength within Sri Lanka.



Business Recognitions

Arpico Insurance PLC is the winner of several international awards, received in recognition of innovation, trust, risk management and growth. These accolades represent the true worth of our intellectual capital.

Best Sri Lankan
Life Insurance
Company for
Innovation (2020)

Risk Management
Strategy of the
year (2019)

Most Trusted Life
Insurance Brand
in Sri Lanka
(2019)

Most Successful
Life Insurance
Company in Sri
Lanka (2018)

Fastest Growing Life
Insurance Company
in Sri Lanka
(2018 and 2017)

OUTCOMES OF VALUE CREATED

Initiatives	2021	2020
Brand building (Rs.Mn.)	13.9	6.5
Retaining tacit knowledge - total employee-related investments (Rs.Mn.)	492.6	356.6
New insurance solutions (No.)	01	02

INTERDEPENDENCIES

The following demonstrates the connected impacts of intellectual capital changes on other capitals.

Initiative	Interdependencies				
	Financial Capital	Human Capital	Social and Relationship Capital	Manufactured Capital	Natural Capital
Brand building	Capital required		Builds recognition	Enhances value	
Maintaining and retaining tacit knowledge	Concentrated investments	Training and development Employee satisfaction and empowerment	Employee expertise enhances customer experience	Learning facilities and resources	
New insurance solutions	Product development costs	Creative thinking and market research	Attracts new customers Cross-selling potential		
Continuous system upgrades	Concentrated investments		Reduces turnaround times		Reduces paper usage / wastage
Adopting advanced technologies	Considerable capital required	Increases employee productivity and convenience	Increases stakeholder satisfaction	Minimises need for infrastructure	Potential increase in e-waste

PATH TO FOLLOW

Short-term

- Increase brand communications
- Innovative insurance solutions
- Interactive customer mobile application
- Introduce specialised risk management training

Medium-term

- New categories of insurance
- Advanced phase of risk management training with AML and cyber security awareness
- Real-time disaster recovery facility
- Implementing an advanced CRM

Long-term

- Use of Artificial Intelligence Software
- To personalise customer experiences
- Improved management and turnaround times in claims and underwriting
- Be a strong industry contender of insurtech.



MANUFACTURED CAPITAL

GRI: 102-12, 103

The total stock of our manufactured capital is formed by physical and digital infrastructure - vital in sustaining operations and advancing value creation. Increasing the value of manufactured capital, we continue to make calculated investments in infrastructure, while prudently managing physical assets and infrastructure for supporting sustained value creation.

AS PART OF OUR MANUFACTURED CAPITAL, WE CONSIDER PROPERTY, PLANT AND EQUIPMENT AND ICT INFRASTRUCTURE TO HAVE SIGNIFICANT IMPACT IN CREATING VALUE FOR OUR STAKEHOLDERS.

In 2021



9 New
Branches

2 Branch
Relocations

SNAPSHOT OF VALUE CREATION AND INITIATIVES

The following achievements enhanced the overall value we created during 2021 through our manufactured capital.

Physical Presence

- Network of 66 Branches
- 9 new branches
- Rs. 57.6 Mn. PPE
- Rs. 26.5 Mn in new PPE acquisitions
- Rs. 4.4 Bn. in total assets



Digital and ICT Infrastructure

- ICT upgrades and digital solutions
- New online and digital payment solutions
- New mobile application
- Web upgrades



Outcomes

- Rs. 35 Mn. average gross business premium per branch
- Rs. 11 Mn. average underwriting results per branch



CREATING VALUE

EXPANDING PHYSICAL PRESENCE

Branch Network – Retail Footprint

Each year, we expand our retail footprint, reaching new customer segments and communities. During the year, our physical presence continued to be expanded, increasing the value of our manufactured capital, while saturating our geographical presence.

In 2021, we added 9 new branches to the network. The existing network now reaches 66 locations - spread across the island, representing all provinces. In addition, 2 branches were relocated.

Through expansions, our retail footprint reaches new localities and townships. We pursue strategic locations with relatively higher footfall, with subsequent cost projections and breakeven timelines for optimising investments.

In 2021



9 New Branches | **2** Branch Relocations



Dambulla



Tambuttegama



Nuwara Eliya



Chenkaladi



Dehiattakandiya



Matara



Kandy



Muttur



Horana

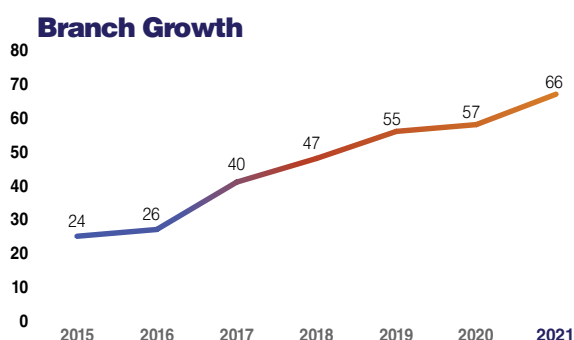
MANAGEMENT OF CAPITALS

MANUFACTURED CAPITAL

GRI: 102-4

BRANCH GROWTH

The following provides a clear understanding of the gradual increase of our branches over the past seven years.



BRANCHES – PROVINCIAL BREAKDOWN

Province-wise Western Province has the highest branch concentration, while Sabaragamuwa Province has the lowest penetration. In 2021, we increased our presence in the Eastern Province with the addition of two branches.

Western	Northern	Southern	Eastern	Central	Sabaragamuwa	Uva	North Central	North Western
16	5	8	8	9	3	5	6	6

Branch Performance – Provincial Breakdown

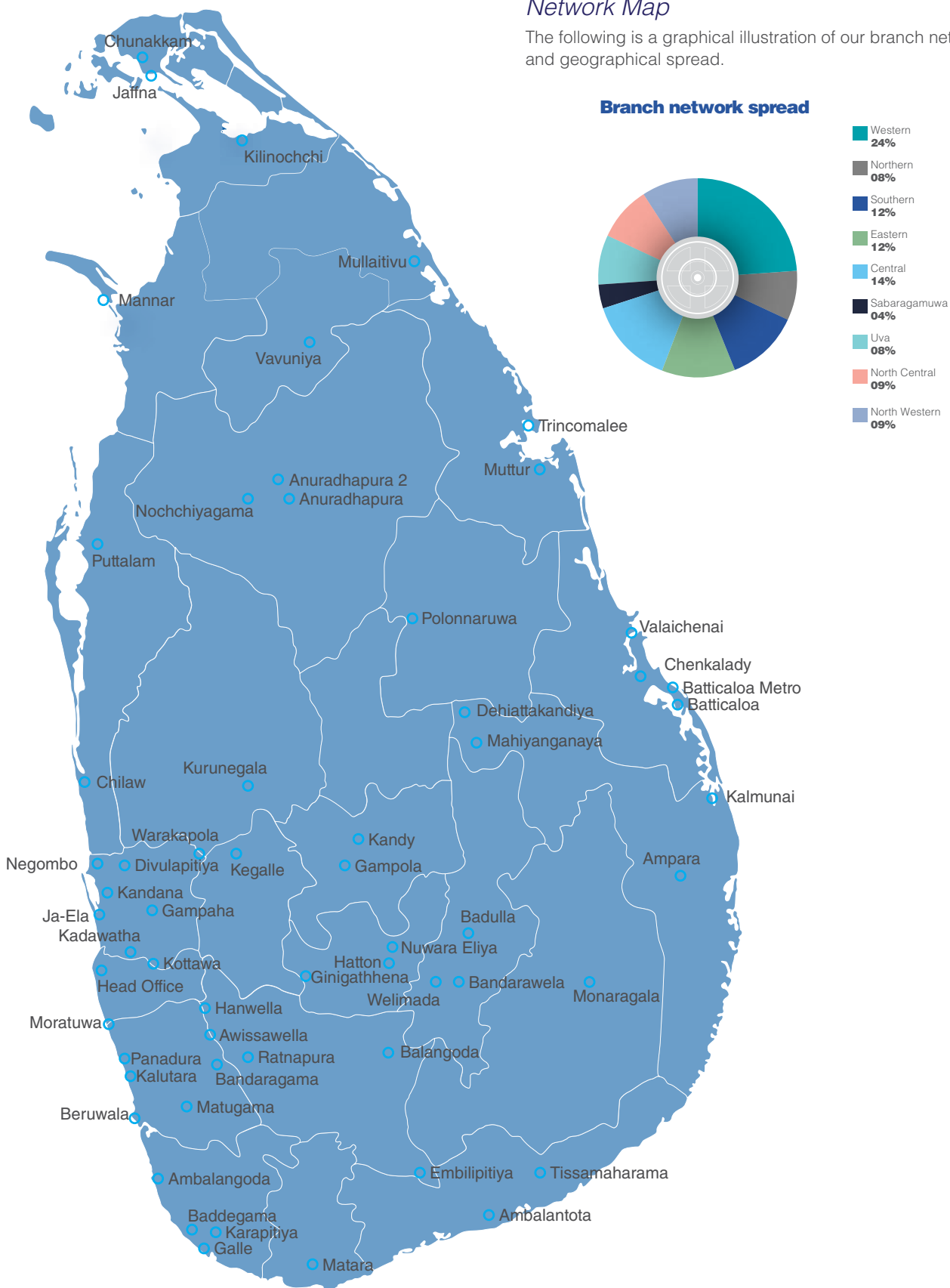
According to the following, Western Province accounts for 42% of GWP from the total gross written premiums, while branches in the Northern Province shares the highest average per branch revenue.

Province	GWP Contribution (Rs. Mn.)	GWP Contribution %	Average Revenue Per Branch (Rs. Mn.)
Western	962	42	60
Northern	322	14	64
Southern	189	8	24
Eastern	273	12	34
Central	171	7	19
Sabaragamuwa	188	8	63
Uva	70	3	14
North Central	82	4	14
North Western	55	2	9

Network Map

The following is a graphical illustration of our branch network and geographical spread.

Branch network spread



MANAGEMENT OF CAPITALS

MANUFACTURED CAPITAL

PPE Growth

Each year, our pool of property plant and equipment increases, based on new investments and acquisitions. This in turn enables us to provide increased physical conveniences for customers and staff. Moreover, asset based acquisitions are viewed as investments for the future.

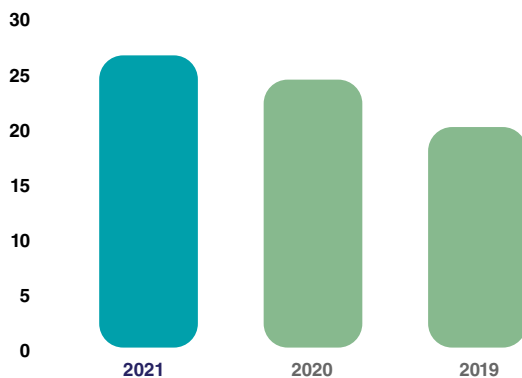
In 2021, we invested Rs. 26.5 Mn. in acquiring property, an increase of over Rs. 2 Mn. since 31st December 2020; while upkeep of premises amounted to Rs. 6.4 Mn. inclusive of refurbishments.

Rs. **4.4** Bn.
Total Assets

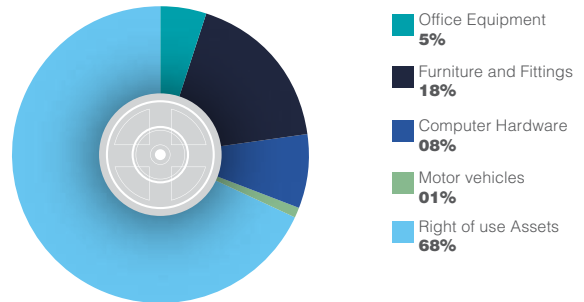
Rs. **57.69** Mn.
Total PPE

Overall PPE for the year demonstrates an increase as a result of new acquisitions in equipment and computer hardware.

PPE (Rs. Mn.)

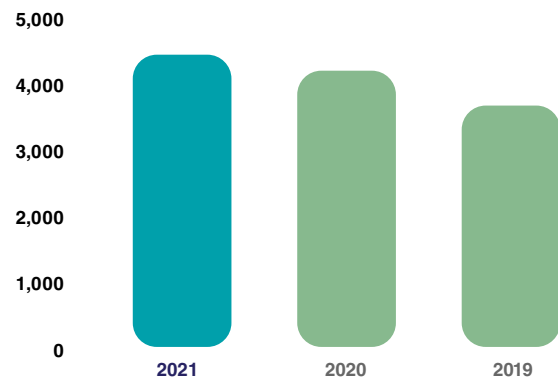


Asset Composition



For the financial year under review total asset base increased from Rs. 4.1 Bn. to Rs. 4.4 Bn.

Total Assets (Rs. Mn.)



Shared Infrastructure

We utilise public infrastructure and resources, including roads for transportation. Moreover, electricity, fuel and water are sourced from state-owned public utility companies. We are committed to timely payments to compensate consumption levels, while taking added measures to conserve and reduce consumption of these non-renewable resources. (Please refer natural capital on pages 53 to 57 for more details).

Fixed Asset Composition and Total Assets

The fixed asset composition as at 31st December 2021 is as follows. Assets under right of use include 9 branches leased for the year. The second largest share of fixed assets is under furniture and fittings.

DIGITAL AND ICT INFRASTRUCTURE

DIGITAL PATHWAYS - EXPANSIONS

Digital transformations at took an accelerated pace with the onset of the pandemic and lockdowns. And in 2021, we provided our customers the convenience of making payments for for their premiums, digitally.



arpicoinsurance.
com online pay



Online Fund
Transfer



Commercial Bank
Q+ app



Dialog
eZCash



InstantPay

In 2021, we took strides to advance our ICT infrastructure with investments in hardware, software upgrades and other network related upgrades, in improving:

- Operational efficiencies
- Digital customer services
- Work from home arrangements for employees.

ONLINE PAYMENT

The website was upgraded during the year, with the addition of an interlinked online payment portal – accommodating safe, contactless payments for our customers.

CALL CENTRE

During lockdowns and constrained mobility, the IT Department enabled the call centre with work from home facilities to ensure continued operations and uninterrupted assistance to customers. Call centre agents received mobile connections and supporting technology to carryout customer service work during lockdowns.

MANAGEMENT OF CAPITALS

MANUFACTURED CAPITAL

GRI: 103

Outcomes of Value Created

Financial outcomes of activities related to manufactured capital is provided below, in addition to a statement of the total stock of manufactured capital held by the company. New investments in PPE increased during the year under concern, alongside an increase in the number of new branches.

Indicators	2021	2020
New branches (No.)	9	2
Branch maintenance (Rs. Mn. in total)	6.4	10.6
PPE Position (Rs. Mn.)		
Property, plant and equipment - Total value as at 31 st December	57.6	59.1
New Investments in PPE (Rs. Mn.)		
Total acquisition cost	26.5	24.3
Equipment purchases	4	3
Office furniture	13.4	15.9
Computer hardware	9	5.2
Financial Outcomes (Rs. Mn.)		
Average revenue per branch	3.5	3.5
Net business premium per branch (Average)	35.4	30.6
Underwriting results per branch (Average)	11.4	7.3

Interdependencies

The impact of changes to manufactured capital on other capitals is aptly demonstrated in the following table. Such impacts are mentioned mainly.

Initiative	Interdependencies				
	Financial Capital	Human Capital	Social and Relationship Capital	Intellectual Capital	Natural Capital
New branches	Capital investments of Rs. 4 Mn per branch	- New recruitments - Training and development	Increased reach for customers	Increase in explicit and tacit knowledge with new recruitments	- Impact on emissions and resource consumptions - Use of rent/lease spaces eliminates constructions on new land
New ICT and digital solutions/expansions	- Capital investments - Payments for maintenance/upgrades	- Training for in-house IT staff and employees - Potential need for new IT recruits - Increases employee efficiencies	- Services from third-party service providers - Customer convenience	- Adds to intellectual capital stock - Align with industry innovations	- Paperless work environment - Reduced operational costs - Measures to reduce e-waste and power usage

Initiative	Interdependencies				
	Financial Capital	Human Capital	Social and Relationship Capital	Intellectual Capital	Natural Capital
PPE acquisitions	- Capital investments - Payments for maintenance/upgrades - Asset depreciations - Financial returns (property appreciations)	Asset management capabilities	Contractual obligations with third parties		- Land usage - Measures needed to reduce environmental impact and green development
Branch resource allocation	Optimised spending	Employee commitment to effective usage			Reduced resource consumption and wastage

Path to Follow

Short-term

- Invest in new branches
- Modernise the website for better interactiveness.
- Improve online payment interface

Medium-term

- Gradually increase new branches
- Gradually increase online services and ICT adoptions

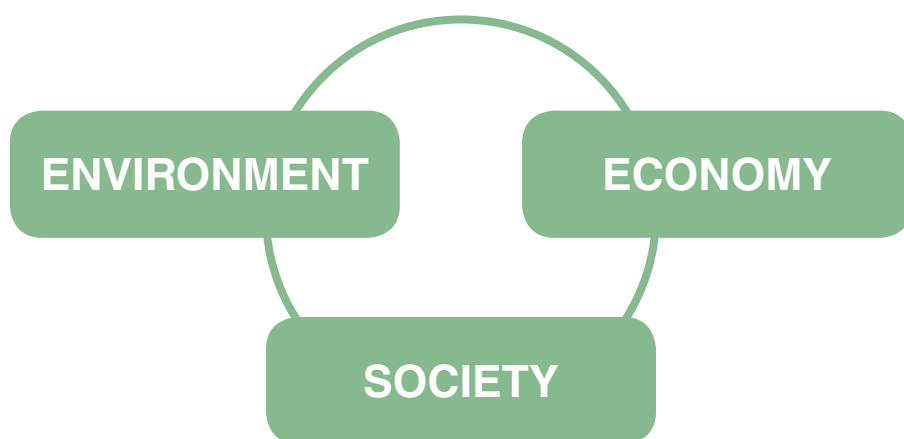
Long-term

- Wider branch saturation
- Bigger market share, branch-wise
- Modernise branch infrastructure
- Advanced operating systems
- Futuristic digital tools for customers

SUSTAINABLE GOALS

PRIORITISING SUSTAINABILITY

As an insurer, we strongly believe in creating sustainable processes and services that have positive impacts on socio-economic dynamics and the environment. Hence, our priorities in sustainability are based on the three pillars of sustainable development – economy, society and environment.



UNITED NATION'S SUSTAINABILITY DEVELOPMENT GOALS

Our efforts in sustainability align with the UN SDGs, which are connected with the three pillars of sustainable development. Established in 2015, the SDGs are a roadmap to a sustainable future, with interlinked and specific targets that calls to action institutions and individuals in reducing poverty and inequality and in protecting the planet.

Arpico Insurance PLC directly contributes to several SDGs through inclusive insurance, which provides risk mitigation and protection to all who require.





LEADERSHIP AND GOVERNANCE

BOARD OF DIRECTORS



- 1** **MR. VIVILLE PERERA:** Chairman and Non-Executive Director
- 2** **MR. S. SIRIKANANATHAN:** Non - Executive Independent Director
- 3** **MRS. LASINEE SERESINHE :** Non- Executive Independent Director
- 4** **MR. SHIRON GOONERATNE :** Non- Executive Director
- 5** **MRS. DILUKSHIKA FERNANDO :** Non- Executive Independent Director



BOARD OF DIRECTORS



MR. VIVILLE PERERA

Designation : Chairman and Non-Executive Director

Mr. Viville Perera is a graduate of science from the University of Kelaniya with a second class honours and a fellow member of the Chartered Institute of Management Accountants and an associate member of the Chartered Institute of Marketing in United Kingdom. Mr. Perera has over 32 years of experience in senior managerial capacity in leading business organisations such as associated newspapers of Ceylon Limited, Middleway Ltd. (Ceylinco Group) and Amico group of companies and Alliance Finance Co. PLC.

He has served as treasurer from the 1992 to 1997 and vice president from 1999 to 2002 at Sri Lanka Institute of Packaging. Mr. Perera represented Richard Pieris and Company PLC as an Ex-Co member from 2011 to 2020 and was the deputy vice chairman 2018/19 and 2019/20 of the industrial association of Sri Lanka, an affiliated trade association under the aegis of the Ceylon Chamber of Commerce. He is also the chairman of Arpico Insurance PLC and on the board of directors of several companies of Richard Pieris group.



MRS. LASINEE SERESINHE

Designation : Non- Executive Independent Director

Mrs. Seresinhe is an industry leader and veteran with over 20 years of leadership and experience to her name. During this tenure she held positions of leadership at the Securities and Exchange Commission of Sri Lanka and the Insurance Regulatory Commission of Sri Lanka (IRCSL - former insurance board of Sri Lanka).

At IRCSL, she commenced her duties as director general during its time as an independent office and served at the commission until her retirement. Parallel to her tenure as director general of IRCSL, she also served on the board of the National Insurance Trust Fund as an Ex-Officio member. Before her tenure at IRCSL she also served as a director at the Securities and Exchange Commission.

She was then engaged as an advisor at the Ministry of Finance for a short span of time. Prior to her positions of leadership at IRCSL and SEC, Mrs. Serasinhe worked in the private sector, for several years within the finance discipline, and also held duties as a consultant. In addition, she was also attached to SSP Corporate (Pvt) Ltd.

Mrs. Serasinhe is a fellow member of the Chartered Institute of Management Accountants (UK), a fellow member of the Chartered Global Management Accountants and is also a diploma holder in computer programming.



MR. SHIRON GOONERATNE

Designation : Non- Executive Independent Director

Mr. Shiron Gooneratne is a fellow member of the Institute of Chartered Accountants of Sri Lanka and holds an MBA from University of Leicester, United Kingdom.

Mr. Gooneratne brings in a wealth of experience, both from Sri Lanka and overseas. Having trained at Ernst and Young, he has held finance director / CFO positions at fortune 500 and leading corporates. Having trained at Ernst & Young, he joined GlaxoSmithKline consumer health care where he completed 11 years of which 7 years as the finance director. Thereafter, he joined the telecommunication sector where he was the chief financial officer of Sri Lanka Telecom PLC, which provides diversified services and a range of ICT solutions that cover fixed and mobile telephony, broadband, data services, internet protocol television (IPTV), cloud computing and hosting services.

Thereafter, he held the position of chief financial officer at Dilmah Ceylon Tea Company PLC and currently functions as an executive director of Richard Pieris & Company PLC, one of the largest conglomerates in Sri Lanka.



MR. S. SIRIKANANATHAN

**Designation : Non- Executive
Independent Director**

Mr. Sirikananathan is a veteran business leader with over 40 years of experience in the areas of auditing, finance and accounting at KPMG. He is also a retired KPMG partner and at present provides his expertise as a sole practitioner under the corporate name Sarasiri & company.

He has served on the boards of Associated News Papers of Ceylon Ltd. (ANCL) as director/ financial consultant and Bartleet Finance PLC as an independent non-executive director, audit committee chairman and remuneration committee member. His experience in audit extends across star-class hotels, conglomerates, development organisations, multinational banks, finance companies, insurance companies and several listed companies.

Mr. Sirikananathan is a fellow member of the Institute of Chartered Accountants of Sri Lanka (FCA) and a fellow member of the Institute of Certified Management Accountants of Sri Lanka (FCMA). He has also served on the Accounting Standards and Auditing Standards Committee of the Institute of Chartered Accountants of Sri Lanka for eleven and seven years, respectively. His academic profile includes a bachelor of science honours degree in physical science from the University of Peradeniya.



MRS. DILUKSHIKA FERNANDO

**Designation : Non- Executive
Independent Director**

Mrs. Dilukshika Fernando is a multi-qualified chartered insurer with over 13 years of experience in the insurance industry. She is an associate member of the Chartered Insurance Institute (ACII), associate member of the Chartered Institute of Management Accountants (ACMA) and an associate member of the Chartered Institute of Marketing (Dip M (UK) ACIM).

She started her career at Ernst & Young as a management consultancy trainee. Thereafter, she stepped into the insurance industry by joining Union Assurance PLC as a management trainee and held managerial and senior managerial positions during her tenure.

Her job role further expanded after joining Allianz Life Insurance Lanka limited as she was heading the life operations division for 2 years. She was also a member of the compliance and audit committee and executive committee.

Her experience in a multinational insurance company paved the way for her to join another reputed multinational insurance company - AIA Insurance PLC. She functioned as head of operations and was the specified officer for AIA Insurance PLC.

CORPORATE MANAGEMENT



1. Mr. Kelum Senanayake
Chief Executive Officer

2. Mr. W N C P Nishan
General Manager – Sales

3. Mr. T S Kitchilan
General Manager – Corporate Affairs

4. Mr. Mihilal Nishantha
General Manager - Sales

5. Mr. Pramoda Karunathilaka
General Manager - Partnerships and Strategic Planning

6. Mr. P Vanojan
Senior Assistant General Manager - Sales



7. Mrs. L A C Priyanthi
Manager Actuarial

8. Mrs. Sriyonie Mendis
Deputy General Manager -
Life Operations / Specified Officer

9. Mrs. Pavithra Peiris
Manager – Conservation and
Customer Care

10. Ms. Chathumadu Abeyakoon
Manager - Finance

11. Mr. Nelushan Gunewardena
Head of Marketing

12. Mr. Prashan Jayatissa
Senior Manager - Actuarial, Risk, Compliance
and Investments

CORPORATE MANAGEMENT

MR. KELUM SENANAYAKE

Chief Executive Officer

Kelum is a well known personality in the regional life insurance landscape, and as the chief executive officer of Arpico Insurance PLC brings to the table a wealth of experience & exposure spanning almost 40 years, from both local as well as international insurance industries. He also makes history by becoming the first and only CEO in the Sri Lankan Insurance industry to hold the coveted Million Dollar Round Table (MDRT) status achieved in Sri Lanka, in an impressive 133 days.

A product of Ananda College Colombo, he holds a diploma in business management from Worldview Institute & master of business administration from the University of Western Sydney, Australia.

In addition to being a management professional, he is also a respected trainer who has trained over 5,000 insurance professionals in his career and received training in the UK, Germany, Japan, Singapore, Hong Kong, Malaysia & South Africa. He has extensive experience in the areas of operations, life underwriting, life servicing, claims, product development, re-insurance, branch operations, corporate solutions distribution, contact centers and logistics.

MR. W N C P NISHAN

General Manager - Sales

Nishan counts over 27 years of experience in the industry. He has completed (AMTC) – LIMRA, LUTC diploma in insurance – LIMRA, management skills course – IMS and diploma in marketing from Singapore Institute of Marketing.

MR. PRAMODA KARUNATHILAKA

General Manager Partnerships & Strategic Planning

Pramoda is an experienced professional with over 24 Years of experience. His experience ranges from strategic planning, sales, marketing, operations, trainings, human resources and administration. He has experience in the fields of media, pharmaceutical, banking and insurance in both Sri Lanka and overseas.

He completed his post graduate diploma in marketing by Chartered Institute of Marketing-UK in 2003 and obtained full membership status (MCIM) in 2007. In the year 2008 he also obtained chartered marketer status offered by Chartered Institute of Marketing in the year 2008. He completed his MBA offered by Sikkim Manipal University of India in the year 2009.

Over the years Pramoda has been instrumental in restructuring business units, starting new business ventures and expanding to new areas.

MR. MIHILAL NISHANTHA

General Manager - Sales

Mihilal counts over 30 years of experience in the insurance industry with an extraordinary emphasis on sales and marketing. Prior to joining Arpico Insurance, he was attached to leading local and multinational Insurance companies such as Ceylinco Life, Softlogic Life and Allianz Insurance. Starting his professional career in 1991, he holds an MBA, PG Dip. in business management and AMTC and has received extensive foreign and local training including FALIA (Japan) in the field of life insurance.

MR. P VANOJAN

Snr. Asst. General Manager

Vanojan counts over 15 years of experience in the insurance industry, he holds a diploma in accounting & business from AAT, he joined as an assistant sales manager and he has been promoted to the senior assistant general manager level within his 10 years of service to the Arpico Insurance PLC.

MR. T S KITCHILAN

General Manager - Corporate Affairs

Toni Kitchilan is a fellow member of the Institute of Management Specialists, UK and holds an MSc in Information Management from Sri Lanka Institute of Information Technology.

In addition, he holds a diploma in business management from Worldview Institute and a national diploma in human resources management from the Institute of Personnel Management. He brings in a wealth of experience in both administrative and managerial functions and from various industries such as manufacturing, supply chain, financial services and real estate. He has over 35 years of experience in total which includes over 19 years experience in the insurance industry.

He also counts over 14 years in senior management holding various positions in advancing to the current position of general manager.

MRS. L A C PRIYANTHI

Manager Actuarial

Priyanthi counts over 20 years of experience in the insurance industry. She holds a BSc degree with first class honors in mathematics and statistics from University of Colombo and holds a Msc in actuarial science also from the University of Colombo.

MS. CHATHUMADU ABEYAKOON

Manager Finance

Chathumadu counts over 10 years of experience in the finance field. She is an associate member of Chartered Institute of Management Accountants (ACMA/CGMA) and holds a Master of Business Administration (MBA) from the Post Graduate Institute of Management (University of Sri Jayewardenepura).

MRS. SRIYONIE MENDIS

Deputy General Manager- Life Operations/ Specified Officer

Sriyonie counts 19 years of industry experience in life insurance. She joined the insurance sector after her bachelor of science degree in physical science from University of Colombo. She is a Chartered Insurer and associate member of the Chartered Insurance Institute of UK and holds an MBA from the University of Colombo Sri Lanka.

MR. PRASHAN JAYATISSA

Senior Manager – Actuarial, Risk, Compliance, and Investments

Prashan has gained over 5 years of professional experience in a wide range of technical areas in the insurance industry. He is a master of mathematics graduate from University of Durham, fellow member of the Chartered Insurance Institute (FCII), associate member of the institute and faculty of actuaries (AIA), and a Chartered Insurance risk manager. He currently leads the multi-disciplinary department handling actuarial, risk management, compliance, and investments at Arpico Insurance PLC.

MR. NELUSHAN GUNewardena

Head of Marketing

Nelushan is a resourceful and pragmatic marketing and management professional who counts over 17 years of extensive experience and expertise in strategic marketing planning, brand management, marketing & corporate communications, product development, public relations, revenue generation, operations & administration, etc.

Having received numerous awards and accolades for business as well as academic excellence, he possesses a post graduate diploma in marketing from SLIM and several recognized qualifications in the fields of automotive systems & mechanical engineering and has made his mark in highly dynamic industries such as retail, automotive, real estate, apparels, advertising and insurance at leading local and multinational organisations.

MRS. PAVITHRA PEIRIS

Manager- Conservation & Customer Care

Pavithra counts 8 years of experience in the field of insurance. Before joining Arpico Insurance she has worked in a multinational life insurance company and was heading conservation and customer care departments. She holds a degree in human resources management from Chartered Institute of Personnel Management (CIPM) and diploma in information & communication technology from IDM computer studies.

CORPORATE GOVERNANCE

Our Corporate Governance structure, enables us to prudently and effectively pursue business goals. More importantly, it provides the ground work with which we preserve the interests of our stakeholders – in a manner conducive to their expectations, and in compliance with regulatory requirements.

The strength of our corporate governance is bolstered by the support we receive from our group – Richard Peiris & Co. PLC, in addition to constant collaborations in reinforcing sound governance across the organisation.

OBJECTIVES OF CORPORATE GOVERNANCE

- Ensuring compliance to internal and external regulations
- Accountable and successful leadership
- Demarcate clear responsibilities
- Evaluate leadership performance
- Strengthen internal processes and frameworks
- Introduce necessary frameworks and policies
- Evaluate and strengthen risk management

COMPLIANCE

INTERNAL CONTROLS

Internal controls followed by the company, mainly focuses on financial controls, operational procedures and risk management. These in turn enable the effective and proper management of company assets, while prudently mitigating risk exposures of to the company and safeguarding stakeholders' interests.

INTERNAL AUDIT DIVISION

The division conducts regular evaluations of the internal control system across the organisation and is responsible for reporting such evaluations and subsequent findings to the chairman of the audit committee, and thereon to the board upon completion of reviews.

EXTERNAL REGULATIONS

In addition to internal controls and frameworks, the company complies with several mandatory regulatory frameworks, rules and regulations committing to statutory expectations. Moreover, such frameworks are accepted by the company as guidelines which strengthen governance.

COMPLIANCE WITH MANDATORY AND VOLUNTARY CODES OF GOVERNANCE

- Companies Act No. 07 of 2007
- Listing Rules of the CSE
- Regulation of Insurance Industry (RII) Act No. 43 of 2000 and amendments
- Code of Best Practice on Corporate Governance - Issued by CA Sri Lanka and the SEC
- IRC SL's Corporate Governance Directives

MANDATORY FRAMEWORKS

The company strictly adheres to the following mandatory and voluntary frameworks in maintaining a robust system of governance.

- Articles of Association
- Terms of Reference
- Committee Charters
- Department Policies
- Risk Management procedures
- Internal Corporate Governance Structure
- Company Code Of Conduct

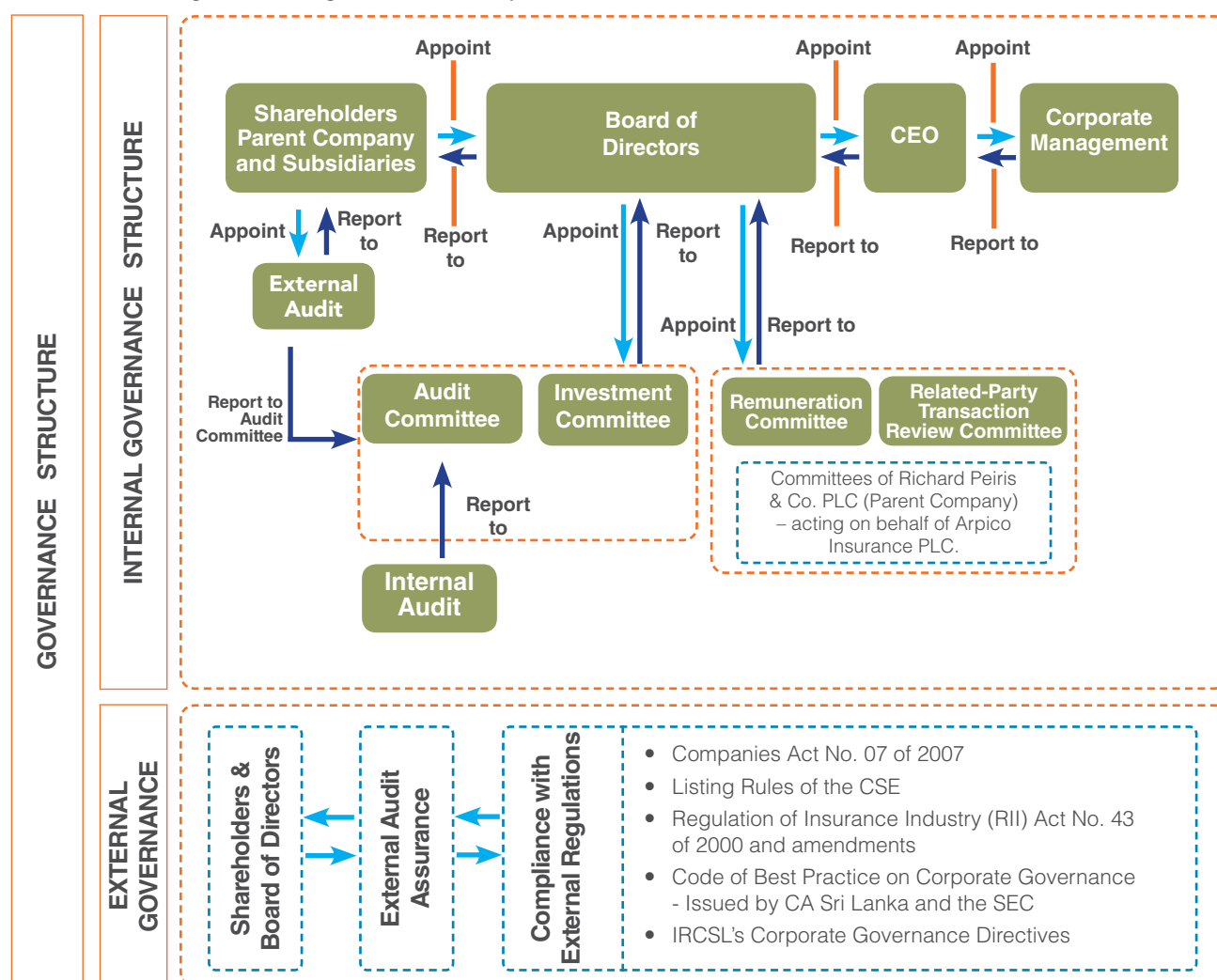
VOLUNTARY FRAMEWORKS

In adhering to financial regulations, the company strictly responds to:

- Guidelines issued by the Sri Lanka Accounting Standards (LKAS and SLFRS)
- Other statutory regulations in preparation of the financial statements of the company.
- Quarterly financial statements - in accordance with the listing rules of the Colombo Stock Exchange.
- The company prepares and submits monthly and quarterly returns.

GOVERNANCE STRUCTURE

The board of directors and senior management remains at the helm of corporate governance – taking the company and its stakeholders towards growth, leading with accountability.



CORPORATE GOVERNANCE

INTERNAL GOVERNANCE STRUCTURE

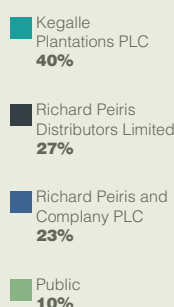
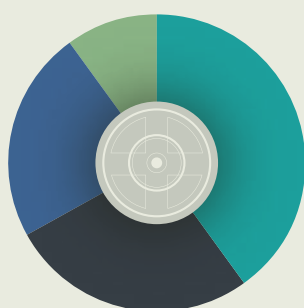
The company's internal governance structure is a reflection of authority and responsibility that spreads across the organisation. In essence, it provides clarity on levels of authority, in driving the organisation towards growth, responsibly and effectively.

EXTERNAL GOVERNANCE STRUCTURE

The external governance structure entails guidelines, directions, laws and regulations, which we comply with, in fulfilling our responsibility towards a disciplined and structured business environment.

SHAREHOLDERS

Shareholders



The board of directors report directly to the company's shareholders, primarily Arpico Insurance PLC's parent company Richard Peiris & Co. PLC.

Kegalle Plantations PLC remains the key shareholder, followed by Richard Peiris Distributors Limited, and the parent company, respectively. The public retains ownership of 10% of company shares.

RELATIONS WITH SHAREHOLDERS

The board makes use of the Annual General Meeting to communicate information and engage with shareholders. Prior to which, Arpico Insurance arranges and sends the notice of AGM and related papers to shareholders.

During the AGM, separate resolutions are sought by the company on each distinct issue. Arpico Insurance PLC proposes a resolution in relation to the adoption of report and accounts. The company also ensures proper counting and recording of all valid proxy appointments received for general meetings.

Furthermore, the board chairman, board sub-committees and the senior independent directors are available to address shareholder concerns and questions.

THE BOARD

At the highest echelon of the governance structure is the company's board of directors, who are responsible for meeting shareholder expectations, including those of the parent company.

With an outlook on improving governance across the organisation, the board of directors along with the senior management proactively and prudently engages in assessing and discussing governance-related requirements. They are accountable in providing guidance on improving frameworks and processes, and in ensuring that employees adhere to governance principles, effective conduct of work and ethical behaviour.

Director	Appointment Date	Status	Experience in Industries	Age
Mr. Viville Perera	17 June 2011	Chairman and Non Executive Director	- Media - Manufacturing - Financial Services - Healthcare	74
Mrs. Lasinee Serasinhe	17 January 2014	Non Executive – Independent Director	- Financial sector – Insurance and stock exchange - Consultancy	67
Mr. S Sirikananathan	17 January 2014	Non Executive – Independent Director	- Media - Audit and Financial services	76
Mr. Shiron Gooneratne	2 May 2016	Non Executive – Director	- Audit and Assurance - Manufacturing - Telecommunications - Insurance (Sri Lanka and Overseas)	55
Mrs. Dilukshika Fernando	1 November 2021	Non Executive – Independent Director	- Insurance - Audit	41

PRIMARY RESPONSIBILITIES OF THE BOARD

- The role of making strategic decisions and the ultimate purview of the organisation's compliance to internal controls rests with the team of directors.
- They work in collaboration with the senior management to effectively distend best practices in governance – taking an active stance in ensuring the organisation's commitment to ethical business practices.
- The board also oversees that the senior management and executive officers perform their duties in aligning company's functions with the core strategy.
- The board is also responsible for appointing a chief executive officer and in evaluating his performance, in relation to strategic objectives.

RELATED RESPONSIBILITIES

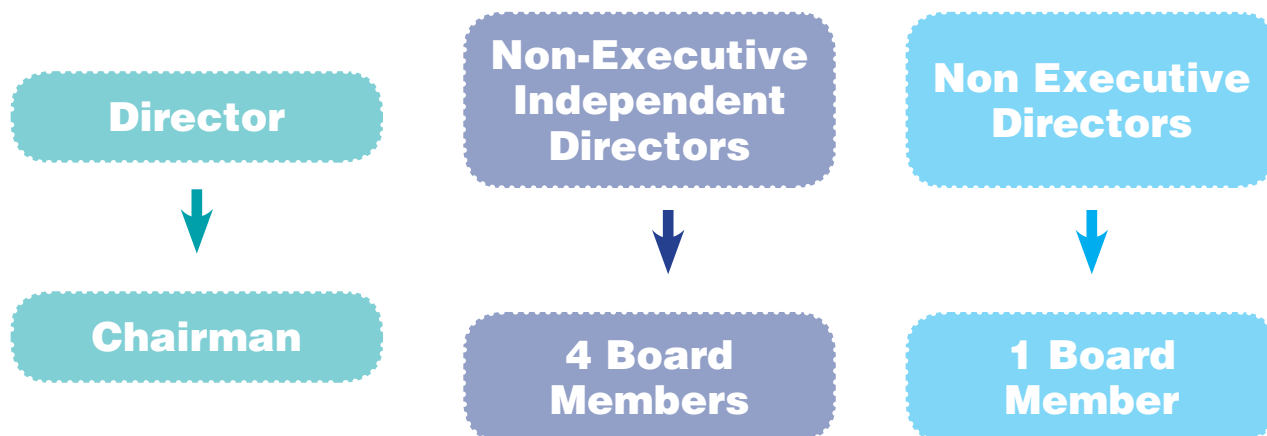
- Addressing shareholder interests including parent company expectations
- Provide management and company with strategic direction
- Providing feedback and approving strategic plans
- Review performance against strategic goals / KPIs
- Guidance and approval of risk policies and governance
- Appointing committee members
- Review reports and evaluations presented by committees and make relevant approvals
- Approve financial statements
- Approve and guide on investments

CORPORATE GOVERNANCE

COMPOSITION

The board consists of five members representing relevant industry experience and expertise in insurance and finance. During the year, a new board member - Mrs. Dilukshika Fernando was appointed to the board as a Non-Executive Independent Director. All current directors are of Sri Lankan nationality.

(See Board profiles on Pages 94 to 95)



The board currently comprises of five non-executive directors. Their views carry considerable weight on board decisions; four of these non-executive directors are independent directors.

SKILLS AND DIVERSITY

Board members provide diversity through their professional experiences, technical and industry knowledge. Their age and gender also reflect diversity, bringing a rich mix of thinking and skills on board.

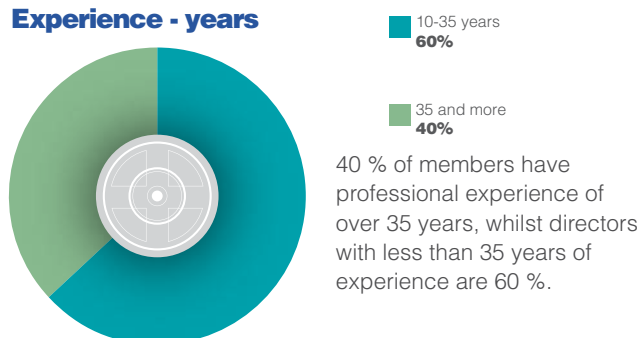
Based on the varying levels of experiences and technical expertise, they provide varied perceptions and strategic thinking, which enables non-biased, well-balanced decision making.

FINANCIAL ACUMEN

All directors of the company have sufficient financial acumen and experience to offer guidance on matters of finance.

PROFESSIONAL AND BUSINESS EXPERIENCE

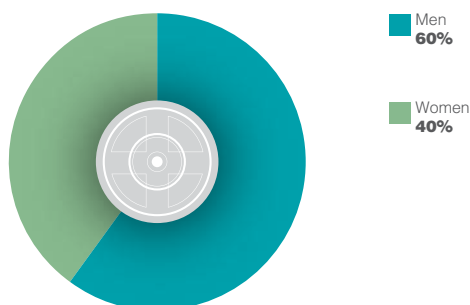
Professional and Business Experience - years



GRI: 102-24

GENDER DIVERSITY

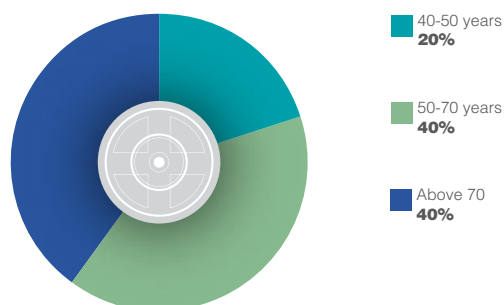
Gender Diversity



The board's gender parity improved in 2021, with the appointment of a new director.

AGE DIVERSITY

Age Diversity



The age range of board members reflects a sufficient dispersion, enhancing the levels of experience and expertise that comes with age, as well as multiplicity in perspectives.

MEETINGS

The board met on 4 occasions during the year under review. During such meetings the board engaged in:

- Company strategy
- Reviewing of policy frameworks
- Discussing risk management and approval of risk management framework.

SUPPLY OF INFORMATION

The board receives timely information and in a form that is conducive to discharging duties efficiently and effectively. In this regard, the management is responsible for providing the board with well-presented information. Directors can also make inquiries, if information is insufficient. Moreover, agenda and papers required for board meetings are provided to directors two weeks before the meeting date.

Name of Director	Directorship Status	Appointment Date	Board Meeting Attendance
Mr. Viville Perera	Chairman Non Executive – Director	17 June 2011	4 / 4
Mrs. Lasinee Serasinhe	Non Executive – Independent Director	17 June 2014	4 / 4
Mr. S. Sirikananathan	Non Executive – Independent Director	17 June 2014	4 / 4
Mr. Shiron Gooneratne	Non Executive – Director	02 May 2016	4 / 4
Mrs. Dilukshika Fernando	Non Executive – Independent Director	01 November 2021	1 / 4

APPOINTMENTS

Arpico Insurance PLC obtains consent from the insurance regulator – IRCSL prior to appointing directors to the board. This is conducted in accordance with article of the association of the company, upon passing ordinary resolution for authorisation of appointments.

Furthermore, prior to appointing a new director, their various conflicting interests are reviewed by the board.

Information of newly appointed directors is disclosed to shareholders and investors through the Annual Report and announcements by CSE.

CORPORATE GOVERNANCE

RE-ELECTION

Four directors were re-elected for the year 2021, with the exception of the newly appointed non-executive independent director. Re-elections are conducted as per the articles of association.

All directors of the company should be required to submit themselves for re-election at regular intervals and at least once in every three years. Non-executive directors are appointed for specified terms subject to re-election and to the provisions of the companies act relating to the removal of a director, and their re-appointment is not automatic.

Appointed	Re - elected	Resigned	Retired
Mrs. Dilukshika Fernando	Mrs. Lasinee Seresinhe Mr. S.Sirikananathan Mr. Shiron Gooneratne Mrs. Dilukshika Fernando	None	None

RESIGNATIONS

In the event a director resigns prior to completion of his appointed term, the director is required to provide written notification to the board on reasons for resignation. No director resigned during 2021.

MAINTAINING BOARD SOVEREIGNTY

The board takes prudent steps in both structures and nomination procedures to inhibit insiders and executive owners in exercising undue control over the board's activities and decisions.

INDEPENDENCE AND DECLARATION

The board has verified the independence of the three non-executive directors, and they have no direct or indirect material relationship and have the freedom to exercise independent, un-biased judgement on company matters.

CHAIRMAN AND CHIEF EXECUTIVE OFFICER

The responsibilities of the chairman and CEO are provided with clear delineation, in order to establish clarity on the different roles both positions are presented with. This segregation also ensures a balance in power, and provides a proper distribution of responsibilities.

CHAIRMAN

As per the code of best practice on corporate governance, the chairman's role in assuring sound corporate governance is imperative. As the head of the board, he is responsible for preserving order, while facilitating effective conduct of board functions. He is responsible for providing objective leadership to the company.

CHIEF EXECUTIVE OFFICER

During the year, the board appointed a new chief executive officer with the objective of separating the company's growing portfolio of strategic takings and in driving the company towards its objectives.

RESPONSIBILITIES OF CHAIRMAN AND CHIEF EXECUTIVE OFFICER

Chairman	Chief Executive Officer
Provide firm and objective leadership to the board.	Taking leadership in the execution of long term and short term strategies outlined by the board of directors
Maintains order and smooth functioning of the board	Carry out decisions and strategies recommended by the board
Promote and carry out responsibilities the best in interests of good governance	Lead management and employees towards target achievements.
Presiding over director's and shareholder's meetings to ensure directors' participation and proper execution of board proceedings	Overseeing proper functioning of technical and functional areas.
Promoting and overseeing the highest standards of corporate governance within the board	Taking strategic decisions in enhancing operational efficiencies.
Ensuring board compliance with schedule of matters served	Tasking management with targets and goals

ROLE OF THE SECRETARY

The company secretary holds responsibility for the following.

- Support the board by ensuring a proper flow of information.
- Ensure that meetings are conducted in accordance with the articles of association, and relevant legislations.
- Formulate meeting agenda with the chairman and other directors.
- Coordinate with the management on board papers, memoranda or presentations for the meetings.
- Maintain statutory registers and filing statutory returns.

BOARD SUB-COMMITTEES

The company's governance structure includes five committees, overseeing the functions of audit, investment, remuneration, risk and compliance and related party transactions review.

Responsibilities assigned to board sub-committees have been delegated by the board, as committee members have broader expertise and experience in performing relevant committee responsibilities.

Regular meetings are conducted by the committees with evaluations and findings reported to the board. Minutes are also maintained during committee meetings. Board sub-committees of Arpico Insurance PLC includes:



CORPORATE GOVERNANCE

RISK AND COMPLIANCE COMMITTEE

The committee reviews updates on risk management on a quarterly basis through meetings. Ad-hoc risk management updates are escalated to the committee through a special meeting. (See details in page 124)

Key Responsibilities	Members
- Eliminate and lessen the impact of losses - Facilitate a risk conscious culture within the organisation - Consider whether compliance issues are adequately dealt with in the development of new products and services - Ensure flexible yet consistent risk management strategies - Increase returns, sustainable earnings, growth and shareholder value by managing risks in a prudent manner - Retain and enhance reputation of the organisation in connection with robust risk management strategies	- Mrs. Lasinee Serasinhe - Mr. S. Sirikananathan

AUDIT COMMITTEE

The audit committee is responsible for several accounting and financial reporting based functions. (See details on Page 125 to 126)

Key Responsibilities	Members
- Overseeing financial reporting, and timely disclosures - Oversee compliance and application of accounting policies - Execution of internal control principles - Investigate organisational risk - Analyse management and auditor's reports.	- Mr. S Sirikananathan - Mrs. Lasinee Serasinhe

In ensuring that the company's responsibilities towards its internal and external stakeholders are fulfilled, the audit committee undertakes the following:

- Internal controls and risk management systems
- The external audit process
- Compliance reports
- The internal audit process including appointment and resourcing
- Regulatory inspection reports
- Key performance data
- Financial statements including governance statements
- Shareholder communications

INVESTMENT COMMITTEE

The investment committee overlooks the company's acquisition and financing strategies including compliance with the organisation's guidelines to ensure wise investments and future progress. Committee members possess in-depth expertise and knowledge in investments, finance, risk management as well as industry expertise vital in performing functions. The investment committee assists the board in fulfilling their responsibility towards company investments.

(See details on Page 127)

Key Responsibilities	Members
- Formulate and recommend investment policies for board approval - Establishing investment guidelines in furtherance of policies - Ensure investments as per policies - Monitor performance on a quarterly basis - Monitor management of portfolios by reviewing written reports	- Mr. Viville Perera - Mr. Shiron Gooneratne

REMUNERATION COMMITTEE

The remuneration committee of Richard Peiris and Company PLC functions on behalf of Arpico Insurance PLC.

The remuneration committee overlooks the maintenance of appropriate rewards policies to attract and motivate employees, encouraging their enhanced performance towards long-term growth of the company. The committee plans and implements the company's general remuneration policy as well as remuneration of key management personnel. The remuneration committee also determines specific remuneration packages for each executive director.

(See details on Page 128)

Key Responsibilities	Members
Oversees implementation of an appropriate reward policy in bringing out employee motivation and productivity.	Remuneration committee of Richard Peiris and company PLC.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The related party transactions committee of Richard Pieris and Company PLC acts on behalf of Arpico Insurance PLC. Through relevant procedures, the board and the committee ensures that the company does not engage in transactions that would grant such a related party 'more favourable treatment' beyond the ordinary course of treatment relayed to third parties of the business.

(See details on Page 129)

Key Responsibilities	Members
Reviews transaction reports between Arpico Insurance PLC and affiliates to ensure strict adherence to organisational regulations.	The Related Party Transactions Committee of Richard Pieris and Company PLC acts on behalf of Arpico Insurance PLC.

COMMITTEE MEETINGS

Overall, 5 sub-committee meetings were organised in the operational year under review. The meetings provided the backdrop to evaluate Board responsibilities.

The following provides meeting participations of each member.

Name of Director	Directorship Status	Meeting Attendance					
		Board Meetings	Audit Committee	Investment Committee	Remuneration Committee	Related Party Transaction Committee (Group)	Risk and Compliance
Mr. Viville Perera	Chairman and Non Executive Director	4		2			
Mrs. Lasinee Serasinhe	Non Executive Independent Director	4	5				2
Mr. S. Sirikananathan	Non Executive Independent Director	4	5				2
Mr. Shiron Gooneratne	Non Executive Director	4		2			
Mrs. W.D. Neelangi Fernando	Non Executive Independent Director	1					
Group Level							
Dr. Jayatissa De Costa	Non Executive Independent Director					4	
Mr. Prasanna Fernando	Non Executive Independent Director					4	
Mr. J. Fernandopulle	Non Executive Independent Director					4	

CORPORATE GOVERNANCE

OTHER AREAS OF GOVERNANCE

ENVIRONMENTAL AND SOCIAL GOVERNANCE

Environmental and social governance considerations affect the company's ability to execute business strategy and facilitate sustained value.

ENVIRONMENTAL FACTORS

Strategies adopted by the company for environmental governance.

- Implementing proper waste management by establishing Green Club.
- 100 new trees planted, producing 56,900 litres of O₂.
- Planning to launch a paper recycling project with external service provider
- Ongoing technical and operations support on minimising paper usage.
- Reduced water consumption in 23 branches, a 34% saving of total expense.

SOCIAL GOVERNANCE

As an insurer, we are in the service of supporting our clients to regain financial normalcy at times of adversities. Moreover, we remain socially responsible in our operations, providing empathetic and timely services to accommodate customer needs – especially during the pandemic. (Also see page 71)

- All correspondences done through e-mails during the pandemic
- Fulfilled payment of all COVID-19 related claims
- Dedicated WhatsApp number to submit customer claim forms

IT Governance (Also refer page 78 to 81)

The company, with guidance from group IT ensures that action is taken to safeguard core business systems and data from cyber threats. The following are adopted to strengthen IT governance.

- Back up and digitise all system data and related documents.
- Secure the network connection by use of virtual private networks (VPNs) on branch and WFH connections.
- Use of multi-factor authentication when connecting from external places or connecting with third party service providers using APIs.
- Manage passwords on systems with OTP facility.
- Ensure application security controls especially on payment gateway portal.
- Monitor use of computer equipment and systems according to group recommendations.
- Follow group IT policies in guiding staff.
- Use of recommended virus guards and “Sophos” firewall protection for networks.
- In 2021, the Sophos team conducted a special assessment on firewall setup at Arpico Insurance and certified the protection enforce.

CORPORATE GOVERNANCE

MANDATORY COMPLIANCES

The following provides the company's disclosure of statement of compliance under section 7.10 of the continuing listing requirements of the colombo stock exchange (CSE).

Code	Requirement	Status	Reference	Pages
7.10 Corporate Governance				
7.10.1 Non Executive Directors	The board of directors of a listed entity shall include at least, - two NEDs; or - such number of NEDs equivalent to one-third of the total number of directors, whichever is higher.	Yes	Annual Report of the board of directors on the affairs of the company	132 to 134
	The total number of directors is to be calculated based on the number as at the conclusion of the immediately preceding Annual General Meeting.	Yes	Annual Report of the board of directors on the affairs of the company	132 to 134
	Any change occurring to this ratio shall be rectified within ninety (90) days from the date of the change.	N/A	N/A	
7.10.2 Independent Directors	Two or one-third of NEDs, whichever is higher, should be independent.	Yes	Annual Report of the board of directors on the affairs of the company	132 to 134
7.10.3 Disclosures Relating to Directors	Names of independent directors should be disclosed in the Annual Report.	Yes	Annual Report of the board of directors on the affairs of the company	132 to 134
	In the event a director does not qualify as independent as per the rules on corporate governance but if the board is of the opinion that the director is nevertheless independent, it shall specify the basis of the determination in the Annual Report.	N/A	N/A	
	A brief resume of each director should be published in the annual report including the areas of expertise.	Yes	board of directors	94 to 95
	A brief resume of any new director appointed to the board should be provided to the exchange for dissemination to the public.	N/A	N/A	
7.10.4 Criteria for Defining Independence	Requirements for meeting the criteria to be an independent director	Yes	Corporate governance	100 to 113
7.10.5 Remuneration Committee	If the parent and subsidiary are listed, parent's remuneration committee can function for both parent and subsidiary.	Yes	Remuneration committee report	128

CORPORATE GOVERNANCE

Code	Requirement	Status	Reference	Pages
7.10.6 (A) Composition and role of the Audit Committee	The functions of the audit committee	Yes	Audit committee report	125 to 126
	The Annual Report shall set out; the names of the directors who comprise the audit committee	Yes	Audit committee report	
	The audit committee shall make a determination of the independence of the external auditors and disclose the basis for such determination.	Yes	Audit committee report	125 to 126
	A report by the audit committee setting-out the manner of compliance of the functions set out in above, during the period to which the annual report relates.	Yes	Audit committee report	125 to 126

MANDATORY COMPLIANCES

Code	Requirement	Status	Reference	Pages
9 - Related Party Transactions				
9.1.1 Non recurrent transactions	There were no non-recurrent related party transactions which aggregate value exceeded 10% of the equity or 5% of the total assets of the company whichever is lower as per 31 st December 2020 audited financial statements.			129
9.1.2 Recurrent transactions	Details pertaining to recurrent related party transactions	Yes	Related party transaction review committee report	129
9.2 Related party transaction review committee	Related party transactions which were reviewed by RPT review committee	Yes	Related party transaction review committee report	129
	Composition of the related party transaction review committee	Yes	Related party transaction review committee report	129
	If the both parent and subsidiary are listed companies, parent's RPT review committee can act as the RPT review committee of the subsidiary.	Yes	Related party transaction review committee report	129
	Meetings of the related party transaction review committee	Yes	Related party transaction review committee report	129
9.3 Disclosures	Immediate disclosures	Yes	Related party transaction review committee report	129
	Disclosures in the annual report	Yes	Related party transactions note	129
	Acquisition and disposal of assets from to related parties	Yes	Related party transactions note	129

CORPORATE GOVERNANCE

CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE

The following discloses the company's voluntary compliance of the code of best practice on corporate governance presented by CA Sri Lanka.

Requirement	Status	Reference	Pages
A. Directors			
A.1 The board	Yes	Corporate governance	100 to 113
A.1.1 Board meetings	Yes	Corporate governance	100 to 113
A.1.2 Role and responsibilities of the board	Yes	Corporate governance	100 to 113
A.1.3. Act in accordance with laws of the country and obtain professional advice, when required.	Yes	Corporate governance	100 to 113
A.1.4. Access to advice and services of company secretary	Yes	Corporate governance	100 to 113
A.1.5. Independent judgement	Yes	Corporate governance	100 to 113
A.2. Division of responsibilities between chairman and CEO			
A.3. Chairman's role in preserving good corporate governance			
A.3. Availability of financial acumen	Yes	Financial review	100 to 113
A.5. Supply of timely information	Yes	Annual Report of the board of directors on the affairs of the company	132 to 134
A.6. Re election and resignation of director	Yes	Corporate governance	100 to 113
A.7. Disclosure of information in respect of directors	Yes	Board of directors	100 to 113
C. Relations with Shareholders			
C.1. Constructive use of the Annual General Meeting (AGM) and conduct of general meetings	Yes	Stakeholder engagement	24 to 26
C.2. Disclosure of major and material transactions	N/A	N/A	N/A
D. Accountability and Audit			
D.1 Present a balanced and understandable assessment of the company's financial position, performance and prospects	Yes	Management discussion and analysis Annual Report of the board of directors on the affairs of the company statement of directors responsibility	135
D.2 Risk management and internal control	Yes	Risk management	114 to 123
D.3 Audit committee	Yes	Audit committee report	125 to 126
D.4 Related party transaction review committee	Yes	RPT review committee report	129
D.4.1 The related party transaction review committee should be comprised by minimum of 3 non executive directors			
D.5 Corporate governance disclosure	Yes	Corporate governance	100 to 113
F. Other Investors			
	Yes	Notice of meeting Form of proxy	199 to 200
G. Internet of Things and Cyber Security	Yes		
H. Environment, Society and Governance (ESG)			

RISK MANAGEMENT

GRI: 102-30

At Arpico Insurance, we continuously enhance and strengthen our risk management strategies and measures, ensuring that we maintain a reasonable and calculated level of control over matters that are unexpected and unpredictable.

PURPOSE OF RISK MANAGEMENT FRAMEWORK

The risk management framework, fine-tuned in 2021, safeguards economical and non-financial interests of all our stakeholders. It supports the company in achieving its strategic objectives and strategic plans despite highly volatile macro developments that impacts operations. At present, the plight of economic and social deterrents is vastly impacting businesses across Sri Lanka and the world; and within this context, our risk management framework enables us to be resilient to negative impacts, while operating within pre-determined and pre-defined parameters and thresholds.

THE RISK ENVIRONMENT

Economic

- Price-competitiveness from a saturated industry
- Macro-economic conditions that negatively impact customer interests in insurance
- Volatile rates, which could carry a negative impact on Life Insurance, due to the increase in the liability of insurance fund
- Rising unemployment rates due to COVID-19 pandemic

Social

- An aging national population
- Health risks from the pandemic such as new COVID-19 variants
- Political tensions

Technological

- New cyber security threats the database
- Roadblocks in digital transformations

Legal

- Changing regulatory landscape
- Complexities in compliance requirements

Environmental

- Increasing climate volatilities
- Vulnerabilities as an island nation from weather extremities

The company is part of an industry that is driven in most part by regulatory directives, in addition to being an industry that constantly clashes with new and varying risks - having a high level of risk acceptance. Hence, as a life insurance provider, the Company works amidst high probabilities of risks, which requires a strong and prudent risk management policy framework to manage objectives across the short, medium and long terms – without compromising on value creation for stakeholders.

With the pandemic having either direct or indirect impacts on almost every aspect of the country's economic and social positions, the risks that insurers are faced with continue to evolve. This has added extra caution and weight on the likelihoods of several risks, including health risks due to the pandemic and economic risks from loss of income, delayed transactions, which has a direct impact on our business. Such a volatile ecosystem certainly requires a strong and adaptive risk management framework, where approaches are revisited regularly.

RISK MANAGEMENT OBJECTIVES

While the risk management policy sets several specific objectives in achieving a sound risk management framework, the company adopts several broad objectives, which require risk management on an enterprise level.

Eliminate and lessen the impact of losses.

Facilitate a risk conscious culture within the organisation.

Ensure flexible yet consistent risk management strategies.

To increase returns, sustainable earnings, growth and shareholder value by managing risks in a prudent manner.

Enhance reputation of the organisation in connection with robust risk management strategies.

HIGHLIGHTS OF 2021

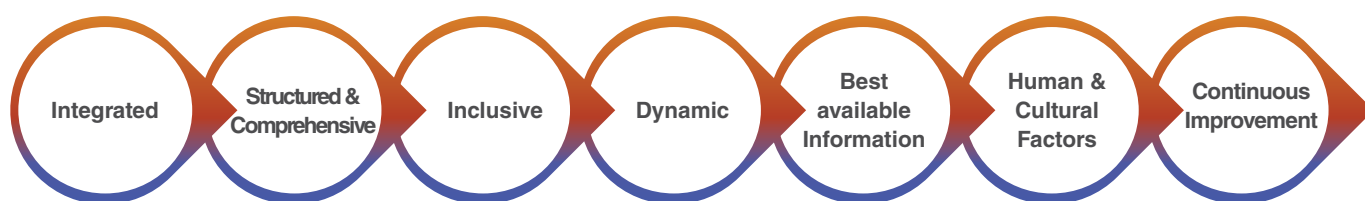
- Initiated department-wise risk management training at head office as the first step towards creating a risk culture within the organisation.
- Risk management policy revised and board approval obtained for implementation.
- Revamped the Anti-Money Laundering (AML) and Countering Financing of Terrorism (CFT) policy.
- Initiated preparation of risk registers for all departments at the head office, which enables to identify record and track potential risks in each department, thereby take corrective measures to mitigate negative ramifications, if and when such risks transpire.
- Launch of a compliance department with dedicated staff.

RISK CULTURE

The company promotes a risk culture that complements the company's strategic objectives. The management, through the Risk Management Policy, strives to embed risk awareness and mitigation controls across the organisation. This is achieved through continuous training and regular emphasis on assessing risks, which empowers employees for responsible risk mitigation. This ensures that the risk management mechanism evolves into a holistic process that is interlinked with each functional area of the company.

The first step towards instilling a risk culture is the strategic direction set in place by the board of directors.

PRINCIPLES OF EFFECTIVE RISK MANAGEMENT CULTURE AT ARPICO INSURANCE



Cultivating a risk culture across the company is based on:

- Risk management training to existing and new employees.
- Conducting training programs specific to relevant functional areas including technical functions.
- Promoting proactive risk identification, reporting and mitigation; across each staff level of the organisation.
- Conducting a regular e-mail campaign highlighting development.
- Organising risk management experience sharing sessions to transfer knowledge among staff members.

RISK MANAGEMENT POLICY (RMP)

The company manages risk exposures based on an enterprise level governance framework that is enabled through a comprehensive risk management policy (RMP). The purpose of the RMP is to provide in a structured manner, risk management principles and processes as part of a cohesive risk management framework.

The risk management policy prescribes to ISO 31000:2018 risk management standard, which functions as a guide for the development and implementation of the RMP. The risk management policy addresses the risk management requirements of the Insurance Regulatory Commission of Sri Lanka (IRCSL), the Central Bank of Sri Lanka (CBSL) and the Securities and Exchange Commission of Sri Lanka (SEC).

SCOPE OF RMP

The RMP is applicable to all operations and the entire organisational hierarchy; including its agents, outsourced staff and all individuals representing the company in matters of business.

RISK MANAGEMENT

OBJECTIVES OF RISK MANAGEMENT POLICY

- To formally document risk management, as the focal reference point in all risk management endeavours carried out within the company.
- To optimise risk management effectiveness and to take calculated risks required for strategic growth.
- To set specific boundaries and thresholds in risk tolerance – setting operating limits.
- To promote a culture of conscious risk awareness and risk mitigation across all organisational levels.

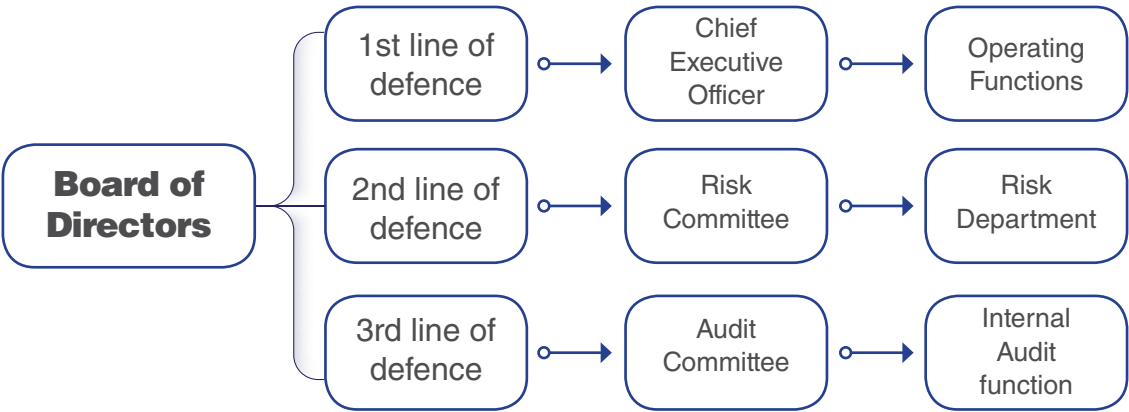
RISK MANAGEMENT FRAMEWORK

The risk management framework is based on the risk management policy (RMP) and is set in motion by the risk management department together with risk owners, while oversight is distributed in a top-down approach from the board of directors to the management, as they monitor and evaluate as well as provide guidance in improving risk management procedures.



RISK GOVERNANCE STRUCTURE

As we believe a well-governed organisation contributes to a stable operating platform, the following risk governance structure is applied to ensure smooth interaction across the organisation. Risk governance structure navigates the company toward establishing an efficient risk management system within the overall system.



LINES OF DEFENCE

FIRST LINE OF DEFENCE

- This first tier is the management and internal control measures relevant to risk owners.
- Strong management and internal controls together with decision making based on risk awareness provides a buffer against risk events.

SECOND LINE OF DEFENCE

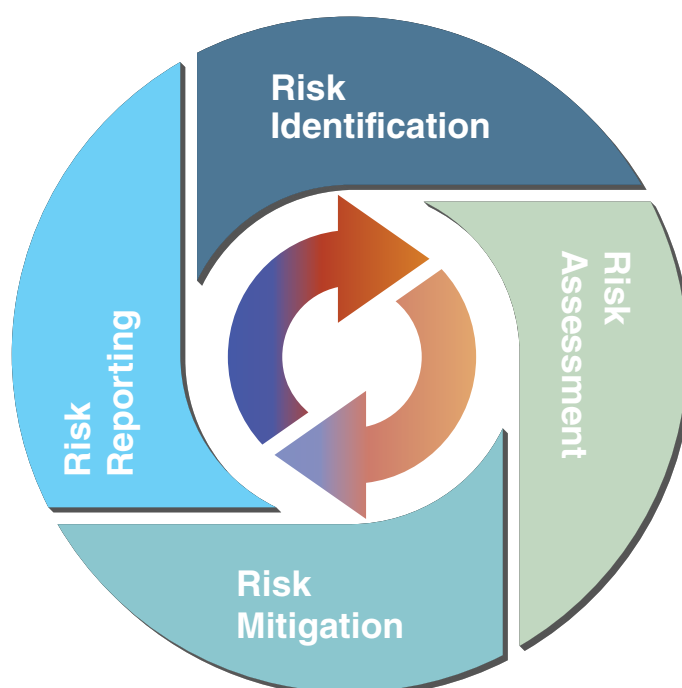
- This level involves the risk management function, tasked with monitoring risk exposures and in setting in place mitigation measures company-wide. It is also allotted with the task of ensuring process improvements and aligning employee training.
- The officer that heads the risk management function is responsible for operational implementation of risk management procedures. The risk management function reports directly to the chief executive officer.

THIRD LINE OF DEFENCE

- It involves the internal audit function, which acts independently, reporting directly to the board of directors through the audit committee. The internal audit is responsible for providing independently maintained oversight on the entire risk management process of the company. This independent monitoring is crucial in assessing existing procedure and in remediating gaps in the risk management process.

RISK MANAGEMENT PROCESS

A clear process is followed when managing the deluge of potential risks and risk exposures the company face from both internal and external environments. This gradual and interlinked process ensures transparency and soundness in recognising risks and proactively mitigating their likelihoods and occurrences.

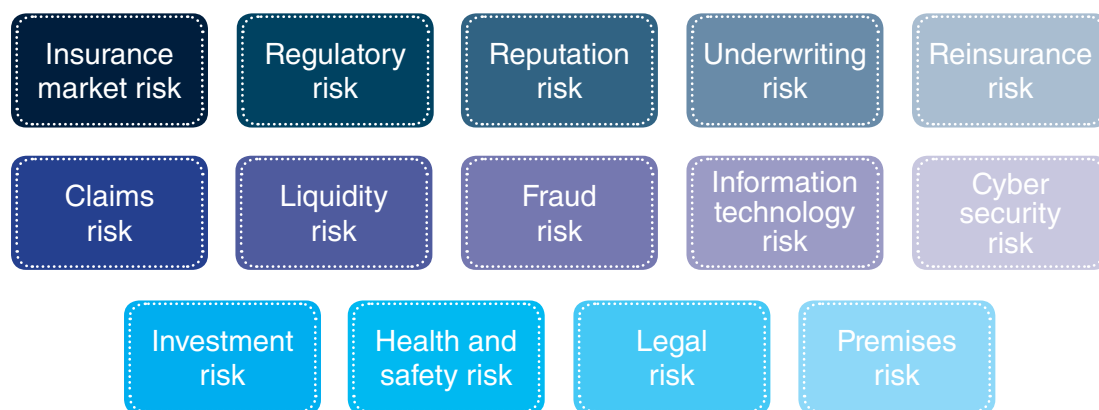


RISK MANAGEMENT

RISK IDENTIFICATION

The risk management division or individual risk owners detect risks via regular risk assessments and day-to-day operational activities. Arpico Insurance recognises risks as any aspect or event that has an effect on the company's strategic objectives. Therefore, several risk categories have been ascertained in tandem with their ability to affect strategic objectives.

RISK LANDSCAPE



RISK ASSESSMENT

The following matrix is used to assess risks based on probability of occurrence and severity of loss from risk events.

		Severity of Loss				
		1	2	3	4	5
Probability of occurrence	1	Low	Low	Low	Low	Medium
	2	Low	Low	Low	Medium	High
	3	Low	Low	Medium	High	High
	4	Low	Medium	High	High	High
	5	Medium	High	High	High	High

■ High
■ Medium
■ Low

RISK APPETITE

Risk appetite is the level of risk the company is able and willing to accept in achieving its strategic objectives. Defined at the top management level, the risk appetite is communicated in a top-down approach - setting the overall tone to risks accepted by the company.

At the functional level, the Company's risk appetite is as follows.

Risk Category	Level of Risk Appetite
Insurance market risk	Strategically optimise risks taken
Regulatory risk	Full compliance, zero tolerance
Reputation risk	Minimise with operational risk controls
Underwriting risk	Minimise with operational risk controls
Reinsurance Risk	Strategically optimise risks taken
Claims risk	Minimise with operational risk controls
Liquidity risk	Strategically optimise risks taken
Fraud risk	Full compliance, zero tolerance
Information technology risk	Minimise with operational risk controls
Cyber security risk	Minimise with operational risk controls
Investment risk	Strategically optimise risks taken
Health & safety risk	Minimise with operational risk controls
Legal risk	Minimise with operational risk controls
Premises risk	Minimise with operational risk controls
Financial crime risk	Minimise with operational risk controls

RISK TOLERANCE LEVELS

Risk tolerance levels at the company refer to the level of risk acceptance the company can undertake during operations and in achieving a specific goal or objectives. It provides practical thresholds, which are assigned under each category of risk that has a direct impact on operations. Risk tolerance levels enable the company to effectively monitor and review decisions, actions and their repercussions.

RISK REGISTER

A risk register is maintained in documenting and compiling the risk exposures of the company. It is the role of the risk management department in maintaining documentation, reviewed every four months.

RISK MONITORING

Risk monitoring is conducted to examine and identify risk exposures – which may have a bearing on any process or unit of the organisation. Monitoring is also done in assessing gaps that may exist within the risk management framework and processes. This task is undertaken by the risk management department and is accountable for effective monitoring.

Analytical methods are deployed in identifying and assessing such risks and exposures, useful in providing structured, evidence-backed information to the management.

RISK REPORTING

Risk reporting takes a top-down approach, cascading throughout the organisation.

BOARD RISK COMMITTEE

The committee reviews updates on risk management on a regular basis through meetings. Ad-hoc risk management updates are escalated to the committee through a special meeting.

Chief Executive Officer

The CEO with assistance from the risk management department and its head is responsible for developing, implementing and evaluating risk management procedures.

Head of Risk Management Department

Reports directly to the CEO, while maintaining a line of communication open to the board of directors.

Risk Owners

Responsible for updating the risk register together with the risk department.

RISK MANAGEMENT

Communication of Risk Management

Internal Risk Communication	External Risk Communication
Present risk management updates quarterly to the board risk committee.	Monthly, quarterly, and yearly regulatory reporting to IRCSL.
Present updates monthly to the management committee.	Monthly regulatory reporting to CBSL.
Escalate ad-hoc risk management issues through a special board risk committee meeting.	Risk management update on the annual report.
Regular risk alert emails to all staff members.	
Conduct regular risk awareness programs.	

Risk Management Review

A risk management review is conducted in order to evaluate the robustness of the risk management policy and its procedures. In this regard, an annual fitness test conducted during strategic planning process measures the strength of the procedures already in effect, and of the department. A quarterly review is conducted in assessing the effectiveness of the risk management procedures; this is in addition to being regularly assessed and revised.

In the event of an escalation, the risk management framework will be subjected to change, under the authority of the head of the risk management department.

RISKS MITIGATION

Risk categories and risks that impact Arpico Insurance PLC and internal controls for mitigation are as follows:

Insurance Risks	Description	Risk Rating	Mitigation
Underwriting risk	Risks due to inaccurate assessment of risk when accepting insurance policies.	High	- Ensuring a sufficient level of segregation between duties of sales and underwriting functions while centralizing function at head office. - Maintaining a robust manual of financial to offer guidance to underwriting staff. - Frequent audits and verification to ensure the smooth function of the process. - Timely consultation and feedback from consultant actuary and reinsurer to adequately price products. - The medical reports are only generated from the registered and well-respected laboratories monitored by the management to ensure quality service. - Carrying underwriting as per the set guideline given by the reinsurer.
Reinsurance Risk	Inability of the ceding company to obtain insurance from a reinsurer at the right time and at an appropriate cost	High	- The company only works with reinsurers with 'A' or above ratings and monitors their ratings consistently. - Conducting frequent reviews of outstanding reinsurance receivables. - Maintain close relationship with all reinsurers
Claims risk	Claims experience that exceed the expected level	High	- Monitoring actual claims experience with respect to expected claims. - Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured. - The claims panel (comprising specified officer, principal officer and manager actuarial) is involved in taking decisions on significant / problematic claims and appeals made in respect of claims.

Insurance Risks	Description	Risk Rating	Mitigation
Insurance Market Risk	Failure to adopt to changing insurance market dynamics	Moderate	Regularly monitor and discuss local and global industry developments.
Financial Risks			
Liquidity risk	Lack of readily available funds to meet expenses	Moderate	- Maintaining a diversified mix of term investments. - Regularly review reviewing cash flow projections. - Guidelines to ensure availability of sufficient funding to meet insurance and investment contract obligations. - Clauses in reinsurance contracts to meet claim payments in the event claims exceed values.
Credit Risk	The risk of financial losses in case of the counter party failing to meet contractual payment obligations.	Moderate	- Credit risk exposure monitoring with respect to investment counterparties, credit risk evaluation when making new investments. - Periodical reviews into the creditworthiness and financial stability of all entities. - The company only places corporate debt investment exposure with counter parties that retain a credit rating of or above BBB+, given by well-known rating companies. - Imposing strict credit limitations on all such entities, upon reviewing their stability. - Maintaining a structured and standardized credit approval process, based on the size and nature of the organisation. - Employing only senior and experienced staff to carry our credit approval.
Interest Rate Risk	Risk of changes in the interest rates, which might affect the Company's investment portfolio	Moderate	Making investments to mitigate the asset and liability mismatch thereby reducing exposure to interest rate changes.
Investment Risk	Unfavorable economic conditions leading to below par investment returns.	Moderate	- Prudent long-term and short-term investment mix. - Monitoring financial and banking market.
Operational Risk			
Fraud Risk	Risks that occur due to misappropriation of financial or non-financial resources of the Company, as well as claims.	Moderate	- Proper management of financials and observation of misappropriation. - Take immediate action in remediating the fraud.
Information Risk / Cyber Security Risk	Risk of unauthorised access to IT systems and possible threats to data and network security, as well as the loss of confidential data	Moderate	- Comprehensive ICT policy. - Secured network connections across branch network and work from home (WFH) arrangements. - Assessment of firewall strength and protection environment through trusted third party service provider. - ICT and data security awareness and prevention through proactive training to staff. - Data backups through cloud technology.
Health and Safety Risks	Risks to the health and safety of individuals working for the company.	Moderate	- Protocols in place against COVID-19. - Basic awareness of occupational safety risks.

RISK MANAGEMENT

Insurance Risks	Description	Risk Rating	Mitigation
Premises risk	Damage to physical assets because of natural and man-made disasters such as flooding, fire, and riots	Low	- Prudent insurance of buildings and property. - Training and awareness on workplace safety.
Legal risk	Risk of facing litigation in court of law.	Low	Seeking advice from group legal department when entering into contracts.
Strategic Risk			
Reputation Risk	The damage to reputation and brand image of the company, when it fails to meet stakeholder expectations.	Low	- Management and staff are recommended to maintain ethical and professional conduct both in and out of premises. - Professional decorum maintained on social media accounts. - Compliant management system in place for handling complaints swiftly.
Regulatory Risk / Compliance Risk	Any adverse impacts that could occur from failure to meet existing and new regulatory requirements. Capital Adequacy Ratio (CAR) By calculating the capital adequacy ratio (CAR), the company can ascertain the adequacy of its total available capital. The minimum regulatory cap for CAR is 120%, considered as sufficient to be solvent, when it is crucial to meet liquidity levels. Complying with the requirements mandated by IRC SL, Arpico Insurance PLC maintained a CAR at 435% as at 31st December 2021, well above the statutory minimum.	Moderate	- Strict adherence to relevant rules and regulations. - Periodical reviews on major regulatory developments and employing a mechanism to anticipate potential impact on the company. - Consistent participation in industry forums such as events organized by the insurance association of Sri Lanka. - The company's business process invariably goes through timely analyses and updates of policies and procedures.

RESILIENCE AGAINST COVID-19

Since the onset of the pandemic, the company set in place protocols to manage social restrictions and mandatory health regulations. An assessment was required prior to setting-up operational protocols, protocols for work from home arrangements, safety measures and digital and online communications with customers and stakeholders.

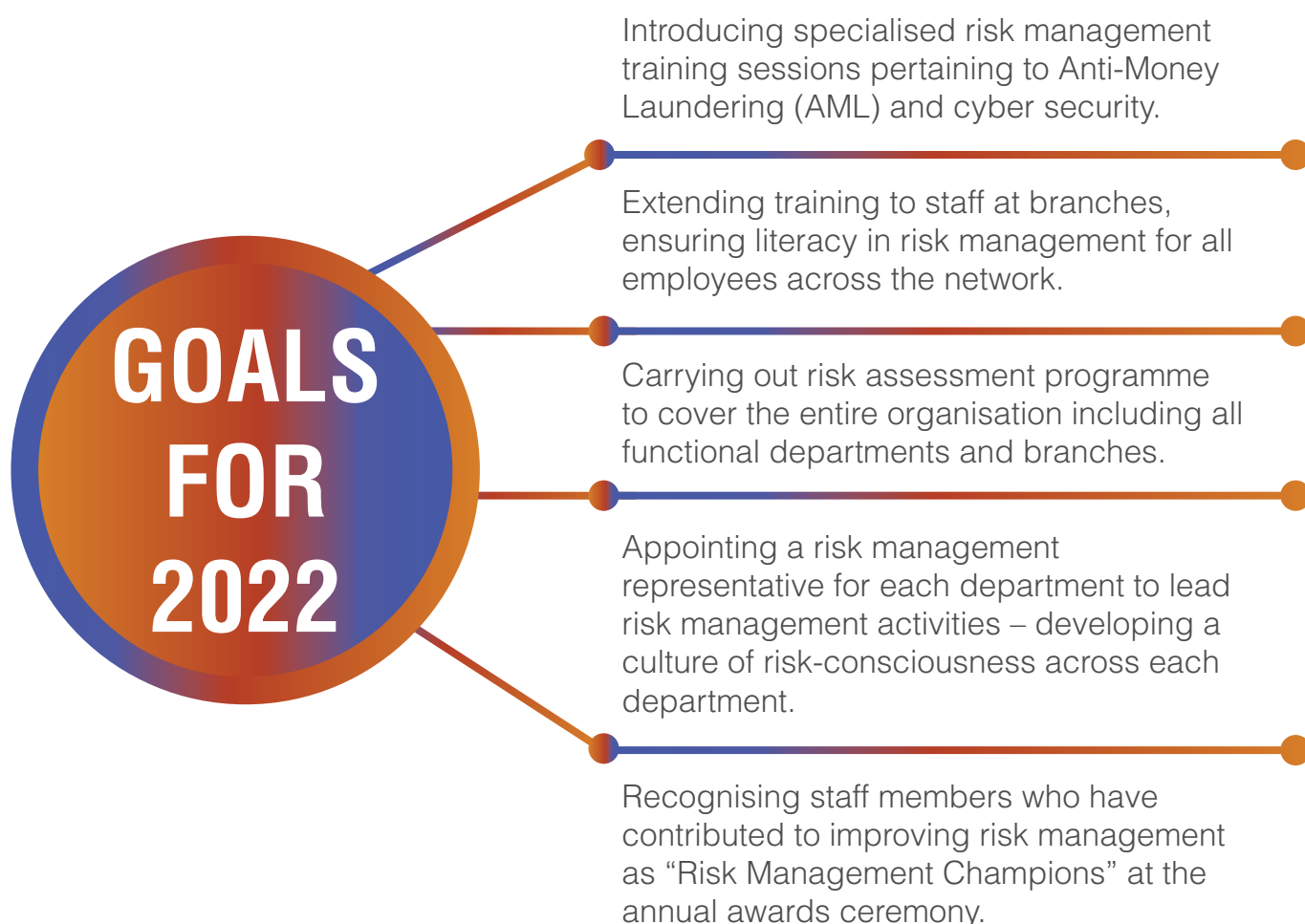
This assessment of the pandemic's impacts also included economic ramifications, including potential losses of business due to delays or failures in premium payments, concerns on initiating policies and settling claims effectively.

At present, branch operations continue under the business continuity plan according to the risk management strategy and in compliance with state health regulations.

RISK MANAGEMENT OUTLOOK FOR 2022

In 2021, the foundation for a stronger risk management framework was laid down with the approval of the new risk management policy (RMP). Nevertheless, the uncertainties in the external environment are expected to remain heightened in 2022, while the implementation of the risk management policy will enhance the resilience of the company to both internal and external risks and facilitate the achievement of its strategic objectives.

In addition, the initiation of a compliance department and recruitment of a dedicated staff member to handle compliance operations was pursued in 2021 and will be firmly established in 2022.



RISK COMMITTEE REPORT

The risk management committee ("the committee") is appointed by the board of directors and accountable to the board. The responsibility of the committee is to supervise the risk management function of the company. The committee shall assist the board in terms of fulfilling its responsibility towards establishing and maintaining an enterprise-wide risk management framework, and any other risk management related matters determined by the board.

KEY RESPONSIBILITIES

1. Review the company's risk management framework including risk management policy, risk appetite, risk strategy, the effectiveness of risk management controls periodically.
2. Review the adequacy and effectiveness of senior management level committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee
3. Review the company's compliance with applicable laws and regulations.
4. Review and discuss on concerns raised by auditors and regulators.
5. Assess the impact of risks, including market, liquidity, operational, strategic, compliance and technological, through appropriate risk indicators and management information, and make recommendations on the risk strategies and the risk appetite to the board.

AUTHORITY

The committee has been empowered to have access to and receive regular reports from the management as well as be provided with any information with regard to its responsibilities.

ACTIVITIES IN 2021

1. Revised and approved the company's risk management policy.
2. Reviewed and approved the company's revised anti-money laundering (AML) & countering financing of terrorism (CFT) policy.
3. Reviewed the effectiveness of the company's existing risk management controls and provide further directions to the management.
4. Reviewed the actuarial profit test results of main insurance product offered and product risk management strategies implemented.
5. Reviewed the investment portfolio of the company and investment risk management strategies implemented.

COMPOSITION & MEETINGS

The committee comprised of the following directors.

Name	Category	Meetings Attended
Mrs. L Serasinhe	Committee chairman and independent non-executive director	2/2
Mr. S Sirikananathan	Independent non-executive director	2/2

The chief executive officer, senior manager – actuarial, risk & compliance and investments, manager – finance, and other corporate management team members attended meetings by invitation.

CONCLUSION

The committee will continue to review risks, mitigation strategies, and make recommendations in order to ensure the company is in compliance with its stipulated compliance framework and is within its defined risk appetite.



Mrs. Lasinee Serasinhe
Chairman – Risk Committee
25th March 2021

AUDIT COMMITTEE REPORT

The audit committee charter dictates the purpose, authority, composition, meetings and responsibilities of the committee. The board of directors is responsible for the approval and effective implementation of the audit committee charter and appoints the audit committee.

PURPOSE

The purpose of the audit committee is to

- Assist the board of directors in fulfilling its overall responsibilities for the financial reporting process.
- Review the system of internal control and risk management procedures
- Monitor the effectiveness of internal audit function
- Review the company's process for monitoring compliance with laws and regulations
- Assess the independence and performance of the company's external auditors
- Make recommendations to the board on the appointment of external auditors, their remuneration and terms of appointment

COMPOSITION

The members of the audit committee of Arpico Insurance PLC comprised the following directors of the company as at 31 December 2021

Mr S Sirikananathan	Non-Executive Independent Director
Mrs L Serasinhe	Non-Executive Independent Director

This Annual Report presents the profiles of the members of the audit committee on pages 94 to 95. The company secretary acted as the secretary to the audit committee.

MEETINGS

The audit committee held a total of 5 meetings during the year under review. Audit committee meetings were conducted in attendance (upon invitation) of the finance manager and the internal auditors. The audit committee extended invitations to members of the management and external auditors whenever their presence was deemed necessary. Board members received updates of the audit committee activities via meeting minutes tabled at board meetings held subsequently to each audit committee meeting.

INTERNAL AUDIT AND RISK MANAGEMENT

The audit committee is responsible for the effective functioning of the internal audit programme to ensure the efficacy of the critical operational aspects. The audit committee evaluated the internal audit programme for effectiveness, reviewed the internal audit findings, the management responses, the suggested corrective actions if any and monitored the implementation of remedial measures.

INTERNAL CONTROLS

The audit committee reviewed the company's internal control system and its approach to managing the business and financial risks in its endeavour to identify potential inefficiencies for recommending countering measures to reduce such risks. The audit committee review ensured that the necessary tools are in place to secure company assets. The audit committee reviewed the financial reporting system to determine the effectiveness and accuracy of the preparation and presentation of the financial statements. The committee monitored the monthly comprehensive financial review reports to ensure that all critical performance criteria were prepared and reviewed by the management.

FINANCIAL STATEMENTS AND RELATED DISCLOSURES

In line with its responsibility of overlooking the company's financial reporting, the audit committee reviewed the following areas to the extent it deemed necessary and appropriate, in discussion with the external auditors and the management:

- I. Significant financial issues and judgments made in connection with the preparation of the company's Financial Statements.
- II. Consistency of the accounting policies and methods adopted and their compliance with the Sri Lanka Financial Reporting Standards (SLFRS/LKAS).
- III. Requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000 and amendments thereto.

The audit committee has reviewed all interim financial statements and the annual financial statements for the year ended 31st December 2021 before their issuance.

AUDIT COMMITTEE REPORT

COMPLIANCE WITH LAWS AND REGULATIONS

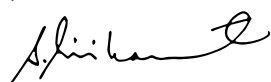
The audit committee reviewed all the compliance checklists signed off by the management of the company to ensure compliance with all applicable compliance submissions relating to Department of Inland Revenue, Insurance Regulatory Commission of Sri Lanka and Labour Regulations.

EXTERNAL AUDITORS

The audit committee met the external auditors to analyse the audited financial statements and looked into all relevant and consequential matters. The committee was satisfied that non-audit services facilitated by external auditors did not intervene with their independence and objectivity. The committee determined that the company assigned such services in a manner calculated to prevent any conflict of interest. The audit committee has recommended to the board of directors, the reappointment of messrs. Ernst and young as auditors for the financial year ended 31 december 2021 subject to the approval of the shareholders at the next annual general meeting.

CONCLUSION

The audit committee is satisfied that the internal controls and procedures in place for assessing and managing the risks provide reasonable assurance regarding the reliability of financial reporting of the company the safeguarding of the company's assets and the following of all relevant laws, rules, regulations, code of ethics and standards of conduct.



S Sirikananathan
Chairman – Audit Committee
25th March 2021

INVESTMENT COMMITTEE REPORT

INVESTMENT COMMITTEE CHARTER

Investment committee provides guidelines to the investment decisions made by the company, monitors the organisation's investment assets while providing strategic direction and managing the market risk effectively in the challenging economic environment.

KEY RESPONSIBILITIES

- Exercise the investment policies, strategies, and programs to ensure that they are consistent with goals and objectives of the organisation.
- Review data on current economic conditions, inflation, interest rates to formulate future investment strategies.
- Monitor and review the performance, liquidity and the assets & liability mismatch of the investment portfolio.
- Ensure full compliance with laws, rules, regulations, determinations and guidelines related to investments issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL).
- Act as the approving authority for inclusion of investment counterparties and asset classes to diversify the investment portfolio.

AUTHORITY

The committee has direct access to receive regular reports from the management at any given time. In order to discharge its duties and responsibilities effectively and efficiently, the committee is authorized to receive and request information from the management relating to its responsibilities.

ACTIVITIES IN 2021

- The committee reviewed the current investment portfolio, economic outlook of the country, and the interest rate fluctuations affecting the current investment yield.
- The committee decided to invest in long term assets to increase investment return and minimize the asset and liability mismatch.
- Given the increasing size of the fund, the committee decided to allocate more resources to investment management function.
- Identifying and monitoring the implementation of medium and long-term strategies.
- Monitor the investment portfolio and investment projections to identify risks and opportunities.
- In addition to scheduled meetings, the committee also maintained constant dialogue with the management throughout the year, and discussed matters as and when they arose.

COMPOSITION & MEETINGS

The investment committee comprised the following directors.

Name	Category	Meetings Attended
Mr. Viville Perera	Director	2/2
Mr. Shiron Goonaratne	Director	2/2

The committee held two meetings during the period. The chief executive officer, group treasurer, senior manager – actuarial, risk & compliance and investments, manager – finance attended meetings by invitation.

CONCLUSION

The annual evaluation of the performance of the investment committee was carried out by the board and it was concluded that the committee operated in an effective manner during the past year.



Mr. Viville Perera
Chairman – Investment Committee
25th March 2021

REMUNERATION COMMITTEE REPORT

The remuneration committee of the Richard Pieris and company PLC acted as the remuneration committee of Arpico Insurance PLC.

The remuneration committee, appointed by and responsible to the board of directors, consists of two independent Non-executive directors, Dr. Jayatissa De Costa P.C., Mr. Joseph Felix Fernandopulle, Mr. Prasanna Fernando. The committee is chaired by Dr. Jayatissa De Costa P.C. The committee met on several occasions during the financial year.

The remuneration policy of the company is formulated to attract and retain high caliber personnel and motivate them to develop and implement the business strategy in order to optimise long term shareholder value.

The remuneration committee has reviewed and recommended the following to the Board of Directors:

1. Policy on remuneration of the executive staff.

The committee took into account competition, market information and business performance in deciding the overall remuneration policy.



Dr. Jayatissa De Costa P.C.
Chairman – Remuneration Committee
25th March 2021

RELATED PARTY TRANSACTION REVIEW COMMITTEE REPORT

The related party transactions review committee of the richard peiris and company plc acts as the the related party transactions review committee of arpico insurance plc.

The related party transaction review committee, appointed by and responsible to the board of directors, consists of three Independent Non-Executive Directors, which includes its chairman Dr. Jayatissa De Costa P.C., Mr. Joseph Felix Fernandopulle, Mr. Prasanna Fernando.

THE OBJECTIVES OF THE COMMITTEE

1. To exercise oversight on behalf of the board, that all related party transactions ("RPTs" Other than those exempted by the CSE listing rules on the related party transactions) of Arpico Insurance PLC are carried out and disclosed in a manner consistent with CSE listing rules.
2. To advise and update the board of directors on related party transactions of Arpico Insurance PLC on quarterly basis.
3. To ensure compliance with the CSE listing rules on related party transactions.
4. To review policies and procedures of related party transitions of Arpico Insurance PLC
5. To ensure shareholders interests are protected and that fairness and transparency are maintained.

POLICIES AND PROCEDURES ADOPTED BY THE COMMITTEE

Head of finance is responsible for reporting the information set out under 'appendix 9 A' of the listing rules with regard to each related party transactions proposed to be entered into by the company with the exception of information listed in the section 9.5 of the listing rules for the committee to review and to grant approval or disapproval.

The committee reviewed all related party transactions for the year 2020. All related party transactions entered into during the year were of a recurrent, trading nature and were necessary for day to day operations of the company. In the opinion of the committee, the terms of these transactions were not more favorable to the related parties than those generally available to the public.

The committee held four meetings during the period under review. The activities and the views of the committee have been communicated to the board of directors where appropriate.

No related party transactions exceeded the limit of 10% of the equity or 5% of the total assets requiring immediate disclosure to CSE and a separate disclosure has been made in the annual report as required by section 9.3.2 (b) of listing rules, the board confirms that the company has complied with all requirements as per Section 9 of the listing rules.

The directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard (LKAS 24). All details of such related party transactions entered into during the year are given in Note 32 to the financial statements on page 98 to 99 of this Annual Report.



Dr. Jayatissa De Costa P.C.
Chairman – Related Party Transaction Review Committee
25th March 2021

FINANCIAL STATEMENTS

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

General

It is with pleasure that the board of directors of Arpico Insurance PLC present their Annual Report on the affairs of the company, audited financial statements and the auditor's report for the year ended 31st December 2021. This report was approved by the board of directors on 25th March 2022.

Arpico Insurance PLC is a licensed life insurance company registered under the Regulation of Insurance Industry Act No. 43 of 2000. The company was incorporated on 22nd June 2011 as a limited liability company under the Companies Act, No. 17 of 1982 and re-registered on 21st May 2015 as per the requirements of the Companies Act No. 07 of 2007 and bears the company registration number, PB 4739 PQ.

The ordinary shares of the company are listed on the Diri Savi Board of Colombo Stock Exchange.

Principal Activities

The principal activity of the company constitutes provision of life insurance in Sri Lanka. No significant changes were made to the company's principal activities during the financial year under review. The company has not engaged in any activities, which contravene laws and relevant regulations.

Vision Mission and Corporate Values

Company's vision and mission are provided on page no 07 of this Annual Report. The directors ensure that the business activities of the company are carried out within the framework of objectives outlined in the vision and mission and are in conformity with the values of the company reflecting a commitment to the highest ethical standards and integrity.

Review of Company Performance

Complying with the requirements of the companies act, the chairman's review, review of operations, financial review and other statements in this Annual Report briefly describe the performance of the company during the financial year under review. These reports form an integral part of the Annual Report of the board of directors.

Future Development

The chairman's message on page 14 to 17 offers an overview of the Company's future developments.

Financial Statements

The audited financial statements that include the Income Statement and Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flows and notes to the financial statements of the company for the financial year ended 31st December 2021 on pages 140 to 144 form an integral part of the annual report of the directors.

The Financial Statements have been prepared in accordance with the Sri Lanka Accountings Standards (SLFRS) laid down by the Institute of Chartered Accountants of Sri Lanka and comply with the Companies Act No 7 of 2007, Regulations of the Insurance Industry Act No 43 of 2000 and other rules and regulations of the Insurance Regulatory Commission of Sri Lanka and the listing rules of Colombo Stock Exchange.

Auditors Report

The Auditors' Report can be found on page 137 to 139 of this Annual Report.

Auditors

The current auditors Messrs. Ernst & Young will be considered reappointed as auditors, at the Annual General Meeting of the Company in terms of Section 158 of the Companies Act No. 07 of 2007. A resolution authorising the directors to determine their remuneration will be proposed at the Annual General Meeting. Their audit fee for the year is disclosed in note 10 to the Financial Statements. As far as the directors are aware, the auditors do not have any other relationship with the company other than those disclosed in this Annual Report.

Accounting Policies

The accounting policies adopted in the preparation of the financial statements are given on pages 145 to 157. There were no significant changes to the accounting policies of the company during the year.

Gross Written Premium

The table below gives growth in gross written premium for the year 2021. Further details on financial performance are given on pages 158 to 182.

	2021 Rs. '000	2020 Rs. '000	Growth %
FYP	1,374,826	964,189	43
Renewal	869,854	810,378	7
Group premium	66,953	61,534	9
Total	2,311,633	1,836,101	

Results

The company recorded a net profit of Rs 236 Mn. for the year. A synopsis of the financial performance is presented below.

	2021 Rs. '000	2020 Rs. '000
Profit Before Tax	337,382	278,594
Income Tax (Expense)/Reversal	(100,681)	(77,918)
Profit After Tax	236,701	200,676

Taxation

The company is liable to income tax at 24% under the prevailing tax rules of the country. The tax calculation method of Life Insurance business changed with the enactment of the new Inland Revenue Act, No. 24 of 2017, which came in to effect on 1st April 2018 and the company will have taxable profits from 1st April 2018. Details are disclosed in note 11 to the Financial Statements on page 160.

Property, Plant and Equipment

The book value of Property, Plant & Equipment of the company stood at Rs. 57.6 Mn. as at the balance sheet date. Details are given in Note 13 to the financial statements.

Investments

Investments of the company amounted to Rs. 3,470 Mn. Details are given in Note 16 to the financial statements.

Stated Capital and Reserves

Stated capital and total equity of the company as at 31st December 2021 stood at Rs. 675 Mn. and Rs. 2,071 Mn. respectively. Details for Statement of Changes in Equity are given on page 169.

Human Resources

The company's human resource policy is driven to reach its corporate goals and objectives by inculcating in employees a strong value system and ethics. While the company is focused on developing employee ability to optimize results, the policies and procedures in place ensure equitable treatment of all employees.

Board of Directors

The board of directors of the company consists of five (05) directors with wide financial knowledge and experience. The names of the directors who held office are given below and their brief profiles appear on pages 94 to 95.

Name of the Director	Status
Mr. W J V P Perera	Non-Executive Director
Mr. S Sirikananathan	Independent Non-Executive Director
Mrs. L S A Serasinhe	Independent Non-Executive Director
Mr. S Gooneratne	Non-Executive Director
Mrs. Dilukshika Fernando	Independent Non-Executive Director

Directors' Interest in Contracts with the company

Directors' and other key management personnel's interest in transactions of the company are disclosed in note 32 to the Financial Statements.

The company maintains an interest register in conforming to the provisions of the Companies Act No. 07 of 2007.

Directors' Shareholdings

Shareholdings of the Directors in the Company were as follows:

Name of the Director	2021 No. of Shares	2020 No. of Shares
Mr. W J V P Perera	Nil	Nil
Mr. S Sirikananathan	Nil	Nil
Mrs. L S A Serasinhe	Nil	Nil
Mr. S Gooneratne	Nil	Nil
Mrs. Dilukshika Fernando	Nil	Nil

Directors' Responsibility for Financial Reporting

The statement of directors responsibility is given on Page 135.

Board Sub Committees

The board whilst assuming responsibility for the management and the smooth running of the company has established subcommittees to ensure effective control over specific functions of the company. The sub committees consist of audit committee, risk and compliance committee and an investment committee.

Corporate Governance

The board acknowledges their responsibility to ensure that the company complies with good corporate governance practices as set out on pages 100 to 113.

Risk Management and System of Internal Controls

The board recognizes effective risk management and internal control systems are essential parts of the management of the organization. Company has implemented a comprehensive risk management process which is monitored through the board risk management committee and the audit committee. Detailed outline of the risk management process is given on page 114 to 123 of this Annual Report.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

Contingencies

There were no significant contingencies identified throughout the year.

Statutory Payments

The directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the government, other regulatory institutions and in relation to the employees have been made on time.

Compliance with Laws and Regulations

The company has not engaged in any activity against the prevailing laws and regulations. Compliance with the provisions of laws and regulations has been confirmed to the board of directors at board meetings.

Events after the Balance Sheet Date

Details of events after the balance sheet date are provided in note 35 (page 182) to the financial statements.

Going Concern

The directors have adopted the going concern basis in preparing the financial statements. They have reviewed the company's performance and financial standing and are satisfied that it has adequate resources to continue its operations in the foreseeable future.

Annual General Meeting

The Annual General Meeting will be held at the Lotus Hall, 01st Floor, Block 02 ,Bandaranaike Memorial International Conference Hall (BMICH), Colombo 07 on 20th May 2022. The notice of the Annual General Meeting is on Page 196 of this publication.

For and on behalf of the Board,

25th March 2022



Mr. Viville Perera
Director



Mr. Shiron Gooneratne
Director



Mrs. J Siriweera
Company Secretary

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Companies Act, No.7 of 2007 places responsibility on the directors to prepare and present financial statements for each year comprising a statement of financial position as at year end date and the statements of comprehensive income, statement of cash flows and statement of changes in equity for the year together with the significant accounting policies and explanatory notes.

In preparing and presenting the financial statements, the

Directors are responsible to ensure that:

- Sri Lanka Accounting Standards, as applicable, have been followed,
- Appropriate accounting policies have been selected and applied consistently and they disclose material departures and reasons for departures,
- Reasonable and prudent judgments and estimates have been made,
- The Companies Act No. 7 of 2007, Regulation of Insurance Industry Act No.43 of 2000,
- Listing Rules of Colombo Stock Exchange have been complied with,
- Code of Best Practice on Corporate Governance 2017 issued by CA Sri Lanka,
- Statement of Recommended Practice (SoRP),
- The Board of Directors accept responsibility for the integrity and objectivity of the Financial Statements presented in this Annual Report,

And while conforming to the standards, policies, laws, rules and regulations stated herein; to discharge their responsibility to ensure disclosure of the financial position of the company with reasonable accuracy; they are mindful of their responsibility to ensure that the company maintains adequate accounting records for the purpose.

The directors have a responsibility to ensure that the company has adequate resources to continue business in the foreseeable future. They, after a comprehensive review of the company's financial position, have adopted the going concern basis for the preparation of the financial statements.

The directors are responsible for the proper management of the resources of the company. They have taken steps to establish and maintain an appropriate system of internal control to obtain reasonable assurance that the company is protected from undue risks, frauds and other irregularities.

The directors confirm that they have provided the auditors all the information and explanations which were considered necessary for the conduct of their audit.

The directors, to the best of their knowledge and belief, are satisfied that all the statutory payments have been settled up to date or accrued in the financial statements.

By Order of the Board,



Mrs. R J Siriweera
Company Secretary
(Richard Pieris Group Services (Private) Limited
Secretaries to Arpico Insurance PLC)
Colombo, Sri Lanka
25th March 2022

ACTUARY'S REPORT



25 March 2022

To the Shareholders of Arpico Insurance PLC.

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2021

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December 2021. We hereby certify that, in our opinion,

- 1) Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long Term Insurance Fund;
- 2) Adequate and proper reserves have been provided as at 31 December 2021, for all liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date;
- 3) As at 31 December 2021, the Company maintained a Capital Adequacy Ratio of 435% calculated as per the Solvency Margin (Risk Based Capital) Rules 2015 issued by the Insurance Regulatory Commission of Sri Lanka as required under the Regulation of Insurance Industry Act No. 43 of 2000. This is well above the minimum Capital Adequacy Ratio of 120% as per the same rules;
- 4) We carried out a Liability Adequacy Test ("LAT") for Long Term Insurance fund as at 31 December 2021 as required by SLFRS 4 - Insurance Contracts and the assets are sufficiently adequate as compared to liabilities under the LAT.

A handwritten signature in black ink, appearing to read "H. Scott Odierno".

Hassan Scott Odierno
Actuary

INDEPENDENT AUDITORS' REPORT



Ernst & Young
Chartered Accountants
201 De Saram Place
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Sri Lanka

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Tax : +94 11 5578180
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ey.com

TO THE SHAREHOLDERS OF ARPICO INSURANCE PLC

Report on the audit of the financial statements Opinion

We have audited the financial statements of Arpico Insurance PLC ("the Company"), which comprise the statement of financial position as at 31 December 2021, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company give a true and fair view of the financial position of the Company as at 31 December 2021, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: H M A Jayasinghe FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, W R H De Silva ACA ACMA, Ms. Y A De Silva FCA, Ms. K R M Fernando FCA ACMA, N Y R L Fernando ACA, W K B S P Fernando FCA FCMA, Ms. L K H L Fonseka FCA, D N Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA, D K Hulangamuwa FCA FCMA LLB (Lond), Ms. A A Ludowyke FCA FCMA, Ms. G G S Manatunga FCA, A A J R Perera ACA ACMA, Ms. P V K N Sajeevan FCA, N M Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

Principals: G B Goudian ACMA, Ms. P S Paranavitane ACMA LLB (Colombo), T P M Ruberu FCMA FCCA

INDEPENDENT AUDITORS' REPORT

Key audit matter	How our audit addressed the key audit matter
Insurance Contract Liabilities Life Insurance Contract Liabilities amounting to Rs 1.89 Bn (note 25) which, represent 81% of total liabilities of the Company as at 31 December 2021 are determined as described in note 2 (2.7.1) to the financial statements. This was a key audit matter due to: - materiality of the reported Life Insurance Contract Liabilities; - the degree of assumptions, judgements and estimation uncertainty associated with the actuarial valuation of Life Insurance Contract Liabilities; and - liability adequacy test using best estimates carried out to ensure the adequacy of the carrying value of Life Insurance Contract Liabilities. Key areas of significant judgments, estimates and assumptions used in the valuation of the Life Insurance Contract Liabilities included the following: - the determination of assumptions such as mortality, morbidity, lapses and surrenders, loss ratios, bonus, interest rates, discount rates and related claim handling expenses. Deferred tax asset on brought forward tax losses As detailed in Note 11 to the financial statements, the brought forward tax losses of the Life insurance business as of 31 December 2021 amounted to Rs. 154 Mn with a Deferred Tax Asset of Rs. 36 Mn is derived from such tax losses. This was a key audit matter due to; - materiality of the reported Deferred tax asset balance; - degree of significant assumptions and judgement involved in management decision to recognize the Deferred Tax Asset	To assess the reasonableness of the Life Insurance Contract Liabilities, our audit procedures included amongst others the following, based on the best available information up to the date of our report; - We checked the completeness and accuracy of the data used in the valuation of Life Insurance Contract Liabilities by agreeing key information to source documents and accounting records. - We performed procedures to understand and evaluate the work of management's specialist. - We engaged expert resources to assess the reasonableness of the assumptions and appropriateness of the method used in the actuarial valuations of Life Insurance Contract Liability with reference to market data and policyholders experience. - We assessed the adequacy of the disclosures in note 25 and note 2 (8.10) to the financial statements. Our audit procedures included the following; - we revisited the estimates and judgements made by the Company on the tax losses and engaged internal experts to assess the reasonableness of the basis on which the opinion is given by the independent tax consultant of the Company. - we assessed the business plans used and thus the likelihood that taxable profits would be available to utilize the tax losses in the future. - we assessed the adequacy of the disclosures given in Note 11 to the financial statements
Other information included in the Company's 2021 Annual Report Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard	Responsibilities of management and those charged with governance Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so. Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Company audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4169.

Ernst & Young

25th March 2022
Colombo

INCOME STATEMENT

Year ended 31st December	Note	2021 Rs.	2020 Rs.
Gross written premium	3. (a)	2,311,632,930	1,836,100,261
Premium ceded to reinsurers	3. (b)	(103,292,315)	(91,424,657)
Net written premium		2,208,340,615	1,744,675,604
Other revenue			
Fees and commission income	4.	45,547,057	34,222,629
Investment income	5.	256,205,977	253,389,343
Fair value gains / (losses)	6.	870,338	-
Other operating revenue	7.	7,149,084	9,039,175
Total other revenue		309,772,456	296,651,147
Net income		2,518,113,071	2,041,326,751
Net insurance benefits and claims paid	8. (a)	(573,138,341)	(395,053,475)
Net change in insurance claims outstanding	8. (b)	(31,167,632)	(7,955,560)
Underwriting and net acquisition costs	9.	(753,929,519)	(418,946,461)
Change in contract liabilities - life fund	25.	(58,943,480)	(296,040,673)
Other operating and administrative expenses	10.	(763,552,558)	(644,735,670)
Total benefits, claims and other expenses		(2,180,731,530)	(1,762,731,839)
Profit before tax		337,381,541	278,594,912
Income tax expense	11. (a)	(100,680,805)	(77,918,674)
Profit for the year		236,700,736	200,676,238
Earnings per share - Basic	12.	3.57	3.03

The accounting policies and notes as set out in pages 145 to 182 form an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31st December	Note	2021 Rs.	2020 Rs.
Profit for the year		236,700,736	200,676,238
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		(93,400,128)	46,129,731
Fair value movement of AFS reserve transferred to life fund	25.	66,854,478	(46,129,731)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain / (loss) on defined benefit plan	26.	181,391	(313,936)
Other comprehensive income for the year, net of tax		(26,364,259)	(313,936)
Total comprehensive income for the year, net of tax		210,336,477	200,362,302

The accounting policies and notes as set out in pages 145 to 182 form an integral part of these financial statements.

SUPPLEMENTARY
INFORMATIONS

FINANCIAL
REPORTS

LEADERSHIP AND
GOVERNANCE

MANAGEMENT
DISCUSSION AND
ANALYSIS

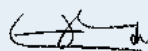
CREATING INTEGRATED
VALUE

ORGANISATIONAL
FRAMEWORK

STATEMENT OF FINANCIAL POSITION

As at 31st December	Note	2021 Rs.	2020 Rs.
Assets			
Property, plant and equipment	13.	57,691,938	59,060,218
Right of use assets	14.	129,675,417	137,336,423
Intangible assets	15.	586,844	413,031
Financial assets	16.	3,470,094,773	2,682,476,454
Loans to life policyholders	17.	425,525,375	389,694,262
Reinsurance receivables	18.	8,373,896	7,170,413
Amounts due from related parties	19.	12,002,002	6,448,559
Premium receivable	20.	62,470,094	30,808,290
Other assets	21.	62,822,687	55,874,973
Deferred tax asset	11. (d)	36,979,105	137,659,910
Cash and cash equivalents	22.	150,015,184	668,548,192
Total assets		4,416,237,315	4,175,490,725
Equity and liabilities			
Shareholders' equity			
Stated capital	24.	675,564,870	675,564,870
Retained earnings		1,422,126,083	1,185,243,956
Available for sale reserves		(26,545,650)	-
Total ordinary shareholders' equity		2,071,145,303	1,860,808,826
Liabilities			
Insurance contract liabilities	25.	1,897,003,107	1,904,914,105
Employee benefit obligation	26.	16,146,223	14,743,507
Reinsurance creditors	27.	70,001,400	85,918,647
Lease creditors	14.	157,443,360	155,319,117
Amounts due to related parties	28.	2,105,460	16,573,459
Other financial liabilities	29.	107,718,526	79,190,578
Other liabilities	30.	94,673,936	58,022,486
Total liabilities		2,345,092,012	2,314,681,899
Total equity and liabilities		4,416,237,315	4,175,490,725

These financial statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

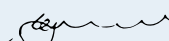


Manager - Finance
(Chathumadu Abeyakoon)

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the board.



Director
(Viville Perera)



Director
(Shiron Gooneratne)

25th March 2022
Colombo

The accounting policies and notes as set out in pages 145 to 182 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

Year ended 31st December	Note	2021 Rs.	2020 Rs.
Cash flows from operating activities			
Profit before tax		337,381,541	278,594,912
Adjustments for :			
Depreciation of property, plant & equipment	13.	27,945,272	25,427,478
Amortisation of intangible assets	15.	291,587	262,500
Interest income	5.	(256,205,977)	(253,389,343)
Net depreciation of right of use assets	14.	65,197,669	61,586,962
Interest expense of lease creditors	14.	23,772,003	21,892,453
Provision for employee benefit	26.	3,957,333	3,916,326
		202,339,428	138,291,288
Net change in operation assets	a	(81,197,557)	85,297,415
Net change in operation liabilities	b	26,883,154	296,890,668
Cash flows from operating activities		148,025,025	520,479,371
Tax (paid)/recovered		-	4,088,146
Gratuity paid	26.	(2,373,226)	(938,863)
Net cash generated from operating activities		145,651,799	523,628,654
Cash flows from investing activities			
Acquisition of financial investments	16. (e)	(90,533,336,913)	(50,996,206,798)
Proceeds from maturity of financial investments	16. (e)	89,841,065,789	50,762,670,680
Interest received		134,313,132	181,397,909
Acquisition of property, plant and equipment	13.	(26,576,992)	(24,345,174)
Acquisition of right of use assets			
Proceeds from sale of property, plant & equipment			
Purchase of intangible assets	15.	(465,400)	-
Advance paid to right of use assets	14.	(11,681,052)	(11,067,508)
Net cash flows used in investing activities		(596,681,436)	(87,550,891)
Cash flows from financing activities			
Issue of share capital		-	-
Dividend payment		-	-
Share issue expenses		-	-
Payment of lease liability	14.	(67,503,371)	(63,044,308)
Net cash used in financing activities		(67,503,371)	(63,044,308)
Net increase / (Decrease) in cash and cash equivalents		(518,533,008)	373,033,454
Cash and cash equivalents at the beginning of the year		668,548,192	295,514,738
Cash and cash equivalents at the end of the year	22.	150,015,184	668,548,192
Notes to the Cash Flows Statement			
a. Changes in operating assets			
(Increase)/Decrease in reinsurance receivable		(1,203,483)	61,181,438
(Increase)/Decrease in premium receivable		(31,661,804)	38,720,131
(Increase)/Decrease in policyholders loans		(35,831,113)	(103,423,852)
(Increase)/Decrease in other assets		(12,501,157)	88,819,698
Net change in operating assets		(81,197,557)	85,297,415
b. Changes in operating liabilities			
Increase / (Decrease) in life fund		(7,910,998)	342,170,404
Increase / (Decrease) in creditors		34,794,152	(45,279,736)
Increase / (Decrease) in Lease creditors			
Net change in operating liabilities		26,883,154	296,890,668

The accounting policies and notes as set out in pages 145 to 182 form an integral part of these financial statements.

SUPPLEMENTARY
INFORMATIONS

FINANCIAL
REPORTS

LEADERSHIP AND
GOVERNANCE

MANAGEMENT
DISCUSSION AND
ANALYSIS

CREATING INTEGRATED
VALUE

ORGANISATIONAL
FRAMEWORK

STATEMENT OF CHANGES IN EQUITY

	Stated Capital	AFS Reserve	Retained Earnings	Total Equity
	Rs.	Rs.	Rs.	Rs.
As at 1 January 2020	675,564,870	-	984,881,654	1,660,446,524
Profit for the year	-	-	200,676,238	200,676,238
Other comprehensive income	-	-	(313,936)	(313,936)
	-	-	-	-
Total comprehensive income	-	-	200,362,302	200,362,302
As at 31 December 2020	675,564,870	-	1,185,243,956	1,860,808,826
Profit for the year	-	-	236,700,736	236,700,736
Other comprehensive income	-	(26,545,650)	181,391	(26,364,259)
	-	-	-	-
Total comprehensive income	-	(26,545,650)	236,882,127	210,336,477
As at 31 December 2021	675,564,870	(26,545,650)	1,422,126,083	2,071,145,303

The accounting policies and notes as set out in pages 145 to 182 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 Reporting entity

Arpico Insurance PLC ("company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No. 43 of 2000 and amendments there to. The registered office of the company is located at No. 310, Highlevel Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

1.2 Principal activities and nature of operations

Arpico Insurance PLC is primarily engaged in carrying out life insurance business. There were no significant changes in the nature of the principal activities of the company during the financial year under review.

1.3 Parent enterprise

The company's ultimate parent undertaking and controlling party is Richard Pieris & Company PLC which is incorporated in Sri Lanka.

1.4 Date of authorisation for issue

The financial statements of Arpico Insurance PLC for the period ended 31st December 2021 were authorised for issue by the board of directors on 25th March 2022.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES, ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

2.1.1 Statement of compliance

The financial statements of the company have been prepared in accordance with Sri Lanka Accounting Standards as issued by the Institute of Chartered Accountants of Sri Lanka. The preparation and presentation of these financial statements are also complying with the requirements of Section 151 (2) of the Companies Act No.7 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000 and amendments there to Sri Lanka accounting standards, rules and Regulations of the Insurance Regulatory Commission of Sri Lanka and listing rules of the Colombo Stock Exchange (CSE).

The company has not adopted any inappropriate accounting treatments, which are not compliance with the requirements of the SLFRS and LKAS, regulations governing the preparation and presentation of these Financial Statements.

2.1.2 Changes in accounting policies

The accounting policies adapted by the company is consistent with those used in the previous year. The company financial statements include the following components.

- The Statement of Financial Position - providing information on the financial position of the company as at the year-end;
- The Income Statement and Statement of profit and loss and other Comprehensive Income - providing information on the financial performance of the company for the year under review;
- The Statement of Changes in Equity - depicting all changes in shareholders';
- The Statement of Cash Flows - providing information to the users, on the ability of the company to generate cash and cash equivalents and the needs of entities to utilize those cash flows; and
- Notes to the Financial Statements - comprising Accounting Policies and other explanatory information.

NOTES TO THE FINANCIAL STATEMENTS

2.2 Basis of measurement

The company financial statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

Item	Basis of measurement	Note No.
FINANCIAL ASSETS		
Available-for-sale financial assets are measured at fair value	Fair Value	16
Fair value through profit & loss	Fair Value	16
Held to maturity	Amortised Cost	16
Loans & receivable	Amortised Cost	16
NON-FINANCIAL ASSETS/LIABILITIES		
Insurance contract liabilities	Actuarially valued in line with the guidelines issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL)	25
Employee benefits obligation	Actuarially valued and recognised at present value of the defined benefit obligation	26

No adjustments have been made for inflationary factors affecting the company financial statements.

2.3 Going concern

In determining the basis of preparing the financial statements for the year ended 31 December 2021, based on all available information the management has considered the consequences of COVID-19, other events and conditions such as current market uncertainty and market volatility, economic factors and it has determined that they do not create a material uncertainty that casts substantial doubt upon the entity's ability to continue as a going concern. The directors have a reasonable expectation that the company have adequate resources together with sufficient renewing income from customers, to continue in operational existence for the foreseeable future. The company does not foresee a need for liquidation or cessation of trading, taking into account all available information about future. Accordingly, they continue to adopt the going concern basis in preparing the financial statements.

2.4 Functional and presentation currency

Items included in the financial statements of the company are measured using the currency of the primary economic environment in which the company operates (the functional currency).

Accordingly, these financial statements are presented in Sri Lankan Rupees (LKR), the company's functional and presentation currency.

There was no change in the company's presentation and functional currency during the year under review.

2.5 Comparative Information

Comparative information including quantitative, narrative and descriptive information as relevant is disclosed in respect of previous period in the financial statements. The presentation and classification of the financial statement of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.6 Offsetting

Assets and liabilities including financial assets and financial liabilities are offset, and the net amount reported in the statement of financial position, only when Sri Lanka Accounting Standards allows. Incomes and expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards.

2.7 Use of estimates and judgements

The preparation of financial statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

2.7.1 Insurance contract liabilities

The liability of the insurance contracts is valued using the Gross Premium Valuation (GPV) methodology. GPV liability is a prospective valuation method which is derived by discounting the projected future cash flows of each individual policy. These policy cash flows reflect the best estimate assumptions of the current portfolio and increased with a margin for risk an adverse deviation. All contracts are subject to a Liability Adequacy Test (LAT), which reflect management's best current estimate of future cash flows.

The main assumptions used relate to discount rate, mortality, morbidity, withdrawal, expenses and expense inflation, lapses, surrender rates and discount rates as further detailed in Note 25. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as wide ranging changes to the life style, which could result in significant changes to the expected future mortality exposure.

Estimates are also made for future investment income arising from the assets backing life insurance contracts.

These estimates are based on current market returns, as well as expectations about future economic and financial developments

Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation, if appropriate. Lapse and surrender rates are based on the company's historical experience of lapses and surrenders.

Discount rates are based on current industry risk rates, adjusted for the company's own risk exposure.

2.7.2 Valuation of employee benefit obligation – Gratuity

The cost of defined benefit plans which is gratuity is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used by the actuary in the estimates are contained in Note 26.

2.7.3 Deferred tax assets

The company use judgement in recognizing a deferred tax asset in its financial statements. Deferred tax assets are recognized in respect of tax losses to the extent that it is probable that future taxable profits will be available to the company which can be utilised against such tax losses. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies. Details of deferred tax asset recognised and tax losses are disclosed in Note 11.

2.8 Summary of significant accounting policies

2.8.1 Insurance contracts

According to SLFRS 4, Insurance contract is a contract under which one party (the insurer) accept significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affect the policyholder.

Insurance contracts are those contracts when the company (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the company determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk.

Investment contracts are those contracts that transfer significant financial risk and no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

All the products sold by the company are insurance contracts and therefore classified as Insurance contracts under the SLFRS 4 – Insurance contracts. Thus, the company does not have any investment contracts within its product portfolio as at the reporting date.

NOTES TO THE FINANCIAL STATEMENTS

Actuarial valuation of life insurance fund

The directors agree to the long-term insurance provision for the company at the year-end on the recommendations of the independent consultant actuary following his annual investigation of the life insurance business. The actuarial valuation takes into account all liabilities and is based on assumptions recommended by the independent consultant actuary.

2.8.2 Property, plant and equipment

2.8.2.1 Basis of recognition

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the asset will flow to the company and cost of the asset can be measured reliably.

2.8.2.2 Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labor, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located.

The company applies the cost model and records at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

2.8.2.3 Subsequent costs

The cost of replacing a part of an item of plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The cost of day-to-day servicing of property, plant and equipment is charged to the Statement of Income.

2.8.2.4 Repairs and maintenance

Repairs and maintenance are charged to the Statement of Comprehensive Income during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset if it meets the required criteria in LKAS 16 – Property plant and equipment.

2.8.2.5 Depreciation

The company provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates on a straight-line basis over the periods appropriate to the estimated useful lives of the different types of assets.

The estimated useful lives for the current and comparative years are as follows:

Furniture and fittings	5 years
Office equipment	5 years
Computer hardware	4 years
Motor vehicle	5 years

2.8.2.6 De-recognition

The carrying amount of an item of property, plant and equipment is derecognized on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of property, plant and equipment is included in the Income statement when the item is derecognized.

2.8.3 Right-of-use assets

2.8.3.1 Basis of recognition

At inception of a contract, the company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the company assesses whether

- The contract involves the use of an identified asset – this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified
- The company has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The company has the right to direct the use of the asset. The company has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the company has the right to direct the use of the asset if either
 - The company has the right to operate the asset; or
 - The company designed the asset in a way that predetermines how and for what purpose it will be used.

This policy is applied to contracts entered into, or changed, on or after 1st January 2019.

2.8.3.2 Initial measurement

At the commencement date the company measure the right-of-use asset at cost. Cost include the amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined company's incremental borrowing rate), any lease payment made at or before the commencement date less any lease incentives received, initial direct cost incurred and estimate of cost to be incurred by the company in dismantling and removing the underlying asset or restoring the site on which it is located.

2.8.3.3 Subsequent measurement

The recognized right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term.

Right of use assets are subject to impairment.

2.8.3.4 Short-term leases and leases of low-value assets

The company applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. Lease payments on short-term leases and leases of low-value assets are recognized as expense on a straight-line basis over the lease term.

2.8.4 Intangible assets

Intangible assets consist primarily of acquired computer software. Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

2.8.4.1 Useful economic life and amortisation

The estimated useful life of software is four years. The amortisation is calculated on a straight line basis over the estimated useful life of the software and recognized on Statement of Income.

2.8.4.2 Subsequent expenditure

Expenditures that only increases the future economic benefits in the specific asset are capitalized as subsequent expenditure.

2.8.4.3 De-recognition

The carrying amount of an intangible asset is derecognized on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of intangible asset is included in the statement of income when the asset is derecognized.

2.8.5 Impairment of non-financial assets

The carrying amounts of the company's non-financial assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognized if the carrying amount of an asset exceeds its estimated recoverable amount.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

Impairment losses are recognized in Statement of Income.

2.8.6 Financial assets

2.8.6.1 Initial recognition and measurement

Financial assets are measured initially at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

At inception a financial asset is classified into one of the following categories:

1. Fair value through profit or loss (FVTPL);
2. Loans and receivables (L&R);
3. Held to maturity investments (HTM); and
4. Available-for-sale (AFS) financial assets, as appropriate.

The company determines the classification of its financial assets at initial recognition.

The classification depends on the purpose for which the investments were acquired or originated (i.e. Intention) and based on the company's ability.

The company's existing types of financial assets and their classifications are shown in the table below.

Financial Asset	Category
Treasury bonds	Available for sale and Held to maturity
Treasury bills	Loans and receivables
Quoted shares	Available for sales
Repos	Loans and receivables
Corporate bonds	Loans and receivables
Fixed deposits	Loans and receivables
Unit trusts	Fair value through profit or loss
Policy loans	Loans and receivables

NOTES TO THE FINANCIAL STATEMENTS

2.8.6.2 Subsequent measurement

(a) Loans and receivables (L&R)

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. The company also decided to classify unquoted corporate debts under this category since there is no active market for these instruments.

These investments are initially recognized at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortized cost, using the EIR, less allowance for impairment.

(b) Available-for-sale financial assets (AFS)

Available-for-sale financial investments include Government Securities, those that are neither classified as held for trading nor designated at fair value through profit or loss.

After initial measurement, available-for-sale financial assets are subsequently measured at fair value, with unrealized gains or losses recognized in Other Comprehensive Income (OCI) in the available-for-sale reserve. The company has applied the shadow accounting principles and recognized the fair value movement in life fund under movement on AFS reserve.

Interest earned whilst holding available-for-sale investments is reported as interest income using the EIR.

If the asset is determined to be impaired, the cumulative loss is recognized in the Income Statement in the Other Revenue and removed from the available-for-sale reserve.

The company evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term would still be appropriate. In the case where the company is unable to trade these financial assets due to inactive markets and management's intention significantly changes to do so in the foreseeable future, the company may elect to reclassify these financial assets in rare circumstances. Reclassification to loans and receivables is permitted when the financial asset meets the definition of loans and receivables and management has the intention and ability to hold these assets for the foreseeable future or until maturity. The reclassification to held-to-maturity is permitted only when the entity has the ability and intention to hold the financial asset until maturity.

For a financial asset that is reclassified out of the available for-sale category, any previous gain or loss on that asset that has been recognized in equity is amortized to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortized cost and the expected cash flows is also amortized over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is reclassified to the income statement.

(c) Held to maturity (HTM)

Subsequent to initial measurement, held to maturity financial assets are measured at amortised cost, using the Effective Interest Rate (EIR), less impairment. The EIR amortisation is included in 'Interest Income' in Profit or Loss.

(d) Fair value through profit or loss (FVTPL)

Financial assets at Fair Value Through Profit or Loss include financial assets held for trading and those designated upon initial recognition at Fair Value Through Profit or Loss. Investments typically bought with the intention to sell in the near future are classified as held for trading.

Subsequent to initial recognition, these investments are re-measured at fair value. Changes in fair value are recorded in 'Fair value gains and losses' in Profit or Loss.

2.8.6.3 De-recognition

The company derecognizes a financial asset when,

- The rights to receive cash flows from the asset have expired or
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either

(a) The company has transferred substantially all the risks and rewards of the asset, or

(b) The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of;

- (a) the consideration received (including any new asset obtained less any new liability assumed) and
- (b) any cumulative gain or loss that had been recognized in other comprehensive income is recognized in profit or loss.

2.8.6.4 Fair value measurement

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, then the company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length

transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses.

If the fair value cannot be measured reliably, these financial instruments are measured at cost, being the fair value of the consideration paid for the acquisition of the investment or the amount received on issuing the financial liability. All transaction costs directly attributable to the acquisition are also included in the cost of the investment.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. The fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. Without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognized in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

2.8.6.5 Impairment of financial assets

The company assesses at each reporting date whether a financial asset or group of financial assets is impaired.

The company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment.

(a) Assets carried at amortized cost

If there is objective evidence that an impairment loss on assets carried at amortized cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Income Statement.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognized,

the previously recognized impairment loss is reversed. Any subsequent reversal of an impairment loss is recognized in the Income Statement, to the extent that the carrying value of the asset does not exceed its amortized cost at the reversal date.

(b) Available for sale financial asset

For available-for-sale financial investments, the company assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortized cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortized cost and the current fair value, less any impairment loss on that investment previously recognized in the income statement.

Future interest income continues to be accrued based on the reduced carrying amount of the asset and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Investment Income'. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in the income statement, the impairment loss is reversed through the income statement.

2.8.7 Reinsurance contracts

The company cedes insurance risk in the normal course of business to recognized reinsurers through formal reinsurance arrangements.

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance is recorded gross in the Statement of Financial Position unless a right to offset exists. Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the company will receive from the reinsurer. The impairment loss, if any is recorded in the income statement.

Ceded reinsurance arrangements do not relieve the company from its obligations to policyholders.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

NOTES TO THE FINANCIAL STATEMENTS

Reinsurance assets or liabilities are derecognized when the contractual rights are extinguished or expire or when the contract is transferred to another party.

2.8.8 Premium receivable

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost, using the effective interest rate method. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the income statement.

Life insurance premiums (only the premiums due in the 60-day grace period) are recognized at each reporting date and will be reversed if the premiums are not settled during the subsequent month, and thus the policies will be lapsed as per the company policy.

2.8.9 Cash and cash equivalents

Cash and cash equivalents comprise cash in hand, deposits held at call with banks and other short-term highly liquid financial instruments.

2.8.10 Insurance contract liabilities

2.8.10.1 Life insurance contract liabilities

Life insurance liabilities are recognized when contracts are entered into and premiums are charged. These liabilities are measured by using the gross premium valuation, which cash flows discounted using the best estimate investment returns. All other assumptions are at best estimate with risk margins as per RBC basis.

2.8.10.2 Liability adequacy test for financial reporting

As required by the SLFRS 4 - Insurance Contracts, the company performed a Liability Adequacy Test (LAT) in respect of life insurance contract liabilities with the assistance of an external qualified actuary. In performing the adequacy test, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses, policyholder options and guarantees, as well as investment income from assets backing such liabilities, are used. If that assessment that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognized in the Statement of Income by creating an additional provision in the Statement of Financial Position.

2.8.11 Financial liabilities

2.8.11.1 Initial recognition and measurement

Financial liabilities within the scope of LKAS 39 are classified as financial liabilities at fair value through profit or loss or loans and borrowings as appropriate. The company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings, carried at amortized cost. This includes directly attributable transaction costs.

2.8.11.2 Subsequent measurement

The measurement of financial liabilities depends on their classification as follows.

(a) Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. Gains or losses on liabilities held for trading are recognized in the statement of income. The company has not designated any financial liabilities upon initial recognition as fair value through profit or loss.

(b) Other financial liabilities

Loans and borrowings are carried at amortized cost after initial recognition.

2.8.11.3 De recognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires.

2.8.12 Employee benefits

(a) Defined benefit plan – gratuity

Gratuity is a defined benefit plan. The company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which a liability to pay gratuity arises only on completion of 5 years of continued service. In order to meet this liability, a provision is carried forward in the statement of financial position as per Sri Lanka Accounting Standard LKAS 19 Employee Benefits. The actual valuation involves making assumptions about discount rate, salary increment rate and balance service period of employees and projected unit credit method has been applied for the valuation. Due to the long term nature of plans such estimates are subject to significant uncertainty.

The re-measurement of the net defined benefit liability, which comprises actuarial gains and losses are recognized immediately in other comprehensive income. Interest cost and current service cost are recognized in profit or loss.

(b) Defined contribution plans – employees' provident fund and employees' trust fund

Employees are eligible for employees' provident fund contribution and employees' trust fund contributions in line with the respective statutes and regulations. The company contributes a defined percentage of gross emoluments of employees to an approved provident fund and to the employees' trust fund respectively.

2.8.13 Insurance payables

Insurance payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

2.8.14 Lease creditors

2.8.14.1 Initial recognition and measurement

At the commencement lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined using the company's incremental borrowing rate.

2.8.14.2 Subsequent measurement

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is premeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

2.8.15 Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating

to any provision is presented in the income statement net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.8.16 Equity movement

2.8.16.1 Stated capital

The company has issued ordinary shares that are classified as equity instruments. Incremental external costs that are directly attributable to the issue of these shares are recognised in equity, net of tax.

2.8.16.2 Dividends on ordinary share capital

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the company's shareholders. Interim dividends are deducted from equity when they are paid.

Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

2.8.17 Revenue recognition

(a) Gross premium

Gross recurring premiums on life are recognized as revenue when payable by the policyholder. For single premium business revenue is recognized on the date on which the policy is effective.

(b) Reinsurance premium

Gross reinsurance premiums on insurance contracts are recognized as an expense on the earlier of the date when premiums are payable or when the policy becomes effective. Reinsurance premiums are decided based on rates agreed with reinsurers.

(c) Fees and commission income

Insurance and investment contract policyholders are charged for policy administration services and other contract fees. These fees are recognized as revenue upon receipt or becoming due.

(d) Investment income

Interest incomes for all interest-bearing financial are recognized within 'investment income' in the income statement using the effective interest rate method. When a receivable is impaired, the company reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at the original effective interest rate of the instrument, and continues unwinding the discount as interest income.

NOTES TO THE FINANCIAL STATEMENTS

2.8.18 Benefits, claims & expenses recognition

(a) Gross benefits and claims

Gross benefits and claims for life insurance contracts include the cost of all claims arising during the year, including internal and external claims handling costs that are directly related to the processing and settlement of claims. Death claims are recorded on the basis of notifications received.

Changes in the valuation of insurance contract liabilities are recognized in the income statement.

(b) Reinsurance claim recoveries

Reinsurance claims are recognized when the related gross insurance claim is recognized according to the terms of the relevant contract.

(c) Expenses recognition

Expenses are recognized in the statement of income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Statement of Income.

(d) Income tax

Income tax expense comprises current and deferred tax. Current and deferred taxes are recognized in profit or loss except to the extent that it relates to items recognized in the Other Comprehensive Income or directly in equity, when it is recognized in the OCI equity respectively.

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. Provision for taxation is based on the profit for the year adjusted for Taxation purposes in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017.

Current income tax assets and liabilities also include adjustments for tax expected to be payable or recoverable in respect of previous periods.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions, where appropriate.

2.8.19 Cash flows statement

The Cash Flows Statement has been prepared using the indirect method of preparing cash flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7, Cash Flow Statements.

Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalents include cash in-hand, balances with banks and short-term deposits with banks.

2.8.20 Standards issued but not yet effective

The following standards have been issued and are effective for annual period beginning after 01 January 2020. Further, early adoption was permitted with the transitional rules. However, these standards have not been applied to these financial statements.

SLFRS 9 – Financial instruments

The standard became effective for the annual periods beginning on or after 1 January 2018.

The company met the eligibility criteria for temporary exemption under the amendments to SLFRS 4 from applying SLFRS 9 in 2018 and has accordingly deferred the adoption of SLFRS 9 until SLFRS 17, 'Insurance Contracts' is adopted upon its mandatory effective date.

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and de recognition of financial instruments from LKAS 39.

SLFRS 9 is effective for Annual Reporting periods beginning on or after 1st January 2018, with early adoption permitted.

Temporary exemption from SLFRS 9

An Insurer may apply the temporary exemptions from SLFRS 9 if, and only if:

- (a) It has not previously applied any version of SLFRS 9, other than only the requirements for the presentation of gains and losses on financial liabilities designated as at Fair Value through profit or loss and;
- (b) Its activities are predominantly connected with insurance, at its Annual Reporting date that immediately precedes 1st April 2016, or at a subsequent Annual Reporting date.

As the company's activities are predominantly connected with insurance and it has not previously applied any version of SLFRS 9 as indicated above, the company will be eligible for the temporary exemption from applying SLFRS 9.

Financial Assets

SLFRS 9 has introduced new classification and measurement approach for financial assets based on the characteristics of cash flows of financial asset and the business model in which assets are managed. Accordingly, SLFRS 9 includes three principal classification categories to financial assets.

- **Amortised cost** – The financial assets held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and the contractual terms of the financial asset gives rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- **Fair value through other comprehensive income (FVTOCI)** – The financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- **Fair value through profit or loss** - The financial asset which has not identified as amortize cost or fair value through other comprehensive income.

LKAS 09 replaces the existing four categories under LKAS 39 of held to maturity (HTM), loans and receivables (L&R), fair value through profit or loss (FVTPL) and available for sale (AFS).

Impact Assessment

The SLFRS 09 has following changes in classification and measurement of financial assets compared to LKAS 39.

- The equity investment securities that are classified as fair value through profit or loss (FVTPL) under LKAS 39, will be remained under FVTPL and measured at fair value.
- Debt investment securities that are classified as available for sale under LKAS 39, may classified as fair value through other comprehensive income under SLFRS9, or be classified at amortised cost and measured at fair value / amortised cost respectively.
- Held to maturity investment securities measured at amortised cost under LKAS 39 will be measured at amortised cost under SLFRS 9.
- Loans and receivables measured at amortised cost under LKAS 39 will also be measured at amortised cost under SLFRS 9.
- Trading assets and derivative assets held for risk management, which are classified as held for trading and measured at fair value under LKAS 39, will also be measured at fair value under SLFRS 9.

Impairment – Financial Assets

SLFRS 9 has replaced the “Incurred loss” model which is introduced by LKAS 39, by introducing “Expected Credit Loss” (ECL) model. In this impairment of financial assets is recognized under 3 stages.

- **Stage 01** - As soon as a financial instrument is originated or purchased, 12-month expected credit losses are recognised in profit or loss and a loss allowance is established. This serves as a proxy for the initial expectations of credit losses. For financial assets, interest is calculated on the gross carrying amount (i.e without deduction for expected credit losses).
- **Stage 02** – If the credit risk increases significantly and is not considered low, full lifetime expected credit losses are recognised in profit or loss. The calculation of interest is the same as for Stage 1. (Gross carrying amount)
- **Stage 03** - If the credit risk of a financial asset increases to the point that it is considered credit-impaired, interest is calculated based on the amortised cost (i.e the gross carrying amount less the loss allowance which is the net carrying amount). Financial assets in this stage will generally be assessed individually.

This will be required considerable judgement over how changes in economic factors affect to Expected Credit Loss (ECL), which will be determined on a probability weighted basis.

Financial liabilities

Under LKAS 39 all fair value changes of liabilities designated as at FVTPL are recognized in profit or Loss, whereas under SLFRS 9 the amount of change in the fair value that is attributed to changes in the credit risk of the liability is presented in Other Comprehensive Income and the remaining amount of change in the fair value is presented in profit or Loss.

2.8.20.1 SLFRS 17 – Insurance contracts

SLFRS 17 will replace SLFRS 4 on accounting for insurance contracts and will be effective from 1 January 2021. SLFRS 17 is effective for Annual Reporting periods beginning on or after 1 January 2023. Earlier application is permitted if both SLFRS 15 ‘Revenue from contracts with customers’ and SLFRS 9 ‘Financial instruments’ have also been applied.

SLFRS 17 Insurance contracts establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the standard. The objective of SLFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of Financial Statements to assess the effect that insurance contracts have on the entity's financial position, financial performance and cash flows.

NOTES TO THE FINANCIAL STATEMENTS

This standard allows to recognise a group of insurance contracts it issues from the earliest of the following:

- (a) the beginning of the coverage period;
- (b) the date when the first payment from a policyholder becomes due; and
- (c) when the group becomes onerous if facts and circumstances indicate that there is such a group.

SLFRS – 17 has introduced three measurement approaches;

1. Building block approach (BBA)

On initial recognition, an entity shall measure a group of contracts at the total of:

- a) the amount of fulfilment cash flows ("FCF"), which comprise; estimates of future cash flows, an adjustment to reflect the time value of money ("TVM") and the financial risks associated with the future cash flows and risk adjustment for non-financial risk.
- b) the contractual service margin ("CSM")

The CSM represents the unearned profit of the group of insurance contracts that the entity will recognise as it provides services in the future. This is measured on initial recognition of a group of insurance contracts at an amount that, unless the group of contracts is onerous, results in no income or expenses arising from:

 - the initial recognition of an amount for the FCF
 - the derecognition at that date of any asset or liability recognised for acquisition cash flows; and;
 - any cash flows arising from the contracts in the group at that date.

2. Premium allocation approach (PAA)

An entity may simplify the measurement of the liability for remaining coverage of a group of insurance contracts using the Premium Allocation Approach (PAA) on the condition that, at the inception of the group:

- (a) the entity reasonably expects that this will be a reasonable approximation of the General Model, or
- (b) the coverage period of each contract in the group is one year or less.

Where, at the inception of the group, an entity expects significant variances in the FCF during the period before a claim is incurred, such contracts are not eligible to apply the PAA.

Using the PAA, the liability for remaining coverage shall be initially recognised as the premiums, if any, received at initial recognition, minus any insurance acquisition cash flows. Subsequently the carrying amount of the liability is the carrying amount at the start of the reporting period plus the premiums received in the period, minus insurance acquisition cash flows, plus amortisation of acquisition cash flows, minus the amount recognised as insurance revenue for coverage provided in that period, and minus any investment component paid or transferred to the liability for incurred claims.

3. Variable fee approach (VFA)

Insurance contracts with direct participation features apply a modified version of the general model called the variable fee approach. One of the concerns that respondents had with the application of the general model to insurance contracts with participation features was that it could result in the reporting of artificial volatility in profit or loss. This volatility could arise from a mismatch between the accounting treatment of investment gains and losses on underlying items attributable to policyholders, and the accounting treatment of the liability to those policyholders. The requirement in the general model to report the impacts of all changes in financial assumptions in comprehensive income (rather than by adjusting the CSM) was also considered to create artificial profit volatility in cases where the returns from underlying items would be paid to policyholders. The variable fee approach therefore addresses these concerns by adjusting the general model.

Discount rates

The discount rates applied to the estimate of cash flows shall:

- (a) reflect the time value of money (TVM), the characteristics of the cash flows and the liquidity characteristics of the insurance contracts;
- (b) be consistent with observable market prices of those financial instruments whose cash flow characteristics are consistent with those of the insurance contracts; and
- (c) exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts

Risk adjustment for non-financial risk

The estimate of the present value of the future cash flows is adjusted to reflect the compensation that the entity requires for bearing the uncertainty about the amount and timing of future cash flows that arises from non-financial risk.

Subsequent measurement

On subsequent measurement, the carrying amount of a group of insurance contracts at the end of each reporting period shall be the sum of:

- (a) the liability for remaining coverage comprising the FCF related to future services and the CSM of the group at that date;
- (b) the liability for incurred claims, comprising the FCF related to past service allocated to the group at that date.

Onerous contracts

An insurance contract is onerous at initial recognition if the total of the FCF, any previously recognised acquisition cash flows and any cash flows arising from the contract at that date is a net outflow. An entity shall recognise a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the FCF and the CSM of the group being zero.

On subsequent measurement, if a group of insurance contracts become onerous (or more onerous), that excess shall be recognised in profit or loss. Additionally, CSM cannot increase and no revenue can be recognised, until the onerous amount previously recognised has been reversed in profit or loss as part of a service expense.

Modification and de-recognition

Modification of an insurance contract

If the terms of an insurance contract are modified, an entity shall derecognise the original contract and recognise the modified contract as a new contract if there is a substantive modification, based on meeting any of the specified criteria.

The modification is substantive if any of the following conditions are satisfied:

- (a) if, had the modified terms been included at contract's inception, this would have led to:
 - I. exclusion from the Standard's scope;
 - II. unbundling of different embedded derivatives;
 - III. redefinition of the contract boundary; or
 - IV. the reallocation to a different group of contracts; or
- (b) if the original contract met the definition of a direct participating insurance contracts, but the modified contract no longer meets that definition, or vice versa; or
- (c) the entity originally applied the PAA, but the contract's modifications made it no longer eligible for it.

De-recognition

An entity shall de-recognise an insurance contract when it is extinguished, or if any of the conditions of a substantive modification of an insurance contract are met.

Transition

An entity shall apply the standard retrospectively unless impracticable, in which case entities have the option of using either the modified retrospective approach or the fair value approach.

Under the modified retrospective approach, an entity shall utilise reasonable and supportable information and maximise the use of information that would have been used to apply a full retrospective approach, but need only use information available without undue cost or effort. Under this approach the use of hindsight is permitted, if that is the only practical source of information for the restatement of prior periods.

Under the fair value approach, an entity determines the CSM or the loss component at the transition date as the difference between the fair value of a group of insurance contracts at that date and the FCF measured at that date. Using this approach, on transition entity has a choice need for annual groups.

At the date of initial application of the Standard, those entities already applying SLFRS 9 may retrospectively re-designate and reclassify financial assets held in respect of activities connected with contracts within the scope of the standard.

Entities can choose not to restate SLFRS 9 comparatives with any difference between the previous carrying amount of those financial assets and the carrying amount at the date of initial application recognised in the opening equity at the date of initial application. Any restatements of prior periods must reflect all the requirements of SLFRS 9.

NOTES TO THE FINANCIAL STATEMENTS

3. NET WRITTEN PREMIUM

	2021	2020
	Rs.	Rs.
3. (a) Gross premium on insurance contracts		
First year premium	1,374,826,069	964,188,712
Renewal premium	869,854,316	810,377,849
Group premium	66,952,545	61,533,700
Total gross written premium	2,311,632,930	1,836,100,261
3. (b) Premium ceded to reinsurers on insurance contracts		
Conventional policies	103,292,315	91,424,657
Total premium ceded to reinsurers	103,292,315	91,424,657
Total net written premium	2,208,340,615	1,744,675,604

4. FEES AND COMMISSION INCOME

	2021	2020
	Rs.	Rs.
Policyholder administration fees	45,547,057	34,222,629
Total fees and commission income	45,547,057	34,222,629

5. INVESTMENT INCOME

	2021	2020
	Rs.	Rs.
Interest income		
Financial assets - available for sale	33,750,000	58,742,119
Financial assets - loans and receivables	219,909,968	194,647,224
Financial assets - held to maturity	2,546,009	-
Total investment income	256,205,977	253,389,343

6. FAIR VALUE GAINS

	2021	2020
	Rs.	Rs.
Fair value gain	870,338	-
Total fair value gains	870,338	-

7. OTHER OPERATING REVENUE

	2021	2020
	Rs.	Rs.
Other operating revenue	7,149,084	9,039,175
Total other operating revenue	7,149,084	9,039,175

8. NET BENEFITS AND CLAIMS

	2021	2020
	Rs.	Rs.

8. (a) Net insurance benefits and claims paid

Gross benefits and claims paid

Hospitalization	109,352,359	61,099,008
Death	17,055,620	11,126,538
Policy surrender	354,406,147	234,777,134
Policy maturities	146,895,685	118,057,890
	627,709,811	425,060,570

Claims ceded to reinsurers

Hospitalization	(51,797,770)	(23,699,595)
Death	(2,773,700)	(6,307,500)
	(54,571,470)	(30,007,095)

Total net insurance benefits and claims paid

	573,138,341	395,053,475
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8. (b) Net change in insurance claims outstanding

Gross change in contract liabilities

Hospitalization	3,095,354	24,244,886
Death	20,940,301	3,411,216
Policy maturities	15,505,872	-
	39,541,527	27,656,102

Change in contract liabilities ceded to reinsurers

Hospitalization	(8,373,895)	(19,700,542)
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Total net change in insurance claims outstanding

	31,167,632	7,955,560
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Total net benefits and claims

	604,305,973	403,009,035
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9. UNDERWRITING AND NET ACQUISITION COSTS

	2021	2020
	Rs.	Rs.
Underwriting and net acquisition costs	753,929,519	418,946,461
	753,929,519	418,946,461

NOTES TO THE FINANCIAL STATEMENTS

10. OTHER OPERATING AND ADMINISTRATIVE EXPENSES

	Note	2021 Rs.	2020 Rs.
Employee benefits expenses	10. (a)	492,637,228	356,686,635
Administration & establishment expenses		107,050,878	139,582,133
Selling expenses		54,420,591	42,392,843
Depreciation on property and equipment		26,785,272	24,267,478
Depreciation for right of use assets		51,728,682	50,681,292
Finance cost on lease creditors		23,772,003	21,892,453
Amortisation of intangible assets		291,587	262,500
Audit fees and expenses		3,000,000	2,210,886
Other cost		3,866,317	6,759,450
Total other operating and administrative expenses		763,552,558	644,735,670
10. (a) Employee benefits expense			
Wages and salaries including bonus & incentives		445,704,614	322,478,236
Contributions to employee benefit obligation plans		3,734,832	3,916,326
Employees' provident fund		34,531,684	24,260,285
Employees' trust fund		8,666,098	6,031,788
Total employee benefits expenses		492,637,228	356,686,635

11. INCOME TAX EXPENSE

The major components of income tax expense for the year ended 31st December are as follows:

	Note	2021 Rs.	2020 Rs.
11. (a) Current year tax charge			
Current income tax			
Income tax on current year's profit		-	-
Over/under provision of income taxes		-	-
Provision for tax credits (Notional tax)		-	-
Total current income tax		-	-
Deferred income tax			
Deferred tax asset	11 (d) (i)	(100,680,805)	(77,918,674)
Deferred taxation		(100,680,805)	(77,918,674)
Total income tax expense		(100,680,805)	(77,918,674)

	2021	2020
	Rs.	Rs.
11. (b) Reconciliation of tax charge		
Profit before tax	337,381,541	278,594,912
At the statutory income tax rate of 24%	80,971,570	78,006,575
Income exempt from tax	-	-
Disallowable expenses	-	-
Utilization of previous tax losses	(80,971,570)	(78,006,575)
Provision for tax credit (Notional tax)	-	-
Origination /(Reversal) of deferred tax assets	(100,680,805)	(77,918,674)
Income tax expense	(100,680,805)	(77,918,674)

The company is liable to pay income tax at the rate of 24% of its taxable profits in accordance with the provisions of the Inland Revenue Act No. 24 of 2017.

	2021	2020
	Rs.	Rs.
11. (c) Tax loss analysis		
Balance as at 1st January	491,642,537	769,923,513
Tax losses utilised during the year	(337,562,933)	(278,280,976)
Balance as at 31st December	154,079,604	491,642,537
11. (d) Deferred taxation		
Deferred tax asset	11 (d) (i) 36,979,105	137,659,910
Deferred tax asset	36,979,105	137,659,910

11. (d) (i)

	Statement of Financial Position				Profit or Loss	
	2021		2020		2021	2020
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
	Temporary Difference	Tax Effect Assets/ (Liability) at 24%	Temporary Difference	Tax Effect Assets/ (Liability) at 28%	Change in Deferred Tax Assets/ (Liability)	Change in Deferred Tax Assets/ (Liability)
Deferred tax asset						
Brought forward tax losses	154,079,604	36,979,105	491,642,537	137,659,910	(100,680,805)	(77,918,674)
Total	154,079,604	36,979,105	491,642,537	137,659,910	(100,680,805)	(77,918,674)

NOTES TO THE FINANCIAL STATEMENTS

The Inland Revenue (Amendment) Act was passed in Parliament on 04th May 2021 and certified by the Honorable Speaker on 13th May 2021. Accordingly, the income tax rate of 28% was reduced to 24%. Both income tax and deferred tax provisions for the year ended 31st December 2020 were calculated at the rate of 28% on the basis that the said amendment was not considered to be "substantially enacted" as at 31st December 2020 as per LKAS 12.

Accordingly, the company has applied 24% for the computation of current and deferred tax for the year ended 31st December 2021. Further, current tax liability for the taxable period commencing on or after 01st January 2020 and net deferred tax asset outstanding as at 31st December 2020 were reassessed at 24%. As such, the company accounted for current tax and deferred tax for the year 2021 in accordance with the guideline issued by CA Sri Lanka on the "Application of Tax Rates in Measurement of Current Tax and Deferred Tax in LKAS 12" dated 23rd April 2021.

12. EARNINGS PER SHARE

Basic earnings per share amount is calculated the net profit for the year attributable to ordinary shareholders of the company by dividing the weighted average number of ordinary shares outstanding at the reporting date.

	2021	2020
	Rs.	Rs.
Profit for the year	236,700,736	200,676,238
Weighted average number of ordinary shares (Nos)	66,230,407	66,230,407
Basic earnings per ordinary share Rs.	3.57	3.03

12.1 Weighted average number of ordinary shares

	2021	2020
Ordinary shares at the beginning of the year	66,230,407	66,230,407
Ordinary shares at the end of the year	66,230,407	66,230,407

13. PROPERTY, PLANT AND EQUIPMENT

Cost	Office Equipment	Furniture & Fittings	Computer	Motor Vehicle	Total
	Rs.	Rs.	Rs.	Rs.	Rs.
As at 1 January 2021	25,425,853	84,112,384	45,857,982	5,800,000	161,196,219
Additions	4,084,923	13,414,267	9,077,802	-	26,576,992
Disposals	-	-	-	-	-
As at 31 December 2021	29,510,776	97,526,651	54,935,784	5,800,000	187,773,211
Accumulated depreciation					
As at 1 January 2021	16,634,092	49,477,826	31,480,750	4,543,333	102,136,001
Depreciation charge for the year	4,231,299	14,432,347	8,121,626	1,160,000	27,945,272
Disposals	-	-	-	-	-
As at 31 December 2021	20,865,391	63,910,173	39,602,376	5,703,333	130,081,273
Carrying amount					
As at 31 December 2021	8,645,385	33,616,478	15,333,408	96,667	57,691,938
As at 1 January 2021	8,791,761	34,634,558	14,377,232	1,256,667	59,060,218

13.1 Acquisition of PPE during the year

During the financial year, the company acquired property, plant & equipment to the aggregate value of Rs. 26 Mn. (20 - Rs. 24 Mn.). Cash payments amounting to Rs. 26 Mn. (2020 - Rs. 24 Mn.) were made during the year to purchase of property, plant & equipment.

13.2 PPE pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities during the year. (2020 - Nil)

13.3 Temporarily idle property, plant and equipments

There were no temporarily idle property as at the year ended 31st December 2021. (2020 - Nil)

13.4 Fully depreciated PPE in use

PPE includes fully depreciated assets which are in the use of normal business activities. The initial cost of fully depreciated PPE which are still in use as at reporting date, is as follows:

As at 31st December	2021 Rs.	2020 Rs.
Computer	23,509,802	13,447,537
Furniture	24,946,859	18,193,428
Office Equipment	7,114,984	3,460,140
	55,571,645	35,101,105

14. RIGHT OF USE ASSETS

	2021 Rs.	2020 Rs.
Opening as at 1st January	137,336,423	119,555,926
Additions of right of use assets during the period	45,855,611	68,299,950
Net depreciation for the period	(65,197,669)	(61,586,962)
Advance payment for leases	11,681,052	11,067,509
Closing right of use asset balance as at 31st December	129,675,417	137,336,423
Lease depreciation	(51,728,682)	(50,681,292)
Amortisation of advance	(13,468,987)	(10,905,670)
	(65,197,669)	(61,586,962)
Lease Creditors		
Opening as at 1st January	155,319,117	128,171,022
Additions during the period	45,855,611	68,299,950
Finance cost recognised in profit and loss	23,772,003	21,892,453
Lease payments	(67,503,371)	(63,044,308)
Closing lease creditors balance as at 31st December	157,443,360	155,319,117

NOTES TO THE FINANCIAL STATEMENTS

15. INTANGIBLE ASSETS

Computer software	2021	2020
Cost	Rs.	Rs.
Balance as at 1st January	1,020,000	1,020,000
Acquisition/Capitalisation during the year	465,400	-
Disposal during the year	-	-
Balance as at 31st December	1,485,400	1,020,000
Accumulated amortisation		
As at 1st January	606,969	344,469
Amortisation charge for the year	291,587	262,500
Disposals	-	-
As at 31st December	898,556	606,969
Carrying amount		
As at 31st December	586,844	413,031
As at 1st January	413,031	675,531

15.1 Acquisition of intangible assets during the year

During the financial year, the Company acquired intangible assets to the aggregate value of Rs. 0.46 Mn. (2020 - Nil). Cash payments amounting to Rs. 0.46 Mn. (2021 - Nil) were made during the year to purchase of intangible assets.

15.2 Fully amortised intangible assets in use

There were no fully amortized intangible assets in use as at reporting date.

15.3 Title restriction on intangible assets

There were no restrictions that existed on the title of the intangible assets of the company as at the reporting date.

15.4 Assessment of impairment of intangible asset

The board of directors has assessed potential impairment indicators of intangible assets as at 31st December 2021. based on the assesment, no impairment indicators were identified.

16. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	2021	2020
	Rs.	Rs.
Loans and receivables	2,624,851,025	2,304,767,644
Available-for-sale financial assets	544,769,901	377,708,810
Held to maturity	224,603,509	-
Fair value through profit or loss	75,870,338	-
Total	3,470,094,773	2,682,476,454

The following table consists of the fair values of the financial investments together with their carrying values.

	Note	2021		2020	
		Carrying Value	Fair Value	Carrying Value	Fair Value
		Rs.	Rs.	Rs.	Rs.
Loans and receivables	16. (a)	2,624,851,025	2,624,851,025	2,304,767,644	2,304,767,644
Available-for-sale financial assets	16. (b)	544,769,901	544,769,901	377,708,810	377,708,810
Held to maturity	16. (c)	224,603,509	224,603,509	-	-
Fair value through profit or loss	16. (d)	75,870,338	75,870,338	-	-
Total financial instruments		3,470,094,773	3,470,094,773	2,682,476,454	2,682,476,454

16. (a) Loans and receivables

As at 31st December	2021	2020
	Rs.	Rs.
Investment in corporate debt	1,040,967,995	818,008,327
Investment in fixed deposit	412,220,600	338,372,328
Investment in repos	1,062,259,234	1,087,364,523
Investment in RPAF loan	100,000,000	101,022,466
Investment in Treasury bills	49,403,196	-
	2,664,851,025	2,344,767,644
Provision for impairment	(40,000,000)	(40,000,000)
	2,624,851,025	2,304,767,644

16. (b) Available for sale financial assets

	2021	2020
	Rs.	Rs.
Treasury bonds	310,854,332	377,708,810
Investment in quoted shares	233,915,569	-
	544,769,901	377,708,810

16. (c) Held to Maturity

	2021	2020
	Rs.	Rs.
Treasury bonds	224,603,509	-
	224,603,509	-

16. (d) Fair value through profit or loss

	2021	2020
	Rs.	Rs.
Investment in unit trust	75,870,338	-
	75,870,338	-

NOTES TO THE FINANCIAL STATEMENTS

16. (e) Carrying values of financial instruments

The movement of carrying value of above financial instruments as of reporting date is as follow;

	Loans and Receivables	Available- For-Sale	Held to Maturity	Fair Value Through Profit or Loss	Total
	Rs.	Rs.	Rs.	Rs.	Rs.
At 1st January 2020	2,045,369,823	331,579,079	-	-	2,376,948,902
Purchases	50,996,206,798	-	-	-	50,996,206,798
Maturities	(50,762,670,680)	-	-	-	(50,762,670,680)
Disposals	-	-	-	-	-
Fair value gains recorded in other comprehensive income	-	46,129,731	-	-	46,129,731
Amortisation adjustment/Accrued Interest	25,861,703	-	-	-	25,861,703
At 1st January 2021	2,304,767,644	377,708,810	-	-	2,682,476,454
Purchases	89,975,818,194	260,461,219	222,057,500	75,000,000	90,533,336,913
Maturities	(89,841,065,789)	-	-	-	(89,841,065,789)
Disposals	-	-	-	-	-
Fair value gains recorded in other comprehensive income	-	(93,400,128)	-	-	(93,400,128)
Amortisation adjustment/Accrued Interest	185,330,976	-	2,546,009	870,338	188,747,323
At 31 December 2021	2,624,851,025	544,769,901	224,603,509	75,870,338	3,470,094,773
	2,624,851,025	544,769,901	224,603,509	75,870,338	3,470,094,773

16. (f) Fair value of financial assets and liabilities not carried at fair value

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements (i.e., held to maturity and loans and receivables).

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short-term maturity (less than three months), it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity. For other variable rate instruments an adjustment is also made to reflect the change in required credit spread since the instrument was first recognised.

Fixed rate financial instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing money-market interest rates for debts with similar credit risk and maturity. For quoted debt issued the fair values are determined based on quoted market prices. For those notes issued where quoted market prices are not available, a discounted cash flow model is used based on a current interest rate yield curve appropriate for the remaining term to maturity and credit spreads.

16. (g) Determination of fair value and fair values hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1 : quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2 : valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 : valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

During the reporting period 31st December 2021 and 2020, there were no transfer between level 1 and level 3 fair value measurement.

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

31st December 2021	Level 1	Level 2	Level 3	Total Fair Value
	Rs.	Rs.	Rs.	Rs.
Available for Sale Financial Assets	-	544,769,901	-	544,769,901
Fair Value Through Profit or Loss	75,870,338	-	-	75,870,338
	75,870,338	544,769,901	-	620,640,239

31st December 2020	Level 1	Level 2	Level 3	Total Fair Value
	Rs.	Rs.	Rs.	Rs.
Available for Sale Financial Assets	-	331,579,079	-	331,579,079
	-	331,579,079	-	331,579,079

17. LOANS TO LIFE POLICYHOLDERS

	2021	2020
	Rs.	Rs.
Movement of policy loan		
Balance as at 1st January	334,326,999	247,870,551
Loans granted during the year	111,032,650	114,707,665
Repayments during the year	(83,064,668)	(28,251,217)
Balance as at 31st December	362,294,981	334,326,999
Interest receivable	63,230,394	55,367,263
Total loans to life policyholders	425,525,375	389,694,262

17.1 Credit exposure on policy loan

The surrender value of the policies for which policy loans have been granted as at 31st December 2021 amounted to Rs. 509.5 Mn. (2020 Rs. 411.4 Mn.).

If the total receivable of the loan, including interest due and accrued, exceeds the cash surrender value, the policy terminates and becomes void. The company has a first lien on all policies which are subjected to policy loans.

This mitigates the company's credit exposure on policy loans.

The company grants policy loans at a rate equivalent to the market rate, hence initial recognition is at fair value.

NOTES TO THE FINANCIAL STATEMENTS

17.2 Impairment losses on loans to life policyholders

Potential impairment loss of loans to life policyholders as at 31st December 2021. Based on the assessment, no impairment provision is required to be made in the financial statements as at the reporting date in respect of loans to life policyholders.

18. REINSURANCE RECEIVABLES

Year ended 31st December	2021	2020
	Rs.	Rs.
Reinsurance receivable on outstanding claims	8,373,896	7,170,413

18.1 Impairment losses on reinsurance receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31st December 2021. Based on the assessment, no impairment provision is required to be made in the financial statements as at the reporting date in respect of reinsurance receivables. Please refer Note No. 31.3 (b) for reinsurance rating analysis.

19. AMOUNTS DUE FROM RELATED PARTIES

Year ended 31st December	Note	2021	2020
		Rs.	Rs.
Amounts due from related companies	19. (a)	12,002,002	6,448,559

19. (a)

Related Party	Relationship	2021	2020
		Rs.	Rs.
Richard Pieris & Company PLC	Ultimate Parent	7,192,641	-
Richard Pieris Distributors PLC	Fellow Subsidiary	4,809,361	6,448,559
		12,002,002	6,448,559

20. PREMIUM RECEIVABLE

Year ended 31st December	2021	2020
	Rs.	Rs.
Premium receivable from policyholders	62,470,094	30,808,290

21. OTHER ASSETS

Year ended 31st December	2021	2020
	Rs.	Rs.
Advances, deposits & prepayments	22,857,980	16,310,070
Taxation receivable	31,385,102	31,385,102
Inventories	8,579,605	8,179,801
	62,822,687	55,874,973

22. CASH AND CASH EQUIVALENTS

Year ended 31st December	2021	2020
	Rs.	Rs.
Cash in hand	629,141	568,027
Short term investments	149,386,043	667,980,165
Total cash and cash equivalent balance	150,015,184	668,548,192

23. FINANCIAL INSTRUMENTS

23.1 Financial assets and liabilities by categories

Financial assets and liabilities in the tables below are split into categories in accordance with LKAS 39.

Financial assets by categories

As at 31st December	Loans and Receivables		Available-for-Sale Financial Assets	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Financial investments	2,624,851,025	2,304,767,644	544,769,901	377,708,810
Loans to life policyholders	425,525,375	389,694,262	-	-
Premium receivable	62,470,094	30,808,290	-	-
Reinsurance receivable	8,373,896	7,170,413	-	-
Amounts due from related parties	12,002,002	6,448,559	-	-
Cash and cash equivalents	150,015,184	668,548,192	-	-
Total	3,283,237,576	3,407,437,360	544,769,901	377,708,810

Financial Liabilities by Categories	Financial Liabilities Measured at Amortised Cost	
As at 31st December	2021	2020
	Rs.	Rs.
Reinsurance creditors	70,001,400	85,918,647
Amounts due to related parties	2,105,460	16,573,459
Financial liabilities	107,718,526	79,190,578
Total	179,825,386	181,682,684

The management assessed that cash and short-term deposits, amount due from related parties, reinsurance receivables, premium receivables, reinsurance creditors, amount due to related parties, financial liabilities and bank overdrafts approximate their carrying amounts largely due to the short-term maturities of these instruments.

24. STATED CAPITAL

Fully Paid Ordinary Shares	2021		2020	
	Nos.	Rs.	Nos.	Rs.
At the beginning of the year	66,230,407	675,564,870	66,230,407	675,564,870
Additions / New Shares	-	-	-	-
At the end of the year	66,230,407	675,564,870	66,230,407	675,564,870

NOTES TO THE FINANCIAL STATEMENTS

25. INSURANCE CONTRACT LIABILITIES

	2021	2020
	Rs.	Rs.
Balance as at 01st January	1,904,914,105	1,562,743,701
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	326,446,805	495,077,703
Surplus transferred from/(to) shareholders	(267,503,325)	(199,037,030)
Increase in life insurance fund	58,943,480	296,040,673
Movement in AFS reserve transferred to life fund	(66,854,478)	46,129,731
Balance as at 31st December	1,897,003,107	1,904,914,105

Insurance contract liabilities – Life

The valuation of the Life Insurance business as at 31st December 2021 was assessed by Actuarial Partners Consulting Sdn Bhd. According to the actuarial valuation which is based on a distribution basis, the reserve amounted to Rs. 1,897 Mn. (2020 - 1,904 Mn) is adequate to cover the liabilities pertaining to the Life Insurance Business.

Long duration contract liabilities included in the life insurance fund, result primarily from traditional nonparticipating life insurance products. The actuarial reserves have been established based on gross premium valuation (GPV) with cash flows discounted using the best estimate investment return.

According to Solvency margin rules (Risk Based Capital) effective from 1st January 2016, Life Insurance Policy Liabilities are valued as per the Gross Premium Valuation (GPV) method. The change in the valuation method from Net Premium Valuation (NPV), which was applicable under the previous solvency margin rules and GPV as per the new rules resulted in a one off release in Liabilities. The external actuary, Actuarial Partners Consulting Sdn Bhd has reworked the one off surplus which is amounting to Rs. 320 Mn on the RBC basis. The one off surplus is applicable only for the non participating businesses. The company does not engage in participating business. As company has adopted a distribution basis for the insurance contract liability valuation, the one off surplus will not be transferred to the shareholder fund as a restricted reserve.

As per the valuation, the life insurance fund included in the financial statements exceed the required actuarial reserves by Rs. 267 Mn. as at 31st december 2021 before any transfers to shareholders. Accordingly based on the recommendations made by the actuary a sum of Rs. 267 Mn. has been transferred to shareholders fund from the life insurance fund in 2021.

Liability adequacy test (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Actuarial Partners, as at 31st December 2021 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, the company discounted all contractual cash flows and compared this amount with the carrying value of the liability. According to the consultant actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2021. No additional provision was required against the LAT as at 31st December 2021.

Key assumptions

The key assumptions used to estimate liability are as follows.

Mortality	The latest industry mortality table for male and female is used
Discount rate	The discount rates are derived based on the asset mix and expected rates of return of the Company. The cash flows are discounted using the best estimate expected fund return. This is derived based on the Company's expected return.
Inflation	Based on the weighted salary increment experience from Arpico and the expected inflation of Sri Lanka for non-salary expense.
Morbidity	Based on the company experience

Sensitivities

The following analysis provides the sensitivity of the life insurance liability due to possible movements in key assumptions with all other assumptions held constant, and shows the impact on gross liabilities.

31st December	Change in assumption	Impact on gross liabilities
		2021 %
Expenses	+10%	1.000
Mortality	+10%	0.030
Mortality	-10%	(0.002)
Discount Rate	+50 basis points	(0.070)
Discount Rate	-50 basis points	0.790

Impact of COVID-19 outbreak

There is no material impact on the insurance contract liabilities due to COVID-19 outbreak as at 31 December 2021 since insurance contract liabilities are determined by using the discount rate and methodology disclosed above.

26. EMPLOYEE BENEFIT OBLIGATION

	2021 Rs.	2020 Rs.
Gratuity benefit obligation		
Balance as at 1st January	14,743,507	11,452,108
Current service cost	3,072,722	2,771,115
Interest cost on benefit obligation	884,611	1,145,211
Past service cost	-	-
Gratuity paid/payable for those who left during the period	(2,373,226)	(938,863)
(Gain)/Loss arising from changes in assumptions	(181,391)	313,936
Balance as at 31st December	16,146,223	14,743,507
Expense recognised in the income statement		
Interest cost	884,611	1,145,211
Current service cost	3,072,722	2,771,115
Net actuarial (gain)/loss recognised immediately	(181,391)	313,936
Past service cost	-	-
Amount recognised in the income statement	3,775,942	4,230,262

The actuarial valuation for the gratuity liability was carried out as at 31 December 2021, by Mr. Poopalanathan, of M/S Acturial and Management Consultants (Pvt) Ltd.

26.1

Discount rate	9.30%	6.00%
Future salary increases	5%	5%
Retirement age	60 years	55 years

NOTES TO THE FINANCIAL STATEMENTS

26.2 Sensitivity analysis on discounting rate and salary increment rate to Statement of Financial Position and Comprehensive Income.

Assumption	Rate Change %	2021		2020	
		Impact to Financial Position – Increment/ (Reduction) of Liability (RS.)	Impact to Comprehensive Income – Charged/ (Reversal) (RS.)	Impact to Financial Position – Increment/ (Reduction) of Liability (RS.)	Impact to Comprehensive Income – Charged/ (Reversal) (RS.)
Discount rate	1%	(320,284)	(320,284)	(353,854)	(353,854)
Discount rate	-1%	335,837	335,837	373,050	373,050
Salary increment rate	1%	381,302	381,302	413,591	413,591
Salary increment rate	-1%	(369,574)	(369,574)	(398,959)	(398,959)

26.3 Maturity profile of defined benefit obligation

As at 31st December	2021	2020
	Rs.	Rs.
Less than one year	5,334,539	4,305,279
Between 1-2 years	6,998,298	5,641,326
Between 3-5 years	2,892,572	3,611,799
Beyond 5 years	920,814	1,185,104
	16,146,223	14,743,508

27. REINSURANCE CREDITORS

As at 31st December	2021	2020
	Rs.	Rs.
Munich Re	65,589,250	83,440,353
Hannover Re	4,412,150	2,478,294
	70,001,400	85,918,647

28. AMOUNTS DUE TO RELATED PARTIES

As at 31st December	Note	2021	2020
		Rs.	Rs.
Amounts due to related companies	28. (a)	2,105,460	16,573,459

28. (a)

Related Party	Relationship	2021	2020
		Rs.	Rs.
Richard Pieris & Company PLC	Ultimate Parent	-	13,814,529
Richard Pieris Distributors Limited	Fellow Subsidiary	1,749,847	1,929,500
Arpico Interiors	Fellow Subsidiary	179,475	642,212
Arpitech (Pvt) Ltd	Fellow Subsidiary	176,138	187,218
		2,105,460	16,573,459

29. OTHER FINANCIAL LIABILITIES

As at 31st December	2021	2020
	Rs.	Rs.
Agency commission payable	28,693,910	35,406,370
Accrued expenses	46,929,577	24,617,929
Claims outstanding	32,095,039	19,166,279
	107,718,526	79,190,578

30. OTHER LIABILITIES

As at 31st December	2021	2020
	Rs.	Rs.
Policyholder advance payments	90,791,877	51,759,392
Other taxes payable	3,882,059	6,263,093
	94,673,936	58,022,485

31. RISK MANAGEMENT FRAMEWORK

31.1 Overview

The mission of risk management at Arpico Insurance PLC is to promptly identify, measure, manage, report and monitor risks that affect the achievement of strategic, operational and financial objectives. This includes adjusting the risk profile in line with the company's stated risk tolerance to respond to new threats and opportunities in order to optimize returns.

The company is exposed to the following insurance and financial risks.

- Insurance Risk
 - Life Insurance contracts
 - Reinsurance
- Financial Risk
 - Credit Risk
 - Liquidity Risk
 - Market Risk

This note presents information about company's exposure to each of the above risks, the company's objectives, policies and processes for measuring / managing such risks, and the manner in which the company manages its capital.

31.2 Risk management framework

(a) Governance framework

The primary objective of the company's risk and financial management framework is to protect the company's shareholders from events that could hinder the sustainable achievement of financial objectives, including failure to exploit opportunities. The board of directors has the overall responsibility for the establishment and oversight of the company's risk management framework and thus, their approval is necessary for the risk management strategy and risk policies pertaining to all activities of the company. Further, the board also ensures that adequate resources, expertise and support are provided for the effective implementation of the risk management strategy, policies and procedures of the company. Management recognises the paramount importance of having efficient and effective risk management systems in place.

The board of directors has appointed a risk management committee, chaired by an independent director comprising members of the senior management from business operations and control functions, which oversees the risk management activities of the company. The activities cover areas such as the evaluation of business processes, design and implementation of the risk strategy and risk policies, review and updating of the risk profile, delegation of authority, monitoring of risk mitigation activities, etc.

NOTES TO THE FINANCIAL STATEMENTS

The board of directors approves the company's risk management policies and meets regularly to approve any commercial, regulatory and organisational requirements of such policies. These policies define the company's identification of risk and its interpretation, limit structure to ensure the appropriate quality and diversification of assets, align underwriting and reinsurance strategy to the corporate goals, and specify reporting requirements.

(b) Capital management objectives, policies and approach

The company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- To maintain the required level of solvency of the company, thereby providing a degree of security to policyholders
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders and policyholders
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities taking account of risks inherent in the business
- To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and other stakeholders
- To maintain healthy capital ratios in order to support its business objectives and maximise shareholders' value

The operations of the company are subject to regulatory requirements. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions (e.g. Solvency Margin, Approved Assets Requirements of IRCSL) to minimise the risk of default and insolvency on the part of the company to meet unforeseen liabilities as these arise. The company has been in compliance with all these regulatory requirements throughout the financial year to the best of our knowledge.

Approach to capital management

The company seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders and policyholders. The company's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the company in the light of changes in economic conditions and risk characteristics.

The primary source of capital used by the company is equity shareholders' funds. The capital requirements are routinely forecasted on a periodic basis by the management and the board. The solvency margins are calculated on a monthly basis and shared with the board.

(c) Regulatory framework

Insurance regulator in the country, insurance regulatory commission of sri Lanka (IRCSL) is primarily interested in protecting the rights of policyholders and monitors the company closely to ensure that it is satisfactorily managing affairs for the benefit of policyholders. At the same time, they are also interested in ensuring that the company maintains an appropriate solvency position to meet unforeseen liabilities arising from economic shocks, natural disasters, etc.

Thus, the operations of the company are subject to regulatory requirements of the irCSL as well as various other regulators such as central bank of sri Lanka (CBSL), department of inland revenue etc. The company is also regulated by the companies act no. 07 Of 2007.

31.3 Insurance risk

The principal risk the company faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, may differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the company is to ensure that sufficient reserves are available to cover these liabilities.

The risk exposure is mitigated by diversification across a large portfolio of insurance contracts and geographical areas. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of reinsurance arrangements.

(a) Life insurance risk

Life insurance contracts offered by the company include endowment plans and term assurance and non-conventional products.

Endowment assurance are conventional products where lump sum benefits are payable on death / permanent disability or maturity whichever happens earlier.

Term assurance are conventional products where lump sum benefits are payable on death or permanent disability.

The main risk that the company is exposed to under Life Insurance contracts are as follows:

- Mortality risk is the risk that actual policyholder death experience on life insurance policies is higher than expected.
- Morbidity risk is the risk that policyholder health-related claims are higher than expected.
- Longevity risk is the risk that annuitants live longer than expected.
- Investment return risk is the risk that actual returns lower than expected.
- Expense risk is the risk that expenses incurred in acquiring and administering policies are higher than expected.
- Policyholder behavior risk is the risk that policyholders' behavior in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contract is worse than expected. Poor persistency rates may lead to fewer policies remaining on the books to defray future fixed expenses and therefore reduce the future positive cash flows from the business written, potentially impacting its ability to recover deferred acquisition expenses.
- Market risk is the risk that associated with the variation of investment income due to the changes in the financial markets
- Credit risk is the risk that resulting from counterparties failing to fulfill the financial obligations.
- Concentration risk is the risk that refers to losses that may arise due to over dependence on a product, product type or geographical area

The company's underwriting strategy is designed to ensure that risks are well diversified in terms of type of risk and level of insured benefits. This is largely achieved through the use of medical screening in order to ensure that pricing takes account of current health conditions and family medical history, regular review of actual claims experience and product pricing. Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the company has the right not to renew individual policies, it has the right to reject the payment of fraudulent claims.

The company further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the company. For contracts for which death or disability is the insured risk, the significant factors that could increase the overall frequency of claims are epidemics, widespread changes in lifestyle and natural disasters, resulting in earlier or more claims than expected. The company limits exposure on any single life by way of retention limits agreed with the reinsurers.

Some of the specific actions by the company to mitigate Life Insurance risks are shown below:

Life underwriting risk management

- Maximum input is obtained from the consultant actuary and reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced.
- Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service.
- Focused training is provided to Insurance Advisors on proper selling in Sinhala, Tamil and English.
- A proposal form with customer need analysis is used to identify customers' requirements and sell the most appropriate policy.

Life claims risk management

- An independent actuary is engaged to carry out a valuation of the life fund twice a year.
- Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured.
- The claims panel (comprising specified officer, principal officer and manager actuarial) is involved in taking decisions on significant / problematic claims and appeals made in respect of claims.

NOTES TO THE FINANCIAL STATEMENTS

(b) Reinsurance risk

The company's objectives for purchasing reinsurance are to provide market-leading capacity for customers while protecting the balance sheet and optimizing the company's capital efficiency. Reinsurance ceded is placed on a proportional basis. A proportional reinsurance arrangement includes both quota share and facultative treaty programmes which is taken out to reduce the overall exposure of the company to certain classes of business. Premium ceded to the reinsurers is in accordance with the terms on the programmes already agreed based on the risks written by the insurance companies.

Recoveries from reinsurers on claims are based on the cession made in respect of each risk and is estimated in a manner consistent with the outstanding claims provisions made for the loss. Although we mitigate our exposures through prudent reinsurance arrangements, the obligation to meet claims emanating from policyholders rests with the company. Default of reinsurers does not negate this obligation and in that respect the company carries a credit risk up to the extent ceded to each reinsurer.

The company's placement of reinsurance is arranged in a manner that is neither dependent on a single reinsurer nor substantially dependent upon any single reinsurance contract. The company uses munich re as its reinsurance provider for individual policies as well as for group policies. The company also uses hannover re in certain cases.

Credit ratings of the reinsurance companies with whom the company has arrangements.

Reinsurer	Rating	Rating Agency
Munich Re	A+	A.M. Best
Hannover Re	A+	A.M. Best

Some of the specific actions by the company to mitigate reinsurance risks are shown below:

- Outstanding reinsurance receivables are reviewed on a monthly basis to ensure that all dues are collected or set off against payables on time.
- A very close and professional relationship is maintained with all reinsurers.
- Only a globally trusted and stable portfolio of reinsurance companies which are rated highly by Standard & Poors or AM Best is used.

31.4 Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The company's credit risk could mainly arise from financial assets such as its investment portfolios, premium receivables from policyholders, receivables from reinsurers, loans given to policyholders and cash and cash equivalents etc.

Credit exposure

Company's exposure to credit risk as at the Balance sheet date is given in below table with the comparative figures.

As at 31st December	2021 Rs. '000	% of Allocation	2020 Rs. '000	% of Allocation
Financial investments				
Debt securities - Loans and receivables	2,624,851	67	2,304,768	61
Debt securities - Available for sale	310,854	8	377,709	10
Debt securities - Held to maturity	224,604	6	-	-
Debt securities - Fair value through profit & loss	75,870	2	-	-
Total debt securities	3,236,179	83	2,682,477	71
Life policyholders loans	425,525	11	389,694	10
Reinsurance receivable	8,374	0	7,170	0
Amounts due from related parties	12,002	0	6,449	0
Premiums receivable	62,470	2	30,808	1
Cash in hand and at bank	150,015	4	668,548	18
Total credit risk exposure	3,894,565	100	3,785,146	100

As of December 31st 2021 the largest credit risk exposure of 83% (2020 - 71%) is arising from investments in debt securities.

Credit risk – Financial investments in debt securities

Company limits its exposure to credit risk by analysing the creditworthiness of each debt security investment. The credit worthiness of a potential debt security investment is assessed mainly through ratings assigned to the issuing institution or the ratings assigned to an issue. The debt security investments are broadly categorised into investments in government securities and investments in corporate debt securities.

As at 31st December	2021 Rs. '000	% of Allocation	2020 Rs. '000	% of Allocation
Financial investments				
Government securities	1,647,120	51	1,465,073	55
Corporate debt securities	1,100,968	34	879,032	33
Deposits	412,221	13	338,372	13
Unit Trusts	75,870	2		
Total debt securities	3,236,179	100	2,682,477	100

(i) Government Securities

As shown in table above, as at 31st December 2021, 51% (2020 - 55%) of debt securities comprise investments in government securities comprising treasury bonds, bills and repo investments. Government securities are usually referred to as risk free due to the sovereign nature of the instrument.

(ii) Corporate debt securities

As at 31st December 2021, corporate debt securities comprise 34% (2020 - 33%) of the total investments which were rated "BBB" or better.

Corporate debt security allocation 2021 Vs 2020 – credit rating wise

As at 31st December	2021		2020	
Rating	Rs. '000	% of Total	Rs. '000	% of Total
AA+ AA-	483,407	44	263,183	34
A+ A-	617,561	56	432,365	56
BBB BB-	-	-	82,460	10
Not rated *	-	-	-	-
Total	1,100,968	100	778,008	100

Comprises Rs. 1,100 Mn. (2020 - Rs. 778 Mn.) with an issuer rating above "BBB".

(iii) Concentration risk of corporate debt securities

Company actively manages its investment mix to ensure that there is no significant concentration of credit risk.

Credit risk relating to loans to life policyholders

A loan issued by an insurance company considers the surrender value of the life policy as collateral. As at the balance sheet date, the value of policy loans granted amounted to Rs. 425 Mn. (2020 - Rs. 389 Mn.) and its related surrender value is Rs. 509.5 Mn. (2020 - Rs. 411.4 Mn.).

Credit risk relating to cash and cash equivalents

In order to mitigate concentration, settlement and operational risks related to cash and cash equivalents, the company limits the maximum cash amount that can be deposited with a single counterparty. In addition, the company maintains an authorised list of acceptable cash counterparties based on current ratings and economic outlook, taking into account analysis of fundamentals and market indicators. The company held cash and cash equivalents of Rs. 150 Mn. at 31 December 2021 (2020 - Rs. 669 Mn.). The cash and cash equivalents are held with banks and financial institutional counterparties, which are rated BBB or better.

NOTES TO THE FINANCIAL STATEMENTS

31.5 Liquidity risk

Liquidity risk is the risk that the company may not have sufficient liquid financial resources to meet its obligations when they fall due, or would have to incur excessive costs to do so. In respect of catastrophic / unexpected large claim events there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries.

The following policies and procedures are in place to mitigate the exposure to liquidity risk:

- The Board Investment Committee (BIC) manages this risk by diversifying investment durations and reviewing cash flow projections regularly.
- Guidelines are set for asset allocations, portfolio limit structures and maturity profiles of assets, in order to ensure availability of sufficient funding to meet insurance and investment contract obligations.
- Reinsurance contracts contain clauses permitting the immediate draw down of funds to meet claim payments should claim events exceed a certain size.

Maturity profiles

The table below summarises the maturity profile of the non-derivative financial assets of the company based on remaining contractual obligations.

As at 31 December 2021	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial assets						
Loans & receivables	2,624,851	1,471,160	703,935	449,756	-	2,624,851
Available for sale	310,854	51,904	-	258,950	-	310,854
Held to maturity	224,604		117,084	107,520		224,604
Life policyholders loans	425,524	41,870	13,318	89,973	280,363	425,524
Reinsurance receivable	8,374	8,374	-	-	-	8,374
Premiums receivable	62,470	62,470	-	-	-	62,470
Cash and cash equivalents	150,015	150,015	-	-	-	150,015
Total assets	3,806,692	1,785,793	834,337	906,199	280,363	3,806,692

As at 31 December 2021	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial liabilities						
Reinsurance creditors	70,001	70,001	-	-	-	70,001
Amounts due to related parties	2,105	2,105	-	-	-	2,105
Other financial liabilities	107,719	107,719	-	-	-	107,719
Lease Creditor	157,443	39,672	104,005	9,230	4,536	157,443
Total liabilities	337,268	219,497	104,005	9,230	4,536	337,268

As at 31st December 2020	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial assets						
Loans & receivables	2,304,768	1,477,047	543,984	283,737	-	2,304,768
Available for sale	377,709	-	-	54,818	322,891	377,709
Life policyholders loans	389,694	107,799	49,042	53,471	179,382	389,694
Reinsurance receivable	7,170	7,170	-	-	-	7,170
Premiums receivable	30,808	30,808	-	-	-	30,808
Cash and cash equivalents	668,548	668,548	-	-	-	668,548
Total assets	3,778,697	2,291,372	593,026	392,026	502,273	3,778,697

As at 31st December 2020	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial liabilities						
Reinsurance creditors	85,919	85,919	-	-	-	85,919
Amounts due to related parties	16,573	16,573	-	-	-	16,573
Lease Creditor	155,319	45,170	99,052	5,390	5,707	155,319
Other financial liabilities	79,191	79,191	-	-	-	79,191
Total liabilities	337,002	226,853	99,052	5,390	5,707	337,002

31.6 Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risks: foreign exchange rates (currency risk), market interest rates (interest rate risk) and market prices (price risk).

- A company market risk policy setting out the assessment and determination of what constitutes market risk for the company. Compliance with the policy is monitored and exposures and breaches are reported to the company investment committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.
- Set asset allocation and portfolio limit structure, to ensure that assets back specific policyholder liabilities and the assets are held to deliver income and gains for policyholders which are in line with expectations of the policyholders.

(a) Currency risk

Currency risk is the risk that the fair value / present value of the future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The company's principal transactions are carried out in Sri Lankan Rupees and its exposure to foreign exchange risk is very minimal.

The company's financial assets are primarily denominated in the same currencies as its insurance. The company has no significant concentration of currency risk.

NOTES TO THE FINANCIAL STATEMENTS

(b) Interest rate risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

Interest on floating rate instruments is re-priced at intervals of less than one year. Interest on fixed interest rate instruments is priced at the inception of the financial instrument and is fixed until maturity.

The analysis that follows is performed for reasonably possible movements in key variables with all other variables held constant, showing the impact on profit before tax (due to changes in fair value of floating rate financial assets) and equity (That reflects adjustments to profit before tax and revaluing available for sale financial assets).

As part of the company's investment strategy, in order to reduce both insurance and financial risk, the company matches its investments to the liabilities arising from insurance by reference to the type of benefits payable to contract holders to the maximum possible extent. However, due to the availability of long term investment opportunities in the country, insurance liabilities (Life Insurance) are of a longer term than corresponding assets.

(c) Equity price risk

Equity price risk is the risk that the fair value / present value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The company's equity price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market.

The company has no significant concentration of risk.

31.7 Operational risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the company is able to manage the risks.

Controls to manage the operational risk include effective segregation of duties, access controls, authorisation and reconciliation procedures, staff education and assessment processes, including the use of internal audit. Business risks such as changes in environment, technology and the industry are monitored through the company's strategic planning and budgeting process.

32. RELATED PARTY TRANSACTIONS

The company carries out transactions in the ordinary course of business with parties who are defined as related party in Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures".

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the company and is comparable with what is applied to transactions between the company and its unrelated customers.

This note provides details of Arpico Insurance's related parties and the transactions which have taken place between the company and its related parties.

(a) Transactions with the ultimate controlling party of the company

Richard Pieris & Company PLC is the parent/ ultimate controlling party of Arpico Insurance. The company has transactions with its parent as follows:

(i) Insurance contracts transactions with the ultimate controlling party of the company

Nature of the Transaction	2021	2020
	Rs.	Rs.
Insurance premium received/receivable	49,704,957	35,138,999
Claims paid	(23,235,790)	(18,828,262)

(ii) Other transactions with the ultimate controlling party of the company

Nature of the Transaction	2021	2020
	Rs.	Rs.
Interest received/receivables	13,538,707	41,160,297
Expenses incurred behalf of the Company	(40,719,001)	(99,302,815)
Fund transfers	41,004,651	41,541,157

(b) Transactions with key management personnel (KMP) of the company and close family members

According to Sri Lanka Accounting Standard LKAS 24 "Related Party Disclosures", key management personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly ARPICO INSURANCE, considers its board of directors(including executive & non-executive directors) and board of directors of parent (including executive & non-executive directors) as the KMP of the company.

	2021	2020
	Rs.	Rs.
Short term employee benefits	800,000	600,000

(c) Transaction with/between subsidiary companies of parent company

Nature of the Transaction	2021	2020
Fellow Subsidiaries	Rs.	Rs.
Claims paid	(5,091,460)	(2,548,635)
Insurance premium received/receivable	16,172,068	27,537,288
Purchase of fixed assets	(4,996,329)	(9,811,002)
Rent paid	(3,952,373)	(5,066,553)
Others	(55,100)	-

NOTES TO THE FINANCIAL STATEMENTS

(d) Recurrent related party transactions

The aggregate value of the recurrent related party transactions that exceeds 10% of the gross written premium as per the Colombo Stock Exchange listing rule 9.3.2 (b) are as follows:

Name of the Related Party	Relationship	Nature of the Transaction	Aggregate Value of Related Party Transactions Entered into during the Financial Year (LKR)	Aggregate Value of Related Party Transactions as a % of Net Revenue/Income	Terms and Conditions of the Related Party Transactions
N/A	N/A	N/A	N/A	N/A	N/A

(e) Non-recurrent related party transactions

There were no non recurrent related party transactions which in aggregate value exceeds 10% of the equity or 5% of the total assets which ever is lower of the company as per 31st December 2020 audited financial statements, which required additional disclosures in the 2021 Annual Report under Colombo Stock Exchange listing rule 9.3.2

33. COMMITMENT AND CONTINGENCIES

There were no capital commitments and contingent liabilities as at the reporting date.

34. COVID-19 IMPACT

The company experienced various impact due to COVID-19 and the results for the year reflect the effect. Following assessments were made in preparing the financial statements for the year ended 31st December 2021.

The company assesses at reporting date whether there is an indication that an asset may be impaired. No impairment on property, plant and equipment as at the reporting date due to the COVID-19 pandemic.

The company does not foresee any impairment of right of use assets due to the COVID-19 pandemic since as each branch is operating under the business continuity plans as per the company's risk management strategy, whilst strictly adhering to and supporting government directives.

The company has utilized maximum credit settlement period and accordingly managed working capital requirements. Therefore, there was no requirement for the arrangement of additional credit facilities from suppliers.

The financial instruments reviewed to ensure that the values reflect the conditions at the balance sheet date. This involve measurement based on unobservable inputs that reflect how market participants would consider the effect of COVID-19 in their expectations of future cash flows related to the asset at the reporting date.

35. EVENTS OCCURRING AFTER THE REPORTING PERIOD

The government of Sri Lanka in its budget for 2022 has proposed a one-time tax, referred to as a surcharge tax of 25% to be imposed on companies that have earned a taxable income in excess of Rs. 2,000 Mn. for the year of assessment 2020/2021. The proposed tax should be deemed an expenditure in the financial statements relating to the year of assessment 2020/2021.

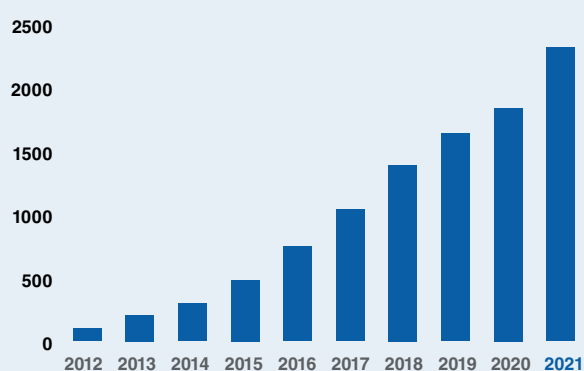
These financial statements have not been adjusted to reflect the consequences of this proposal as the bill has not been substantively enacted as of the reporting date.

SUPPLEMENTARY INFORMATION

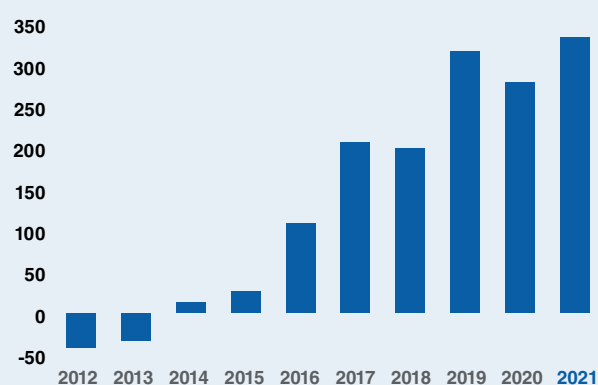
DECADE AT A GLANCE

	2021	2020	2019	2018
	Rs.	Rs.	Rs.	Rs.
Gross written premium	2,311,632,930	1,836,100,261	1,633,157,997	1,387,432,253
Premium ceded to reinsurers	(103,292,315)	(91,424,657)	(88,849,485)	(41,327,272)
Net written premium	2,208,340,615	1,744,675,604	1,544,306,512	1,346,104,981
Other revenue				
Fees and commission income	45,547,057	34,222,629	28,825,103	10,666,036
Investment income	256,205,977	253,389,343	261,012,023	205,215,741
Fair value gains / (losses)	870,338	-	21,327,018	13,823,318
Other operating revenue	7,149,084	9,039,175	10,573,868	6,935,285
Total other revenue	309,772,456	296,651,147	321,738,012	236,640,380
Net income	2,518,113,071	2,041,326,751	1,866,044,524	1,582,745,361
Net insurance benefits and claims paid	(573,138,341)	(395,053,475)	(298,735,091)	(164,148,852)
Net change in insurance claims outstanding	(31,167,632)	(7,955,560)	(7,350,853)	(4,797,718)
Underwriting and net acquisition costs	(753,929,519)	(418,946,461)	(374,031,638)	(319,820,986)
Change in contract liabilities - life fund	(58,943,480)	(296,040,673)	(221,785,330)	(309,732,195)
Other operating and administrative expenses	(763,552,558)	(644,735,670)	(648,035,992)	(585,410,701)
Total benefits, claims and other expenses	(2,180,731,530)	(1,762,731,839)	(1,549,938,904)	(1,383,910,452)
Profit before tax	337,381,541	278,594,912	316,105,620	198,834,909
Income tax (expense)/reversal	(100,680,805)	(77,918,674)	(88,849,801)	300,349,604
Profit for the year	236,700,736	200,676,238	227,255,819	499,184,513
Earning per share - basic	3.57	3.03	3.43	7.54

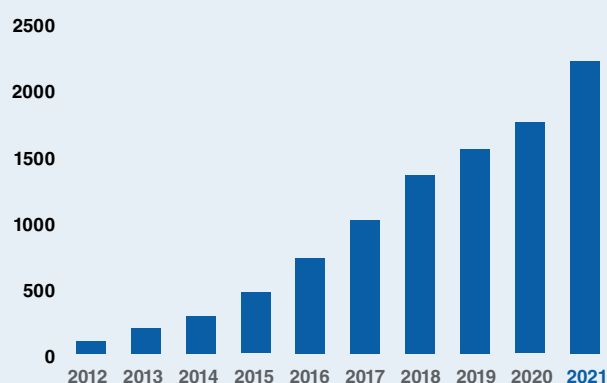
Gross written premium (Rs. Mn)



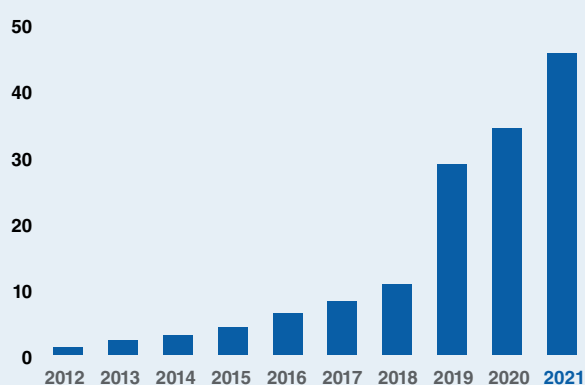
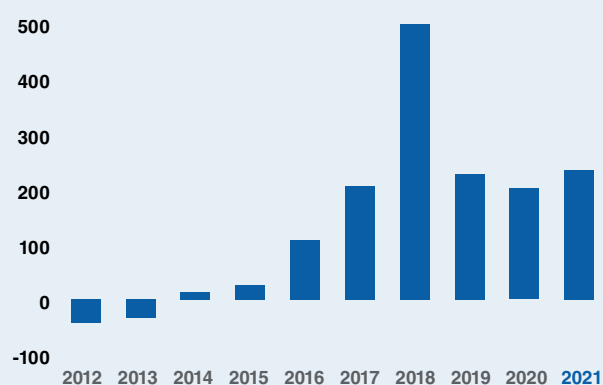
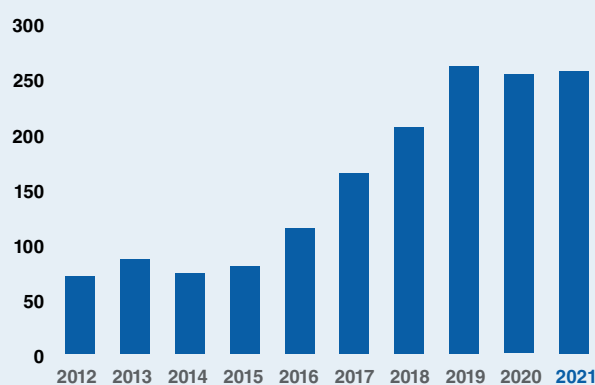
Profit before tax (Rs. Mn.)



Net written premium (Rs. Mn)



2017	2016	2015	2014	2013	2012
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
1,038,085,079	745,386,354	482,447,118	297,439,405	206,494,248	101,900,150
(28,370,148)	(24,436,905)	(21,833,476)	(11,944,255)	(12,593,608)	(10,768,277)
1,009,714,931	720,949,449	460,613,642	285,495,150	193,900,640	91,131,873
8,064,174	6,269,983	4,249,018	2,983,134	2,153,764	1,114,165
163,757,872	114,148,063	78,565,662	73,303,028	85,848,693	69,973,093
85,349	(1,089,247)	1,477,455	16,342	-	-
5,872,807	4,773,224	3,501,200	2,122,425	2,514,465	324,899
177,780,202	124,102,023	87,793,335	78,424,929	90,516,922	71,412,157
1,187,495,133	845,051,472	548,406,977	363,920,079	284,417,562	162,544,030
(117,741,823)	(78,125,724)	(65,985,012)	(41,509,012)	(25,462,975)	(6,481,649)
(2,015,224)	(872,422)	(2,224,490)	1,393,393	(4,656,106)	3,411,682
(213,455,102)	(114,124,472)	(93,743,779)	(58,706,090)	(37,969,091)	(23,062,937)
(280,513,648)	(290,207,532)	(155,787,012)	(97,915,660)	(110,543,800)	(59,782,288)
(367,756,122)	(253,832,151)	(204,937,453)	(154,195,483)	(139,131,332)	(118,511,489)
(981,481,919)	(737,162,301)	(522,677,746)	(350,932,852)	(317,763,304)	(204,426,680)
206,013,214	107,889,171	25,729,231	12,987,227	(33,345,742)	(41,882,650)
-	-	-	-	-	(608,037)
206,013,214	107,889,171	25,729,231	12,987,227	(33,345,742)	(42,490,687)
3.11	1.63	0.39	0.22	(0.60)	(0.84)

Fee & commission (Rs. Mn.)**Profit after tax (Rs. Mn)****Investment income (Rs. Mn.)**

INCOME STATEMENT

QUARTERLY ANALYSIS

	31 March 2021	30 June 2021	30 September 2021	31 December 2021
	Rs	Rs	Rs	Rs
Revenue	827,815,500	505,052,640	547,775,508	639,223,519
Gross written premium	786,649,069	451,965,247	495,690,790	577,327,823
Premium ceded to reinsurers	(36,169,821)	(18,859,839)	(27,130,996)	(21,131,658)
Net written premium	750,479,248	433,105,408	468,559,794	556,196,165
Other revenue				
Fee and commission income	11,840,702	10,069,451	13,430,710	10,206,194
Income from investments	63,675,705	60,489,168	63,880,664	68,160,441
Realise gain	-	-	-	870,338
Other income	1,819,845	1,388,613	1,904,340	2,036,285
Total other revenue	77,336,252	71,947,232	79,215,714	81,273,258
Net income	827,815,500	505,052,640	547,775,508	637,469,423
Net insurance benefits and claims paid	(162,127,091)	(95,171,256)	(144,387,698)	(171,452,296)
Net change in insurance claims outstanding	(18,741,391)	-	-	(12,426,241)
Underwriting and net acquisition costs	(262,503,750)	(183,106,507)	(145,352,623)	(162,966,639)
Change in contract liabilities - life fund	(177,006,308)	(20,751,507)	(12,484,409)	129,769,057
Other operating and administrative expenses	(190,567,499)	(191,724,852)	(228,068,658)	(152,828,668)
Net benefits and claims	(810,946,039)	(490,754,122)	(530,293,388)	(369,904,787)
Profit/(Loss) before tax	16,869,461	14,298,518	17,482,120	267,564,636
Income tax expense	-	-	(4,195,684)	(75,318,315)
Profit/(Loss) for the period	16,869,461	14,298,518	13,286,436	192,246,321

	31 March 2020	30 June 2020	30 September 2020	31 December 2020
	Rs	Rs	Rs	Rs
Revenue	407,479,618	434,023,757	593,758,143	616,500,986
Gross written premium	341,110,296	363,690,850	549,742,879	608,501,931
Premium ceded to reinsurers	(10,455,524)	(11,684,425)	(21,993,245)	(60,312,742)
Net written premium	330,654,772	352,006,425	527,749,634	548,189,189
Other revenue				
Fee and commission income	7,629,446	7,869,160	7,689,027	11,034,996
Income from investments	67,772,799	73,122,733	56,489,233	56,004,578
Realise gain	-	-	-	-
Other income	1,422,601	1,025,439	1,830,249	1,272,223
Total other revenue	76,824,846	82,017,332	66,008,509	68,311,797
Net income	407,479,618	434,023,757.00	593,758,143	616,500,986
Net insurance benefits and claims paid	(58,478,946)	(58,027,435)	(104,693,800)	(173,853,294)
Net change in insurance claims outstanding	(4,798,748)	(8,282,546)	(4,762,996)	5,602,608
Underwriting and net acquisition costs	(88,225,859)	(92,859,778)	(121,533,221)	(116,327,603)
Change in contract liabilities - life fund	(86,090,612)	(136,338,269)	(154,437,357)	80,825,565
Other operating and administrative expenses	(148,239,731)	(118,047,953)	(188,452,979)	(189,995,007)
Net benefits and claims	(385,833,896)	(413,555,981)	(573,880,353)	(393,747,731)
Profit/(Loss) before tax	21,645,722	20,467,776	19,877,790	222,753,255
Income tax expense	-	-	-	84,068,305
Profit/(Loss) for the period	21,645,722	20,467,776	19,877,790	138,684,950

INSURANCE REVENUE ACCOUNT

Year ended 31 December	2021	2020
	Rs.	Rs.
Gross written premium	2,311,632,930	1,836,100,261
Premium ceded to reinsurers	(103,292,315)	(91,424,657)
Net written premium	2,208,340,615	1,744,675,604
Other revenue		
Fees and commission income	45,547,057	34,222,629
Investment income	186,654,120	174,135,197
Fair value gains / (losses)	-	-
Other operating revenue	7,149,084	9,039,175
Total other revenue	239,350,261	217,397,001
Net income	2,447,690,876	1,962,072,605
Net insurance benefits and claims paid	(573,138,341)	(395,053,475)
Net change in insurance claims outstanding	(31,167,632)	(7,955,560)
Underwriting and net acquisition costs	(753,929,519)	(418,946,461)
Change in contract liabilities - life fund	(58,943,480)	(296,040,673)
Other operating and administrative expenses	(763,189,970)	(644,725,470)
Total benefits, claims and other expenses	(2,180,368,942)	(1,762,721,639)
Surplus from life insurance business	267,321,934	199,350,966
Shareholder Fund		
Expenses not attributable to policyholders	(362,588)	(10,200)
Total other revenue from shareholder fund	70,422,195	79,254,146
Profit before tax	337,381,541	278,594,912

SUPPLEMENTARY
INFORMATIONS

FINANCIAL
REPORTS

LEADERSHIP AND
GOVERNANCE

MANAGEMENT
DISCUSSION AND
ANALYSIS

CREATING INTEGRATED
VALUE

ORGANISATIONAL
FRAMEWORK

STATEMENT OF FINANCIAL POSITION

As at 31 December	2021	2020	2019	2018
	Rs.	Rs.	Rs.	Rs.
Assets				
Property, plant and equipment	57,691,938	59,060,218	60,142,522	63,045,746
Right of use assets	129,675,417	137,336,423	119,555,926	-
Intangible assets	586,844	413,031	675,531	303,750
Financial assets	3,470,094,773	2,682,476,454	2,376,948,902	2,028,265,792
Loans to life policyholders	425,525,375	389,694,262	286,270,410	228,616,921
Reinsurance receivables	8,373,896	7,170,413	68,351,851	26,939,303
Amounts due from related parties	12,002,002	6,448,559	51,716,671	26,907,609
Premium receivable	62,470,094	30,808,290	69,528,421	73,071,532
Other assets	62,822,687	55,874,973	103,514,705	74,414,275
Deferred tax asset	36,979,105	137,659,910	215,578,584	304,428,385
Cash and cash equivalents	150,015,184	668,548,192	295,514,738	170,483,254
Total assets	4,416,237,315	4,175,490,725	3,647,798,261	2,996,476,567
Equity and liabilities				
Shareholders' equity				
Stated capital	675,564,870	675,564,870	675,564,870	675,564,870
Retained earnings	1,422,126,083	1,185,243,956	984,881,654	756,752,988
Available for sale reserves	(26,545,650)	-	-	-
Other Component of equity		-	-	-
Total ordinary shareholders' equity	2,071,145,303	1,860,808,826	1,660,446,524	1,432,317,858
Liabilities				
Insurance contract liabilities	1,897,003,107	1,904,914,105	1,562,743,701	1,325,869,400
Employee benefit obligation	16,146,223	14,743,507	11,452,108	9,488,251
Reinsurance creditors	70,001,400	85,918,647	102,961,206	50,022,714
Lease creditors	157,443,360	155,319,117	128,171,022	-
Amounts due to related parties	2,105,460	16,573,459	7,203,351	7,184,537
Other financial liabilities	107,718,526	79,190,578	132,994,405	115,608,712
Other liabilities	94,673,936	58,022,486	41,825,944	55,985,095
Bank overdraft	-	-	-	-
Total liabilities	2,345,092,012	2,314,681,899	1,987,351,737	1,564,158,709
Total equity and liabilities	4,416,237,315	4,175,490,725	3,647,798,261	2,996,476,567

	2017	2016	2015	2014	2013	2012
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
	57,597,796	21,850,521	16,714,299	15,751,159	11,270,647	10,181,133
	-	-	-	-	-	-
	-	-	-	-	-	-
	1,346,980,154	1,245,402,750	982,069,704	842,968,366	578,357,340	519,514,000
	157,711,170	111,675,715	25,038,597	19,697,180	17,754,622	2,211,081
	20,702,073	7,706,821	5,747,323	5,146,884	5,380,700	3,641,837
	181,589	-	182,801	-	2,609,411	1,377,501
	105,775,413	39,491,469	57,886,185	10,575,714	4,044,509	1,051,283
	94,318,212	54,329,540	44,414,243	35,505,224	27,627,629	13,419,892
	-	-	-	-	-	-
	320,778,531	106,504,318	28,638,157	51,098,123	76,520,726	23,152,156
	2,104,044,938	1,586,961,134	1,160,691,309	980,742,649	723,565,583	574,548,883
	675,564,870	675,564,870	675,564,870	675,564,870	563,000,070	503,000,070
	257,632,154	79,145,018	(28,312,297)	(54,268,815)	(66,091,889)	(33,792,370)
	-	-	-	-	-	-
	-	-	-	-	-	1,251,392
	933,197,024	754,709,888	647,252,573	621,296,055	496,908,181	470,459,092
	1,025,457,000	726,047,856	436,177,616	287,030,582	168,377,691	63,599,537
	6,568,317	4,608,990	2,648,378	1,754,563	1,069,194	1,441,068
	30,859,018	22,729,392	18,314,863	10,529,932	12,498,676	10,768,277
	-	-	-	-	-	-
	9,694,866	6,676,507	120,421	3,702,739	10,356,383	17,453,723
	72,456,338	54,461,564	45,770,387	44,759,428	29,647,658	-
	25,812,375	17,726,937	10,407,071	6,212,199	2,889,823	10,369,230
	-	-	-	5,457,152	1,817,977	457,957
	1,170,847,914	832,251,246	513,438,736	359,446,594	226,657,402	104,089,791
	2,104,044,938	1,586,961,134	1,160,691,309	980,742,649	723,565,583	574,548,883

SHAREHOLDER INFORMATION

Share Ledger Management System

Twenty Largest Shareholders

Name of the Shareholder	2021 Shareholding	2021 % on Issued Shares
1. KEGALLE PLANTATIONS LIMITED	26,685,001	40.29
2. RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3. RICHARD PIERIS AND CO LTD - ACCOUNT NO. 01	15,125,001	22.84
4. MR. J P PAUL	2,012,879	3.04
5. MYLAND DEVELOPMENTS LIMITED	759,659	1.15
6. MR. C S N SILVAPULLE	668,399	1.01
7. MR. S SIVASHANTH	550,000	0.83
8. MR. A P ARUMUGAMPILLAI	200,000	0.30
9. PEOPLES LEASING & FINANCE PLC/MR.K.J. GAMAGE	135,261	0.20
10. MR. T A N GOMIS	130,732	0.20
11. MR. M L A BENEDICT	113,108	0.17
12. MR. D P NAVARATNAM	103,677	0.16
13. MR. S A OBEYESEKERE	103,300	0.16
14. HATTON NATIONAL BANK PLC/SUKTAM HOLDINGS (PVT)	100,000	0.15
15. TRADING PARTNERS (PVT) LTD	100,000	0.15
16. FLYBRUNEI SDN BHD	99,700	0.15
17. T R L HOLDINGS (PVT) LIMITED	87,677	0.13
18. PEOPLES LEASING & FINANCE PLC/MR.K.	86,531	0.13
19. MR. H A S MADANAYAKE	78,300	0.12
20. MRS. K ELANKAINESAN	70,000	0.11

Composition of Shareholders

	No. of Shareholders as at 31.12.2021	No. of Shares	% of Shareholding
Institutional investors	35	61,119,094	92.28
Individual investors	642	5,111,313	7.72
Total	677	66,230,407	100.00
Resident investors	664	64,623,674	97.57
Non-resident investors	13	1,606,733	2.43
Total	677	66,230,407	100.00

Distribution of Shareholdings

Public Shareholdings	2021			2020		
	No. of Shareholders	No. of Shares Held	%	No. of Shareholders	No. of Shares Held	%
Less than or equal						
1 - 1,000	512	112,368	0.17	503	117,335	0.18
1,001 - 10,000	113	443,107	0.67	119	433,635	0.65
10,001 - 100,000	38	1,405,493	2.12	27	1,025,648	1.55
100,001 - 1,000,000	10	3,239,702	4.89	12	3,233,454	4.88
Over 1,000,000	4	61,029,737	92.15	4	61,420,335	92.74
Grand total	677	66,230,407	100.00	665	66,230,407	100

Directors Shareholdings

NAME OF THE DIRECTOR	SHAREHOLDING
MR. WARNAKULAPATABENDIGE JOSEPH VIVILLE PRAXIDUS PERERA	0
MR. SARAVANAPAVAN SIRIKANANATHAN	0
MRS. LASINEE SRIYANTHIE AMALA SERASINHE	0
MR. BODIYABADUGE SHIRON ADRIAN GOONERATNE	0
MRS. WEWALAGE DILUKSHIKA NEELANGI FERNANDO	0

GLOSSARY OF INSURANCE TERMS

Actuarial Valuation

A determination by an actuary at a specific date of the value of a life insurance company's assets and its liabilities. The purpose of a valuation is to determine if the company hold adequate assets to fund the company's liabilities.

Available for Sale (AFS)

Securities that have been acquired neither for short-term sale nor to be held to maturity. These are shown at fair value on the statement of financial position.

Cash Flows Statement

Statement on the origin and utilisation of cash and cash equivalents during the accounting period. It shows the changes in liquid funds separated into cash flows from operating, investing and financing activities.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event such as destruction or damage of property and related death or injuries, the insuring of hospital or medical bills, death or disability of the insured and gratuity claims.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the gross claims reserve at the beginning and end of the accounting period.

Claims Outstanding – Long Term Insurance

The amounts provided to cover the estimated ultimate cost of settling claims arising out of an event which have been notified by the date of Statement of Financial Position, being sums due to beneficiaries together with claims handling expenses, less amounts already paid in respect of those claims.

Combined Ratio

Sum of the loss ratio and expense ratio.

Commission

Remuneration to an intermediary for services such as selling and servicing an insurer's products. This is one component of acquisition expenses.

Corporate Governance

Serves to ensure responsible management and supervision of enterprises and is intended to foster the trust of investors, clients, employees and the general public in companies.

Deposit Premium

A premium paid on the inception of a contract of insurance or reinsurance, which is subject to adjustment at a later date. A deposit premium may represent the minimum amount payable.

Earnings per Share

Ratio calculated by dividing the consolidated net income/ (loss) by the weighted average number of shares outstanding.

Endowment

Life insurance payable to the policyholder if living on the maturity date stated in the policy or to a beneficiary if the insured dies before that date.

Fair Value

The price that a reasonable buyer would be willing to pay and a reasonable seller would be willing to accept for a product on the open market.

Gross Written Premium – Life

Premium to which the insurer is contractually entitled and received in the accounting period.

Insurance

Insurance is a contract whereby one party the insurer, in return for a consideration i.e. the premium, undertakes to pay the other party - the insured, a sum of money or its equivalent in kind, upon the happening of a specified event that is contrary to the interest of the insured.

Insurance Provision – Long Term

The fund or funds to be maintained by an insurer in respect of its long term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Life Surplus

The excess of the assets over the liabilities as determined by the actuary (taking into account solvency requirements) and after distribution of dividends to policyholders.

Long Term Insurance

Commonly referred to as Life Insurance contracts, as opposed to annual Non-Life insurance policies.

Maturity

The time at which payment of the sum insured under a Life insurance policy falls due at the end of its term.

Net Earned Premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Net Written Premium

Gross written premium less reinsurance premium payable.

Net Claims Incurred

Claims incurred less reinsurance recoveries.

Policy Loans

A loan given to the policyholder on the security of the surrender value of a Life Insurance policy. The loan is limited to a percentage of the current surrender value of the policy and interest is charged on such loan.

Premium

The consideration payable by the insured for an insurance contract.

Profit Commission

Commission received from the reinsurer based on the net profit of the reinsurer as defined in the agreement between the insurer and the reinsurer.

Revenue Account

An account which shows a financial summary of the insurance related revenue transactions for the accounting period.

Reinsurance

Transfer of all or part of the risk assumed by an insurer under one or more insurances to another insurer, called the reinsurance.

Reinsurance Commission

Commission received or receivable in respect of premium paid or payable to a reinsurer.

Reinsurance Premium

The premium payable to the reinsurer.

Solvency Margin – Life

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long Term Insurance business as defined in the Regulation of Insurance Industry Act No. 43 of 2000.

Surrender

Termination of an insurance policy by the insured before the expiry of its term (more common in Life insurance).

Surrender Value

The sum payable by an insurance Company upon the surrender of a Life Insurance policy before it has run its full course.

GRI INDEX

GRI Standard Number	GRI Standard title	Code	Requirements
Organizational Profile			
102	General Disclosures	102-1	Name of the organization
	General Disclosures	102-2	Activities, brands, products, and services
	General Disclosures	102-4	Location of operations
	General Disclosures	102-8	Information on employees and other workers
	General Disclosures	102-9	Supply chain
	General Disclosures	102-10	Significant changes to the organization and its supply chain
	General Disclosures	102-12	External initiatives
	General Disclosures	102-13	Membership of associations
Strategy			
102	General Disclosures	102-14	Statement from senior decision maker
Ethics and Integrity			
102	General Disclosures	102-16	Values, principles, standards, and norms of behavior
	General Disclosures	102-17	Mechanisms for advice and concerns about ethics
Governance			
102	General Disclosures	102-18	Governance structure
	General Disclosures	102-22	Composition of the highest governance body and its committees
	General Disclosures	102-23	Chair of the highest governance body
	General Disclosures	102-24	Nominating and selecting the highest governance body
	General Disclosures	102-25	Conflicts of interest
	General Disclosures	102-26	Role of highest governance body in setting purpose, values, and strategy
	General Disclosures	102-27	Collective knowledge of highest governance body
	General Disclosures	102-30	Effectiveness of risk management processes
	General Disclosures	102-31	Review of economic, environmental and social topics
	General Disclosures	102-31	Review of economic, environmental and social topics
Stakeholder Engagement			
102	General Disclosures	102-40	List of stakeholder groups
	General Disclosures	102-42	Identifying and selecting stakeholders
	General Disclosures	102-43	Approach to stakeholder engagement
	General Disclosures	102-44	Key topics and concerns raised

GRI Standard Number	GRI Standard title	Code	Requirements
Reporting Practice			
102	General Disclosures	102-46	Defining report content and topic boundaries
	General Disclosures	102-47	List of material topics
	General Disclosures	102-50	Reporting Period
	General Disclosures	102-53	Contact points for questions regarding the report
	General Disclosures	102-55	GRI content index
	General Disclosures	102-56	External assurance
Management Approach			
103	General Disclosures	103	Management approach
Economic Performance			
201	Economic	201-1	Direct economic value generated and distributed
	Economic	201-3	Defined benefit plan obligations and other retirement plans
Energy			
302	Environmental	302-1	Energy consumption within the organization
Water			
303	Environmental	303-1	Water withdrawal by source
Employment			
401	Social	401-1	New employee hires and employee turnover
	Social	401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees
Training and Education			
404	Social	404-1	Average hours of training per year per employee
	Social	404-2	Programs for upgrading employee skills and transition assistance programs
	Social	404-3	Percentage of employees receiving regular performance and career development reviews

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the Tenth (10th) Annual General Meeting of Arpico Insurance PLC will be held at the Lotus Hall, 01ST Floor, Block 02, Bandaranaike Memorial International Conference Hall (BMICH), Colombo 07, on 20TH May 2022 at 3.00 p.m. and the business to be brought before the meeting will be as follows;

1. To consider the report of the directors and the statement of accounts for the year ended 31st December 2021 with the report of the auditors thereon.
2. To approve the appointment of Mr. Saravanapavan Sirikananathan as a director

Pursuant to Section 211 of the Companies Act No. 07 of 2007, a notice of the following ordinary resolution has been received by the company, from Richard Pieris Distributors Limited, No. 310, High Level Road, Nawinna, Maharagama, a shareholder of the company.

"That Mr. Saravanapavan Sirikananathan of No. 291/7, Edward Avenue, Havelock Road, Colombo 06, who is 76 years of age be and is hereby appointed a director of the company in terms of section 211 of the Companies Act No. 07 of 2007, and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act no. 07 of 2007 shall not apply to the said Mr. Saravanapavan Sirikananathan."

The company has also received a letter dated 04th March 2022 from Mr. Saravanapavan Sirikananathan declaring his willingness to be elected to the directorate of the company.

The directors who considered the contents of the letters received by the company from Richard Pieris Distributors Limited and Mr. Saravanapavan Sirikananathan decided to notify the shareholders of the company of the special notice received by the company and the proposed resolution, which is to be moved at the Annual General Meeting of the company for the purpose of considering and if thought fit passing the said Resolution as an ordinary resolution.

3. To approve the appointment of Mr. Warnakulapatabendige Joseph Viville Praxidus Perera as a director

Pursuant to section 211 of the Companies Act No. 07 of 2007, a Notice of the following ordinary resolution has been received by the company, from Kegalle Plantations PLC, No. 310, High Level Road, Nawinna, Maharagama, a shareholder of the company.

"That Mr. Warnakulapatabendige Joseph Viville Praxidus Perera of No. 33C1, King's Gate, Keells Housing Scheme, Buthgamuwa Road, Kalapaluwawa, Rajagiriya, who is 74 years of age be and is hereby appointed a director of the company in terms of section 211 of the Companies Act No. 07 of 2007, and it is further specially declared that the age limit of 70 years referred to in section 210 of the Companies Act no. 07 of 2007 shall not apply to the said Mr. Viville P Perera".

The company has also received a letter dated 04th March 2022 from Mr. Viville P Perera declaring his willingness to be elected to the directorate of the company.

The directors who considered the contents of the letters received by the company from Kegalle Plantations PLC and Mr. Viville Perera decided to notify the shareholders of the company of the special notice received by the company and the proposed resolution, which is to be moved at the Annual General Meeting of the company for the purpose of considering and if thought fit passing the said resolution as an ordinary resolution.

4. To re elect Mrs. Lasinee Serasinhe who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a director
5. To re -appoint M/s. Ernst & Young, Chartered Accountants as Auditors of the company and to authorize the directors to determine their remuneration.
6. To authorize the directors to determine contributions to charities
7. To consider any other business of which due notice has been given

By Order of the Board

Richard Pieris Group Services (Private) Limited

(Sgd.)

Secretaries

No. 310, High Level Road, Nawinna, Maharagama.

25th March 2022

Note:

- a) A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of him/her.
- b) A proxy need not be a member of the company. The form of proxy will be found inserted in the Annual Report

The completed form of proxy should be deposited at the registered office of the company No. 310, High Level Road, Nawinna, Maharagama, not less than 48 hours before the time appointed for the holding of the meeting.

NOTES

NOTES

FORM OF PROXY

I/We* (in block letters) of
 being a member / members of the ARPICO
 INSURANCE PLC , hereby appoint
 of

whom failing WARNAKULAPATABENDIGE JOSEPH VIVILLE PRAXIDUS PERERA whom failing SARAVANAPAVAN
 SIRIKANANATHAN whom failing LASINEE SRIYANTHIE AMALA SERASINHE whom failing BODIYABADUGE SHIRON ADRIAN
 PERERA GOONERATNE whom failing WEWALAGE DILUKSHIKA NILANGI FERNANDO as my/our proxy to represent me/us
 and to vote on my/our behalf at the 10TH ANNUAL GENERAL MEETING of the Company to be held on 20th May 2022 and
 any adjournment thereof, and at every poll which may be taken in consequence thereof to vote:-

	In favour	Against
1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2021 with the Report of the Auditors thereon.	☐	☐
2. To approve under and in terms of Section 211 of the Companies Act No. 07 of 2007, the appointment of Mr. S Sirikananathan at the Annual General Meeting, a Director	☐	☐
3. To approve under and in terms of Section 211 of the Companies Act No. 07 of 2007, the appointment of Mr. Viville Perera at the Annual General Meeting, a Director	☐	☐
4. To re-elect Mrs. Lasinee Serasinhe , who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director	☐	☐
5. To re-appoint M/s Ernst & Young, Chartered Accountants as Auditors of the Company and to authorise the Directors to determine their remuneration.	☐	☐
6. To authorize the Directors to determine contributions to charities	☐	☐
7. To consider any other business of which due notice has been given	☐	☐

Dated this day of 2022

.....
 Signature of shareholder

Notes:

- (i) Please delete the inappropriate words
- (ii) A proxy need not be a member of the Company.
- (iii) Instruction as to completion appear on the reverse of this form.

INSTRUCTIONS AS TO COMPLETION OF PROXY FORM

To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 310, High Level Road, Nawinna, Maharagama., not later than 3.00 p.m. on Wednesday 18th May 2022.

In perfecting the Form of Proxy, please ensure that all details are legible.

In the case of a Company / Corporation, the proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.

Please indicate with an 'X' in the space provided how your proxy is to vote on each resolution. If no indication is given the proxy at his / her discretion will vote as he/she thinks fit.

This Form of Proxy shall in the case of an individual be signed by the appointor or his/her Attorney. Where the Form of Proxy is signed under a Power of Attorney, which has not been registered with the Company, the original Power of Attorney together with a photocopy of same or a copy certified by a Notary Public must be lodged with the Company, along with the Form of Proxy.

CORPORATE INFORMATION

THE COMPANY

Arpico Insurance PLC

LEGAL FORM OF THE COMPANY

A limited liability company incorporated in Sri Lanka on 22nd June 2011, as a public limited liability company under the Companies Act No. 07 of 2007.

COMPANY REGISTRATION NO.

P B 4739 P Q

STOCK EXCHANGE LISTING

The shares of the Company are Listed on the Colombo Stock Exchange, Diri Savi Board

PLACE OF INCORPORATION

Colombo, Sri Lanka

ACCOUNTING YEAR-END

December 31st

TAX PAYER IDENTIFICATION NUMBER (TIN)

134047399

REGISTERED OFFICE

Arpico Insurance PLC
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 0114 310 500
Fax : 0114 310 777

CORPORATE OFFICE

Arpico Insurance PLC
No. 55/20, Vauxhall Lane, Colombo 02.
Tel : 0112 200 900
Fax : 0112 330 713

BOARD OF DIRECTORS OF ARPICO INSURANCE PLC

Mr. Viville Perera
Mr. Shiron Gooneratne
Mr. S Sirikananathan
Mrs. Lasinee Serasinhe
Mrs. Dilukshika Fernando

SECRETARIES OF THE COMPANY

Richard Pieris Group Services (Pvt) Limited
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 0114 310 500
Fax : 0114 310 777

AUDITORS TO THE COMPANY

Ernst & Young Chartered Accountants
No. 201, De Saram Place, Colombo 10.
Tel : 0112 463 500
Fax : 0112 697 369

CONSULTANT ACTUARY

Actuarial Partners Consulting Sdn Bhd.

BANKERS TO THE COMPANY

National Development Bank PLC
No. 40, Navam Mawatha, Colombo 02.
Tel : 0112 448 448
Fax : 0112 341 044

Commercial Bank of Ceylon PLC
Commercial House, 21,
Sir Razik Fareed Mawatha,
Colombo 01 .
Tel : 0112 430 420
Fax : 0112 336 706

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